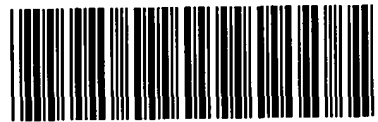


CHANEL

FRIDAY



AF4LBS3

A10

19/06/2026

#37

COMPANIES HOUSE

**2025 ANNUAL REPORT
AND FINANCIAL STATEMENTS**

REGISTRATION NUMBER 00203669

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Within this report:

Company refers to Chanel Limited, a private limited company incorporated in the United Kingdom and the parent company of the Group.

Group refers to the Company and all its subsidiaries. The Consolidated Financial Statements are for the Group.

Chanel or the House refers to the House of Chanel, comprising the parts of our Group that carry on business under the CHANEL Brand. Certain disclosures in this report relate to the House rather than the Group as a whole, and this is indicated where relevant.

See the Glossary on page 108 for context on other terms used in this report.

The directors of Chanel Limited have prepared this Strategic Report with the purpose of providing the Company's shareholder with information to help it assess how the directors have performed their duty to promote the success of the Company and its subsidiaries (together the Group), in compliance with section 414C of the Companies Act 2006. The Strategic Report may also be of interest to our other stakeholders.

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CONTENTS

	STRATEGIC REPORT		106	DIRECTORS' REPORT
	02 CEO Letter		108	GLOSSARY OF TERMS
	04 CHANEL Timeline		110	DIRECTORS' RESPONSIBILITY STATEMENT
	06 Our Company		111	INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED
	10 2025 Highlights		115	FINANCIAL STATEMENTS
13	FINANCIAL HEALTH			116 Consolidated Statement of Income
	14 Financial Review			117 Consolidated Statement of Comprehensive Income
	16 Research, Innovation and Future Developments			118 Consolidated Statement of Financial Position
	18 Key Performance Indicators			119 Consolidated Statement of Changes in Shareholder's Equity
23	BRAND AND CLIENT			120 Consolidated Statement of Cash Flows
	27 Fashion			121 Notes to the Consolidated Financial Statements
	28 Fragrance & Beauty			166 Company Statement of Financial Position
	31 Watches & Fine Jewellery			167 Company Statement of Changes in Shareholder's Equity
	32 Arts, Culture & Heritage			168 Company Statement of Cash Flows
	37 Protecting Our Brand			169 Notes to the Company Financial Statements
39	PEOPLE		191	INDEPENDENT ASSURANCE REPORT TO THE DIRECTORS OF CHANEL LIMITED ON SELECTED SUSTAINABILITY METRICS
	40 Our People			
	43 Social Commitment			
45	SUSTAINABILITY			
	54 Non-Financial and Sustainability Information Statement			
	66 Ethical Business			
	68 ESG Due Diligence			
71	FONDATION CHANEL			
77	GOVERNANCE			
	78 Risk Management			
	94 Corporate Governance Report			
	102 Section 172 (1) Statement			

Behind every CHANEL creation is a collective of exceptional people. Through their talent, dedication, and shared commitment, we delivered solid performance across all areas of our business in 2025, closing the year with strong cash flow and profitability.

As an independent company, we always take a long-term view, consistently investing in our fundamentals: our Brand, our client experience, our people, and our savoir-faire.

In 2025 we made a record \$700 million investment in our manufacturing expertise and Métiers d'art, ensuring we have the best possible quality materials, the best possible expertise, and the best possible savoir-faire for years and generations to come. We also had a particular focus on enhancing our boutique network, opening over 40 boutiques worldwide, from established markets including Japan and Mainland China to fast-growing markets such as Mexico. These and other investments, combined with our unprecedented capital expenditure in 2024, are the bedrock of our 2025 performance and long-term financial strength.

2025 was a year of exceptional creative momentum across all three business activities: Fashion, Fragrance & Beauty and Watches & Fine Jewellery. From the new CHANEL 25 handbag to the launch of CHANCE EAU SPLENDIDE, our first new women's fragrance in eight years, and the continued desirability of COCO CRUSH, the singularity of CHANEL inspired new and existing generations of clients around the world. Creation and beauty are vital sources of inspiration and joy, a belief we treasured in 2025 as Chanel celebrated 110 years of Haute Couture.

“ I am deeply grateful to all our people, creators, artisans, and partners for their passion and expertise. ”

A shining milestone for the House was Matthieu Blazy's debut Ready-to-Wear collection, presented at the Grand Palais in October 2025. The show was a celebration of creative vision, continuing a century-long dialogue with our founder through the reimagining of Chanel codes, ahead of his collections arriving in boutiques in March 2026.

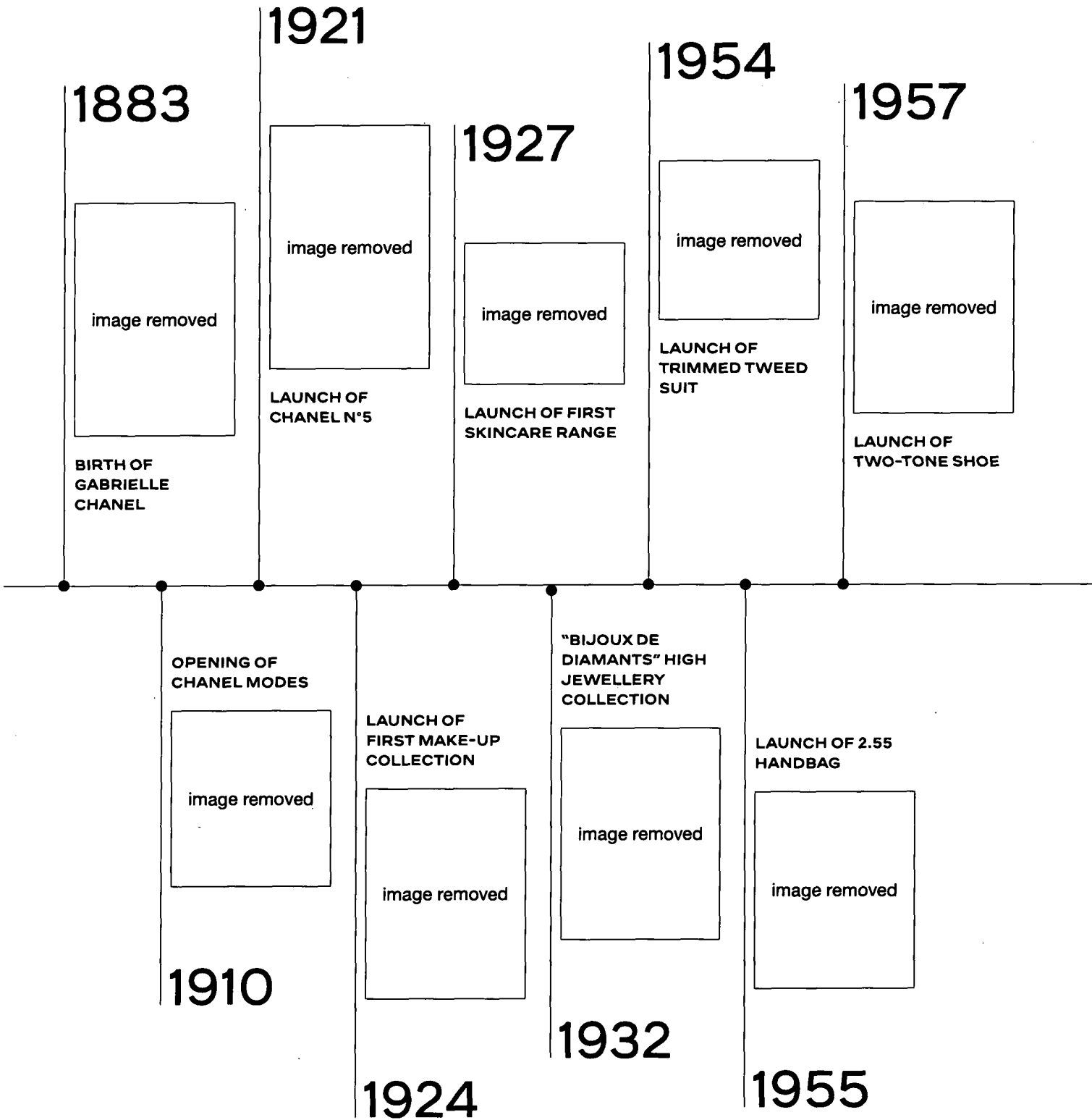
Guided by our desire to positively impact future generations and protect the natural world, we further strengthened our commitments to sustainability transformation, arts and culture, and philanthropy. In 2025 we unveiled NEVOLD, an entity with operational independence, dedicated to the circularity of natural textiles and leather materials; reopened La Pausa, Gabrielle Chanel's Mediterranean villa, an important heritage site that will serve as a retreat and inspiration for a new generation of artists, authors and clients; and made an annual donation of \$125 million to Fondation CHANEL.

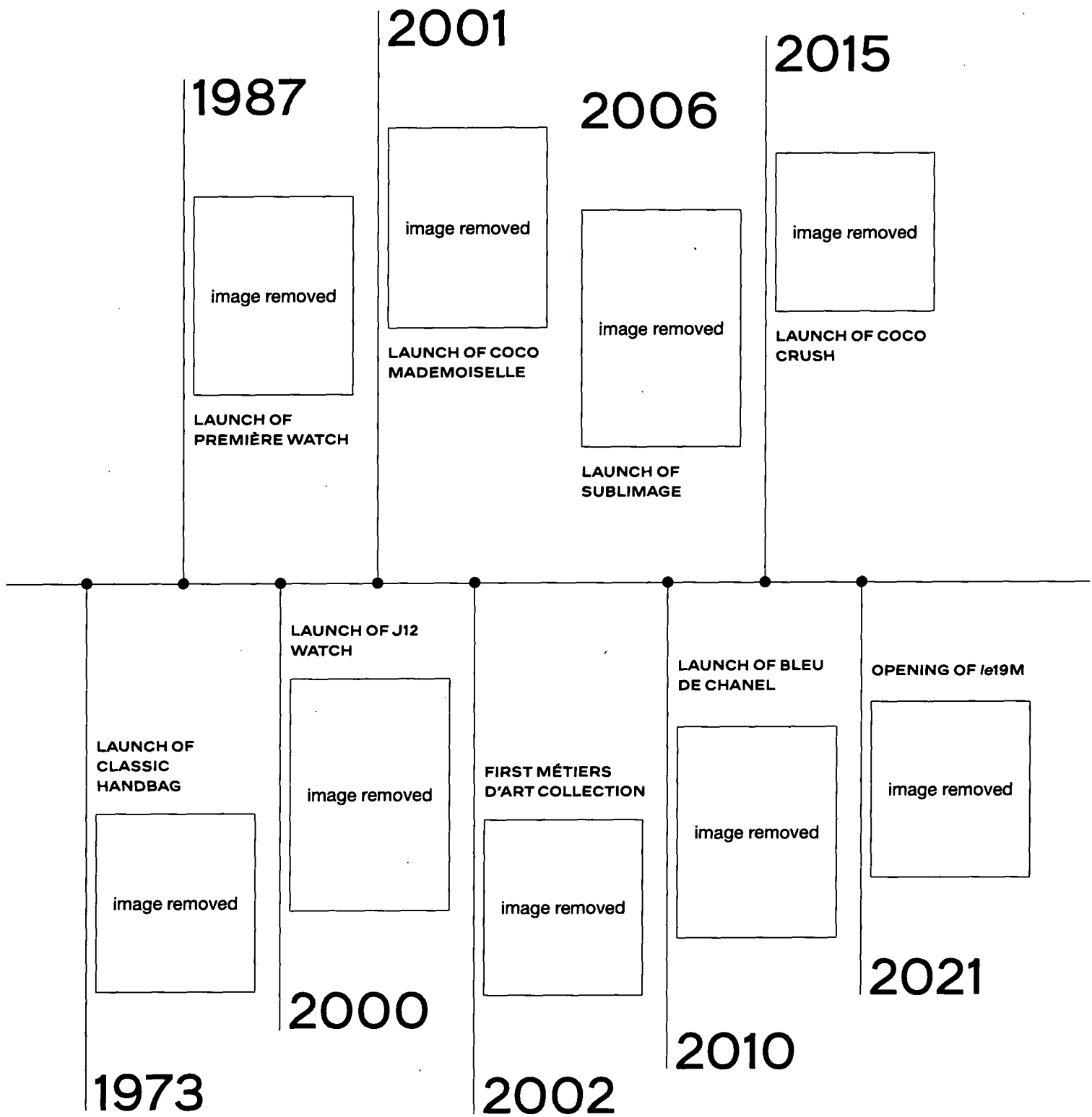
I am deeply grateful to all our people, creators, artisans, and partners for their passion and expertise. As we look ahead, we remain committed to creations and experiences that are singular, joyful, and lasting, for our clients today and those we will welcome tomorrow.

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LEENA NAIR, CBE
GLOBAL CEO OF CHANEL

CHANEL TIMELINE





OUR COMPANY

Chanel has been guided by its singularity for more than a century. It is what connects us to the audacious spirit of our founder and propels us into the future.

Gabrielle Chanel was a visionary who revolutionised fashion, personified the avant-garde, and created a new freedom of movement that liberated women from the constraints of her era. She reimagined elegance as ease and beauty as authenticity, enabling women to be whoever they dreamed of becoming. Today, her creative legacy remains the foundation of our House.

As an independent company, our philosophy is underpinned by the freedom to chart our own course. We act and grow with integrity and a long-term view, pursuing excellence with purpose.

As a luxury House, it is our duty to preserve the highest standards of creation, for our House and the wider creative ecosystem, by ensuring the preservation of craftsmanship that would otherwise no longer exist. Every Chanel creation is a story of outstanding skill and savoir-faire, crafted by master artisans, many of whom we have worked with for generations.

Each of our three business activities play essential roles in embodying the distinction and singularity of Chanel. Together, they form a uniquely integrated brand ecosystem, united by an uncompromising focus on the primacy of creation, quality, savoir-faire, and the enduring icons of the House.

The Fashion business defines the House's creative authority and vitality through exceptional collections and transformative creative concepts, brought to life through impeccably crafted garments and accessories by our ateliers. Material innovation, precision tailoring, exquisite finishing, and unparalleled savoir-faire ensure that each piece fulfils the highest standards of creation and embodies the "allure" of CHANEL.

The Fragrance & Beauty business builds emotional intimacy through personal rituals with fragrance, skincare and makeup. It started with the creation of our timeless and legendary fragrance N°5 in 1921, a visionary composition and revolutionary minimalist design, representing the very essence of femininity. Elevating scent, skincare, and cosmetics through master perfumery, advanced research, and refined formulation standards, our meticulously crafted products translate the iconography of the House to express CHANEL's identity in everyday form.

The Watches & Fine Jewellery business reinforces the House's permanence by embodying technical mastery and savoir-faire through exceptional gem setting and watchmaking expertise. The use of the highest quality precious materials, combined with designs conceived for creative audacity and timeless elegance and artistry, has established Chanel as a multidisciplinary creator of enduring luxury creations.

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Chanel creations are conceived to be loved, cherished, and passed down. Our client experience is centred on personal interaction and attention to detail, to create the Chanel boutique experience. We remain one of the few global luxury Houses in the world that makes its Fashion collections exclusively available in boutiques, ensuring clients experience the story and craft behind every piece. Through our global boutique network across our regions and markets, we deliver the ultimate experience for clients, connecting them to our story, our heritage, and our brand around the world.

Beyond our creations, Chanel is committed to generating a positive and lasting impact across sustainability, its people, arts and culture, and society. Sustainability is embedded in our pursuit of excellence and responsibility; rooted in the richness of the natural world and supported by a unique collective of artisans, ateliers, producers, and manufacturers, we strive to preserve exceptional creation while enabling communities to flourish.

Across the House, Chanel cultivates a people-centred culture founded on trust and inclusion, empowering teams through collaboration, and continuous development across métiers and geographies.

Chanel is a longstanding patron of the arts, through enduring partnerships and innovative initiatives which began with Gabrielle Chanel's deep connection to artists of her time, supporting creativity, the avant garde and her desire to be 'part of what's next'. While Fondation CHANEL advances the lives of women and girls worldwide, creating meaningful and lasting social impact.

As an independent company, we have the freedom to consider with equal focus on the strength of our Brand, the ultimate client experience, care for our people, our sustainability ambition and our financial health, reflected in our five Collective Priorities. Since our founding, we have always chosen our own path, and in the spirit of Gabrielle Chanel continue to be inspired by "*Je veux être de ce qui va arriver*".*

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“ Since our founding, we have always chosen our own path, and in the spirit of Gabrielle Chanel continue to be inspired by "*Je veux être de ce qui va arriver*". ”

*"I want to be part of what is to come"

2025 HIGHLIGHTS

KEY FINANCIAL FIGURES

\$19.3_{bn}

REVENUE
(2024: \$18.7bn)

\$4.7_{bn}

OPERATING PROFIT
(2024: \$4.5bn)

\$1.4_{bn}

CAPITAL EXPENDITURE
(2024: \$1.8bn)

BRAND & CLIENT EXPERIENCE

650+

BOUTIQUES

40+

MARKETS

280+

FASHION BOUTIQUES

60+

WATCHES & FINE
JEWELLERY
BOUTIQUES

310+

FRAGRANCE &
BEAUTY BOUTIQUES

\$2.4bn

INVESTMENT IN
BRAND ACTIVITIES*
(2024: \$2.4bn)

* See page 18 for definition.

PEOPLE

37,984

GROUP TOTAL
HEADCOUNT AT YEAR-END
(2024: 38,422)

76%*

WOMEN

54%*

WOMEN LEADERS

130+

NATIONALITIES

35,000+

VOLUNTEERING
HOURS

15,000+

EMPLOYEE
VOLUNTEERS

11,500+

BENEFICIARIES

* Across our House and Integrated Suppliers – see basis of reporting on chanel.com. See more on page 41.

SUSTAINABILITY

100%*

RENEWABLE
ELECTRICITY

-2.6%

SCOPE 1 AND 2 GHG
EMISSIONS (CHANEL
OPERATIONS) VS 2024

-10%

SCOPE 3 (VALUE CHAIN)
GHG EMISSIONS V. 2024

* See footnote on page 15.

FONDATION CHANEL

\$125_m

FUNDING FROM CHANEL IN 2025
(2024: \$125m)

137

GRANTS TO NEW
PARTNERS IN 2025

10m+

WOMEN AND
GIRLS POSITIVELY
IMPACTED
WORLDWIDE

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FINANCIAL HEALTH

As an independent company, we act with a long-term view, committed to continued investment in our Brand, creation, quality and people.

FINANCIAL REVIEW

Chanel's approach is underpinned by our long-term perspective and financial independence. We maintain a consistently strong balance sheet and high liquidity and pursue conservative debt management to ensure resilience, flexibility and continued investment across the Group.

Each year we continue to invest significantly in our savoir-faire, our creative ecosystem, client experience, sustainability and our people.

Our financial strategy is closely aligned with our sustainability ambitions, including our net-zero 2040 targets, supporting responsible growth, supply chain resilience, and circularity.

2025 PERFORMANCE HIGHLIGHTS

Despite a challenging macroeconomic environment, the CHANEL Brand delivered solid performance across its three business activities: Fashion, Fragrance & Beauty, and Watches & Fine Jewellery.

Group revenue reached \$19.3 billion (2024: \$18.7 billion), an increase of 2% on a comparable basis and 3% on a reported basis. Growth was driven by North America (+6%), with stabilising trends across Asia (-0.6%), and continued growth in some markets such as South Korea. The Europe region grew 7% on a reported basis, with strong performance in France, Italy, Spain and the Middle East, partially offset by softness in parts of Northern Europe.

Operating profit increased to \$4.7 billion, representing 24.5% of revenue (2024: \$4.5 billion; 24.0%), while maintaining high levels of investment in people, Brand, retail and client experience as part of the Group's long-term approach. This was alongside disciplined cost management, amid challenges such as tariffs and currency fluctuations. Adjusted EBITDA increased by 4.3% to \$5.5 billion (2024: \$5.2 billion)*. Profit after tax decreased by 14.3% due to adverse FX losses on translation of financial assets and liabilities of \$ 360.0 million and higher tax charges.

Capital expenditure stood at \$1.4 billion, a decrease of 17%, compared to 2024 which saw record levels of capex driven by real estate acquisitions. However, this remained at an elevated level as per previous years with continued investment into the worldwide boutique network, real estate, savoir-faire, innovation and technology. Key boutique projects included developments in Hong Kong S.A.R., Las Vegas, Toronto and Fukuoka, a new Fragrance manufacturing facility in France (opening in 2026), and the Group's new global headquarters in London, set to open at the end of 2026.

Building on decades of commitment to savoir-faire, in 2025 Chanel continued to strengthen its manufacturing and métiers d'art, with a record level of \$724 million invested in areas including leather goods and Watches & Fine Jewellery expertise*.

Free cash-flow increased by 44% in 2025, reflecting strong discipline in working capital management, inventory levels and the reduction in capital expenditures from record highs. The Group continues to maintain its policy of zero net debt at each reporting period, with net cash of \$1.6 billion reported as at 31 December 2025 (2024: \$1.9 billion).

The tax charge for the year was \$1.5 billion (2024: \$1.3 billion), giving an effective tax rate of 33.5% across the Group (2024: 27.7%). The increase was driven by the finalisation of a withholding tax assessment and an exceptional contribution tax in France.

*Please see Note 27 of the Financial Statements.

2025 FINANCIAL HIGHLIGHTS

	2025 US \$ MILLIONS	2024 US \$ MILLIONS	REPORTED % CHANGE VS. 2024	COMPARABLE % CHANGE VS. 2024*
Revenue	19,269	18,699	3.0%	1.8%
Europe	6,054	5,676	6.7%	2.5%
Asia Pacific	9,182	9,233	-0.6%	-0.8%
Americas	4,033	3,790	6.4%	7.2%

Operating profit	4,712	4,479	5.2%	
Adjusted EBITDA*	5,453	5,226	4.3%	
Effective tax rate	33.5%	27.7%	5.8%	
Profit after tax	2,913	3,399	-14.3%	

Net cash	1,605	1,876	-14.4%	
Free cash flow	2,646	1,842	43.6%	
Capital investment	1,449	1,755	-17.4%	

Employees (end of year)	37,984	38,422	-1.1%	
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CARBON PERFORMANCE				
Scope 1 GHG emissions (tCO2e)	21,426	21,619	-0.9%	
Scope 2 GHG emissions (market-based) (tCO2e)	2,021	2,451	-17.5%	
Scope 3 GHG emissions (tCO2e)	988,987	1,099,178	-10.0%	
Renewable electricity	100%**	99%	1%	

*Comparable % change measures growth across all sales channels excluding the impact of foreign exchange fluctuation and for a comparable legal entity structure, excluding revenues from current and prior year business acquisitions and disposals which do not represent a full year's revenues. Comparable revenue is determined using the exchange rates applied in the reporting year for all periods presented.

**Chanel and the Integrated Suppliers achieved an aggregate 100% renewable electricity in their own operations, 99.6% of which was calculated in accordance with RE100 Technical Criteria. Due to market-wide failures in Cambodia that were outside the control of Chanel, electricity used in Cambodia representing 0.4% of global electricity in own operations was wholly offset by Renewable Electricity Certificates purchased from a connected grid in Vietnam. *See page 19 for reconciliation of Adjusted EBITDA.

RESEARCH, INNOVATION AND FUTURE DEVELOPMENTS

Innovation is embedded across the Group to enhance the client experience, creativity, boutique operations, and supply chain resilience. In 2025, Chanel invested \$181.3 million in research and development (2024: \$213.1 million). For Fashion and Watches & Fine Jewellery this included new manufacturing techniques, while focus areas for Fragrance & Beauty included the future of skincare, and the development of new ingredients.

As part of our continued investment and transformation, we unveiled NEVOLD in 2025 as an entity with operational independence, dedicated to the circularity of natural textiles and leather materials. NEVOLD brings together an ecosystem of start-ups and organisations to develop new, high-quality materials and to establish partnerships that will accelerate the large-scale creation of innovative recycling solutions. To date, three of our long-standing partners have joined the ecosystem: L'Atelier des Matières, Filatures du Parc and Authentic Material.

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OPEN INNOVATION

In 2025, Chanel's Open Innovation team deepened its collaboration with startups and leading academic institutions, exploring how evolving AI and spatial computing technologies can unlock productivity, creativity and client engagement.

Chanel identified and assessed more than 1,000 startups throughout 2025 to support Open Innovation projects, working closely with leading start-up accelerators, and venture capital firms. These efforts complemented continued investment in existing long-term collaborations, notably with MIT Media Lab.

A key milestone was the launch of the CHANEL Open Lab, a new platform designed to accelerate the development of concepts and prototypes in co-creation with external innovators and students. The inaugural Open Lab in November 2025 brought together Chanel

teams and students from Stanford, Columbia and New York University to build agentic AI prototypes.

In parallel, Chanel strengthened its internal culture of innovation through programmes such as CHANEL Sparks. Following its launch in Europe in 2024, the programme incubated six concepts in the region in 2025 spanning retail, sustainability and operational excellence. The programme will expand to the US and continue in Europe in 2026.

Reflecting this collective spirit of experimentation, Chanel's innovation community grew from 180 to more than 400 of our people over the year. Through initiatives such as the Innovator's Forum and Chanel's first Innovation Summit, the community drove collaboration across regions, roles, perspectives and geographies to accelerate shared progress.

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KEY PERFORMANCE INDICATORS

Decision-making is guided by five key performance indicators aligned with Chanel's five Collective Priorities: Financial Health, Brand, Client, People, and Sustainability. We assess progress with a long-term view.

Financial Health – measured through revenue, operating profit, free cash flow and disciplined investment in the Brand to underpin our long-term outlook.

Brand – assessed through brand equity studies, client experience and online reputation data. A global brand equity study measures awareness, desirability and image perception across nine product categories and the wider luxury market, helping benchmark Chanel against peers and guide decisions. For more information on Brand see pages 23 - 37.

Client – measured through retention, acquisition and client satisfaction across boutiques and personalised experiences. For more information on client experience see pages 23 -37.

People – assessed through engagement, retention, reward and leadership indicators, informed by the CHANEL VOICES survey, focus groups and external benchmarks to inform our priorities. For more information on our people see pages 39 - 43.

Sustainability – driven by our sustainability ambition which includes restoring nature, protecting the climate, investing in circularity, supporting dignity and opportunity for all, and promoting the autonomy of women, with KPIs such as greenhouse gas (GHG) emissions reduction and renewable electricity adoption. For more information on sustainability see pages 45 - 69.

SPECIFIC FINANCIAL KEY PERFORMANCE INDICATOR DEFINITIONS:

Comparable revenue growth – measures growth across all sales channels, excluding the impact of foreign exchange fluctuation and for a comparable legal entity structure, i.e. excluding revenues from current and prior year business acquisitions and disposals which do not represent a full year's revenues. Comparable revenue is determined using the exchange rate applied in the reporting year for all periods presented.

Investment in Brand (advertising, promotion, and demonstration) – measures the impact of marketing spend and is considered in connection with growth in revenue and strengthening of Brand equity.

Operating profit – measures overall profitability by tracking revenue and production growth as well as operating costs.

Adjusted EBITDA (Earnings before interest, taxes, depreciation, amortisation, and exceptional items) – an alternate measure of the Group's operational profitability, without the impact of changes in interest, taxes, depreciation and amortisation and adjusted for other exceptional items in the year. The Adjusted EBITDA excludes exceptional items such as restructuring costs, impairment charges and reversals on property, plant, and equipment and intangibles, investment gains and losses on corporate-owned life insurance and other one-off expenses in the year as disclosed in Note 4. The addback of depreciation excludes depreciation on right-of-use assets.

A reconciliation of the Group's Adjusted EBITDA calculation is as follows:

ADJUSTED EBITDA			
	Notes	2025 \$ millions	2024 \$ millions
Operating profit		4,711.5	4,478.6
Exceptional items	4	93.6	175.3
Depreciation and amortisation of PP&E, investment property, intangibles, and SaaS assets		648.0	572.1
Adjusted EBITDA		5,453.1	5,226.0

Net cash – measures the Group's liquidity in cash, including short-term investments and non-current financial investments that are readily convertible into cash, following the settlement of all borrowings. This measure is included to illustrate that the Group has sufficient liquidity to meet its debt obligations. A reconciliation of the Group's net cash calculation is as follows:

NET CASH/DEBT			
	Notes	2025 \$ millions	2024 \$ millions
Non-current borrowings	17	(2,792.6)	(3,237.9)
Current borrowings	17	(1,273.3)	(527.6)
Total borrowings		(4,065.9)	(3,765.5)
Short-term financial investments	21	3,422.7	3,221.5
Cash and cash equivalents	22	1,930.0	2,291.2
Non-current financial investments	21	318.5	128.5
Net cash		1,605.3	1,875.7

Free cash flow – measures the Group's ability to generate positive cash. A reconciliation of the Group's free cash flow calculation is as follows:

FREE CASH FLOW		
	2025 \$ millions	2024 \$ millions
Net cash provided by operating activities	4,478.0	3,964.1
Capital investment	(1,448.7)	(1,754.7)
Proceeds from sale of property, plant and equipment	42.2	16.8
Purchase of investment property	(2.5)	-
Repayment of lease liabilities	(423.2)	(383.9)
Free cash flow	2,645.8	1,842.3

Capital investment – represents the acquisitions in cash of assets by the Group for use in its business goals and objectives. A reconciliation of the Group's capital investment is calculated as follows:

CAPITAL INVESTMENT		
	2025 \$ millions	2024 \$ millions
Purchases of property, plant, and equipment	1,300.6	1,624.1
Purchase of intangibles	141.3	127.9
Initial direct costs related to right-of-use-assets	6.8	2.7
Capital investment	1,448.7	1,754.7

TAX PRINCIPLES

The Group's objective is to maintain a net positive tax contribution in all countries in which it operates, aligned with the economic value created locally. This includes corporate taxes, employment and property taxes, customs duties and other levies.

Our tax principles ensure consistency between our business activities and the intent of international and local tax legislation. The Group does not invest in a country without a clear commercial rationale, nor does it engage in arrangements that could be perceived as artificial or contrived. We apply reasonable interpretations of tax laws, consistent with their policy intent.

The Group seeks to align profit allocation with economic value creation, applying the arm's length principle and considering the location of key intangible assets and value creating functions. We do not operate in low tax jurisdictions unless we have commercial activities there, supported by people and assets in those locations.

All tax filings are made in accordance with local legislation, and external advisers are engaged where matters are complex.

The Group maintains open, transparent and constructive relationships with tax authorities and, where appropriate, enters into advance pricing arrangements or equivalent mechanisms to provide certainty and transparency across jurisdictions.

The international tax environment continues to evolve. Following a country-by-country assessment in 2025 of the Organisation for Economic Co-operation and Development's (OECD) Pillar Two Global Anti-Base Erosion rules, only a limited number of jurisdictions were identified where the effective tax rate falls below 15%, resulting in no material impact on the Group's income taxes.

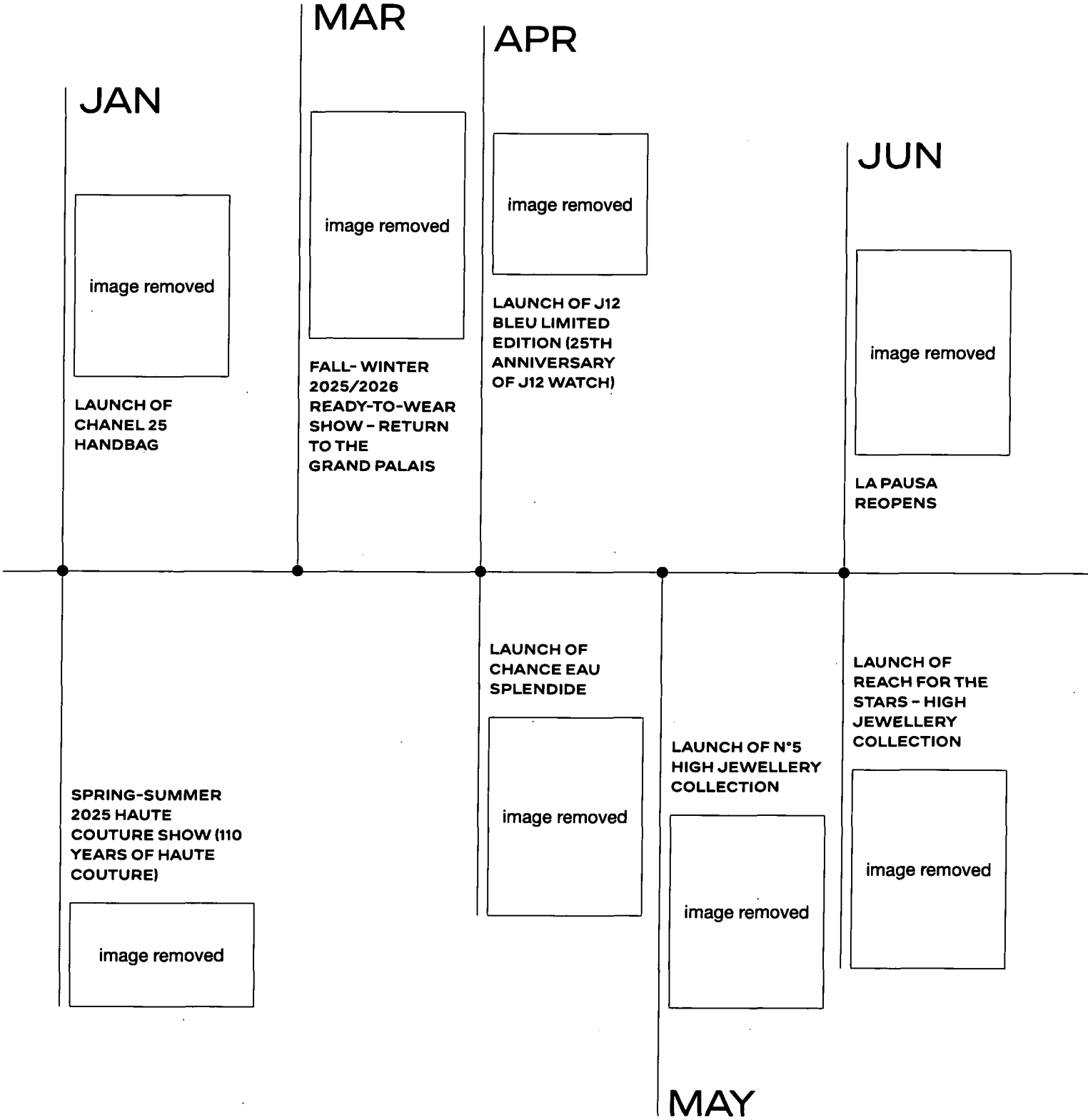
Further information on our tax strategy is available on [chanel.com](https://www.chanel.com).

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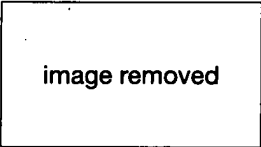
BRAND AND CLIENT

Our Brand is united by an uncompromising focus on creation, quality, and the ultimate client experience.

CHANEL IN 2025



JUL

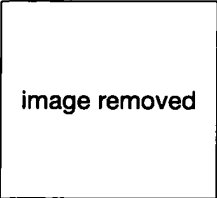


FALL/WINTER
2025-2026 HAUTE
COUTURE SHOW



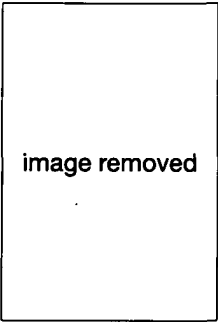
LAUNCH OF CHANEL
LES 4 OMBRES
BOUTONS

OCT



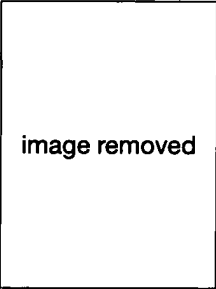
LAUNCH OF
PREMIÈRE
GALON WATCH

DEC



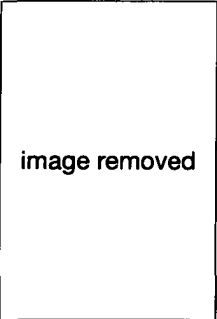
MÉTIERS D'ART
COLLECTION IN
NEW YORK CITY

LAUNCH OF
BLEU DE CHANEL
L'EXCLUSIF

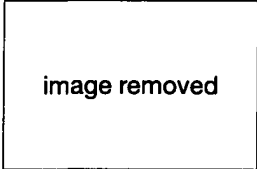


SEP

MATTHIEU BLAZY
DEBUT SPRING
SUMMER 2026
SHOW



OPENING OF ESPACE
GABRIELLE CHANEL
AT POWER STATION
OF ART SHANGHAI



NOV

image removed

FASHION

2025 celebrated 110 years of Haute Couture, the launch of the CHANEL 25 handbag and the arrival of Matthieu Blazy as the new Artistic Director of Fashion Activities.

2025 was marked by strong momentum in Ready-to-Wear, including an exceptional reception to the new CHANEL 25 handbag, and the arrival of Matthieu Blazy as the new Artistic Director for Fashion, only the fourth designer in the House's history. His debut Spring Summer 2026 collection in the Grand Palais in October continued a century-long dialogue with our founder through the reimagining of the Chanel codes, setting the tone for a renewed creative vision and exploring the interplay of masculine and feminine codes, universal allure and reinvention. In December, his first Métiers d'art show transformed a New York City subway into a stage where elevated craftsmanship met pop culture, celebrating a love story between Chanel and New York.

The year commemorated 110 years of Haute Couture, reaffirming Chanel's place as the longest standing house of Haute Couture still in activity, defined by unlimited creative freedom, unique savoir-faire and timeless allure continually reinvented. The Spring Summer 2026 Haute Couture collection in January paid tribute to this spirit of continuous renewal, while the Fall Winter 2026 Haute Couture collection in July unfolded as an ode to nature and pastoral landscapes. Inspired by simplicity, movement and ease, it echoed Gabrielle Chanel's original vision of a wardrobe designed for women in motion.

Through *le19M*, our Paris-based creative hub bringing together over 700 artisans and 11 Maisons d'art, we continued to champion the Métiers d'art.

La Galerie du 19M travelled from Paris to Tokyo, fostering dialogue between French and Japanese artisans through exhibitions dedicated to exceptional savoir-faire and shared inspiration.

Chanel's cultural commitments continued across literature, film, dance and heritage. To mark the reopening of the Grand Palais, *le19M* and the Maisons d'art unveiled a monumental ornamental curtain symbolising the dialogue between heritage and contemporary creation. As Mécène d'exception of the Opéra national de Paris, Chanel sustained its support for major renovation and artistic projects, from costumes to nurturing new talent and celebrating dance.

Continuing to provide the ultimate client experience remained a priority. CHANEL & Moi - Les Ateliers and Salons, offering expert care and repair services for CHANEL creations, continued to be rolled out worldwide including in Beijing and Shanghai, which have welcomed several thousand clients since opening in 2025. We also expanded our footprint worldwide, with new dedicated Fashion boutiques in both established and growing markets, including new locations in Cancun and Mexico City, and our largest boutique to date in Toronto, spanning over 10,000 square feet.

10

COLLECTIONS IN A YEAR
(INCLUDING 2 HAUTE COUTURE, 2 READY-TO-WEAR, CRUISE AND MÉTIERS D'ART)

35+

MARKETS

280+

FASHION BOUTIQUES

FRAGRANCE & BEAUTY

2025 saw the House's first women's fragrance in eight years with CHANCE EAU SPLENDIDE, and the introduction of exceptional new creations including BLEU DE CHANEL L'EXCLUSIF, LES 4 OMBRES BOUTONS, and SUBLIMAGE L'Extrait Huile Lèvres.

In 2025, Chanel launched a new floral scent created by Olivier Polge, CHANEL In-House Perfumer-Creator: CHANCE EAU SPLENDIDE. Rooted in more than a century of fragrance creation, the new fragrance resonated strongly with a new generation, while remaining true to the spirit of the House. Its launch was brought to life through a series of immersive events around the world. In London, Chance Street in Shoreditch was transformed through a playful, large-scale pop-up, captivating new audiences. Later in the year, the introduction of BLEU DE CHANEL L'EXCLUSIF, with its woody scent and unique new cube-shape design, further reaffirmed the House's enduring excellence in fragrance.

In Beauty, new creations included Les 4 OMBRES BOUTONS, a new eyeshadow collection offering a fresh take on the iconic product, and in skincare SUBLIMAGE L'Extrait Huile Lèvres, a luxurious lip oil enriched with vanilla planifolia and swertia extracts, expanding our exclusive range.

Throughout 2025, CHANEL Beauty continued to celebrate creation and symbolism. The Holiday collection revisited five House symbols: the lion, comet, camellia, wheat and pearls, underscoring their timeless relevance.

We continued to demonstrate our commitment to craftsmanship and transmission. In 2025, we paid tribute to 55 voices behind our fragrances,

from perfumers and chemists to consultants, harvest workers and guardians of the House's heritage, through the launch of a dedicated podcast, highlighting the precision and passion that have defined the craft for over a century. In May, we celebrated sandalwood sourcing at the JARDINS JARDIN exhibition in Paris, which offered visitors a unique and immersive olfactory and botanical experience. In Grasse, the September jasmine harvest brought together international guests for an experiential celebration of savoir-faire, sensory discovery and cultural exchange.

The launch of the Fragrance & Beauty app in 2025 represented a meaningful step forward in the House's digital beauty journey. The app creates a direct, always-on connection between clients and the CHANEL beauty ecosystem. Through inspiration and seamless product discovery, it turns each interaction into a unique CHANEL moment. In 2025, e-commerce was also expanded across Mexico, Argentina and Taiwan Region, strengthening our footprint internationally.

The Fragrance & Beauty boutique network continued to grow, with over 25 new dedicated boutiques opening worldwide. This expansion was complemented by the rollout of enhanced client services, including expert skincare experiences and the opening of a new Salon Privé in Dubai.

310+

FRAGRANCE & BEAUTY
BOUTIQUES

5

INTERNATIONAL RESEARCH
HUBS IN THE US, SOUTH
KOREA, FRANCE, JAPAN
AND MAINLAND CHINA

5

OPEN-SKY LABORATORIES DEDICATED TO
BIODIVERSITY ACROSS MADAGASCAR, COSTA
RICA, BHUTAN, GAUJACQ IN THE SOUTH OF
FRANCE, AND THE FRENCH SOUTHERN ALPS

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WATCHES & FINE JEWELLERY

2025 marked the 25-year anniversary of J12 with the new J12 BLEU, the unveiling of the High Jewellery collection REACH FOR THE STARS, and the launch of the signature quartz bracelet watch PREMIÈRE GALON.

A highlight moment of 2025 was the unveiling of the High Jewellery collection REACH FOR THE STARS in Kyoto. Inspired by House symbols - the comet, the lion and, for the first time, wings - the collection featured an exceptional 19.55-carat pink Padparadscha sapphire. As the first global High Jewellery launch in Japan for Chanel, the event offered clients local cultural experiences, infused with the radiance of Hollywood glamour, before the collection embarked on an international tour.

High Jewellery was further celebrated in February, with Chanel as the main partner of the Gstaad Art Fair 2025 Exhibition, bringing together thirty leading international galleries. In May, the House launched a new N°5 Fine Jewellery collection, with a new film directed by Gordon von Steiner, set against the backdrop of Lake Garda and centred on the notion of “a promise of eternity”.

In October, our creative excellence was recognised internationally when the SWEATER Prestige necklace received the Grand Prix de la Haute Joaillerie – Best Piece of the Year in Monaco. Inspired by sportswear drawstrings, the piece highlighted creativity, exceptional craftsmanship and the House's enduring connection to sport.

The 25-year anniversary of the CHANEL J12 was celebrated with the launch of the J12 BLEU at Watches & Wonders 2025 in Geneva. Powered by the Kenissi self-winding movement, the watch showcased an exclusive and innovative matte blue ceramic developed by the CHANEL Watch Manufacture in La Chaux de Fonds. The launch was marked by

blue illuminations worldwide, including Hong Kong S.A.R. Clock Tower in Tsim Sha Tsui. 2025 also marked the beginning of Chanel as the first ever Official Timekeeper of The Boat Race in the UK. This historic rowing race between Cambridge and Oxford Universities was renamed the CHANEL J12 Boat Race, underscoring the shared values of excellence and collective effort to succeed.

Creative dialogue between Watches & Fine Jewellery and Beauty continued with the launch of the CHANEL BLUSH watch capsule collection, translating makeup colours and textures into contemporary watchmaking. In 2025, Chanel introduced LE LION DE MADEMOISELLE, a collection combining five jewellery watches and two horological pieces, including the MONSIEUR TOURBILLON LION and the ASTROCLOCK DIAMANTS. The year concluded with PREMIÈRE GALON, a reinterpretation of Chanel's first watch from 1987, featuring an 18-carat gold bracelet inspired by the House's iconic chain braid.

In 2025 the global network of Watches & Fine Jewellery boutiques expanded to 65 locations, with new openings including Sydney, Bangkok, Toronto, and Hong Kong S.A.R and Riyadh. Client services continued to evolve with the inauguration of the fifth in-boutique CHANEL & moi workshop at the Ginza Namiki boutique in Japan, and new immersive salons in Seoul Shinsegae in South Korea. The year also saw the rollout of My CHANEL18 Vendôme, the first mobile app dedicated to High Jewellery and Haute Horlogerie clients, offering an invitation-only experience with exclusive content, order tracking and collection previews.

60+

WATCHES & FINE
JEWELLERY BOUTIQUES

850+

SPECIALISTS WORKING
ACROSS FRANCE AND
SWITZERLAND

Long-term partnerships

WITH SPECIALIST WATCHMAKERS INCLUDING
INVESTMENTS IN ROMAIN GAUTHIER (2011), F.P
JOURNE (2018), KENISSI (2019) AND MB&F (2024)

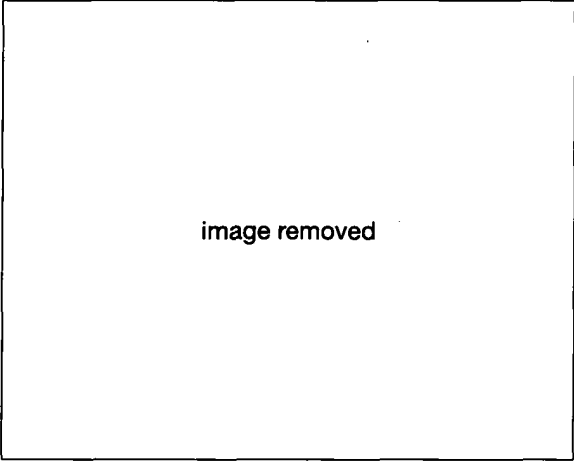
ARTS, CULTURE AND HERITAGE

In 2025, Chanel continued to nurture a global ecosystem of artists and cultural institutions, reflecting the longstanding commitment of the House to fostering creativity, innovation and dialogue. Engagement with the arts, past and present, remains integral to the Brand and to the singular experiences offered to clients and our people.

Throughout the year, we strengthened our signature initiatives, including CHANEL Culture Fund, the CHANEL Next Prize and the CHANEL Cultural Leaders Forum, championing creative audacity and dynamic leadership around the world. The Patrimoine and Heritage Sites advanced the preservation of the Brand's heritage, notably with the reopening of La Pausa, Gabrielle Chanel's home in the South of France. Collectively, we expanded our publishing efforts across platforms, including the fifth season of the podcast CHANEL Connects and the book, La Pausa: The Ideal Mediterranean Villa of Gabrielle Chanel, in partnership with Flammarion.

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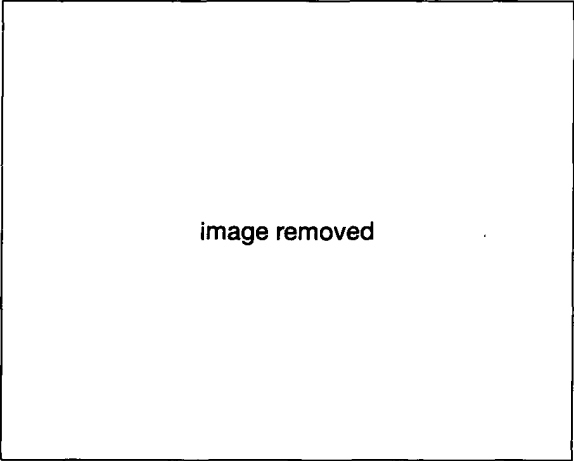
**LA PAUSA: A RENEWED PLACE
OF CREATIVE EXCHANGE**



Built in 1928 and entirely imagined by Gabrielle Chanel, La Pausa was reopened in June 2025 following a meticulous restoration overseen by architect Peter Marino. Now reimagined as a private home dedicated to cultural creation, inspiration and education, the restoration revived La Pausa's original vocation as a place of artistic exchange and free thinking.

Our inaugural writers' retreat at La Pausa was launched in November 2025, supporting non-fiction projects celebrating self-made women in history. Season five of the CHANEL Connects podcast was also recorded at the house, exploring La Pausa as a contemporary space for creative dialogue.

**DELIVERING GLOBAL PARTNERSHIPS
AND PUBLIC PROGRAMMES**

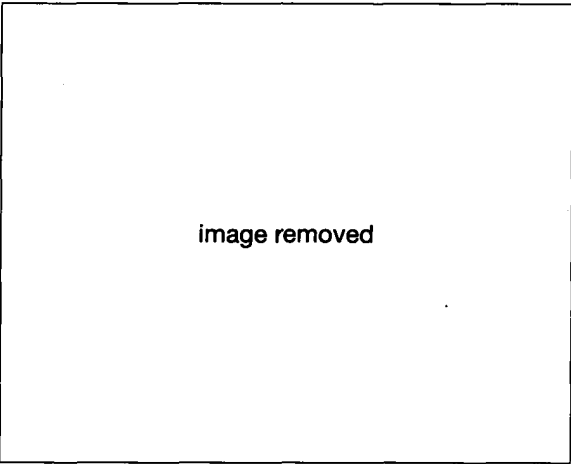


Through the CHANEL Culture Fund, established in 2021, Chanel supported creators and innovators in 2025 across almost 50 long-term programmes across five continents and 20 cities. The year also marked the announcement of the CHANEL Center for Artists and Technology, created in partnership with the California Institute of the Arts. The first of its kind, the Center will support research, experimentation and mentorship at the intersection of art and technology, with a focus on artificial intelligence, machine learning and digital imaging.

The CHANEL Culture Fund continued to expand access to public art through long-term partnerships, including a new collaboration with the High Line in New York featuring commissioned films such as *Groundless Flower* by Frank Wang Yefeng. Additional works from *The Window*, the CHANEL Culture Fund's site-specific public art programme, were screened in 2025, including US premieres by Cao Fei, Lu Yang and Jakob Kudsk Steensen.

Impactful programmes such as *Camping Asia 2025* also continued, bringing together performing arts students from 16 schools across Asia and Europe for workshops and public performances, in collaboration with the Taipei Performing Arts Center and the Centre National de Danse in France.

**CREATING NEW CULTURAL SPACES
AND CURATORIAL INITIATIVES**

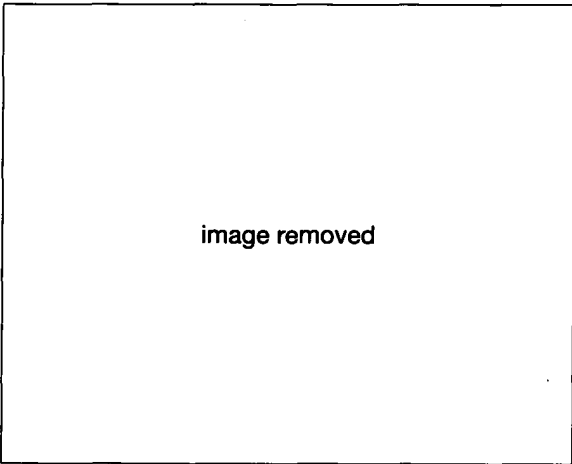


In November 2025, Chanel unveiled Espace Gabrielle Chanel at the Power Station of Art in Shanghai. This new multifaceted space includes Mainland China's first public art library dedicated to contemporary art, with over 50,000 books and audiobooks, alongside a public theatre, design centre and riverside terrace. The long-term partnership builds on the Next Cultural Producer programme, fostering emerging practices in contemporary Chinese craft, architecture and theatre.

In Europe, the CHANEL Culture Fund launched a three-year partnership and annual CHANEL Commission with Hamburger Bahnhof in Berlin. The inaugural commission by artist Klára Hosnedlová, presented in May 2025, transformed the museum's historic hall through an immersive installation exploring themes of belonging and social systems.

The appointment of the first CHANEL Botanical Curator at Fondation Beyeler in Switzerland further expanded the House's cultural engagement. Rahel Kesselring will develop conservation strategies and public programming focused on regeneration and rewilding, strengthening the dialogue between contemporary art, nature and sustainability.

EXPANDING ACCESS TO CULTURE



In June 2025, Chanel launched its ARTS & CULTURE Magazine Vol. 1, celebrating five years of artistic partnerships through essays, portfolios and contributions from CHANEL Next Prize winners. The publication launched in 23 independent bookstores across 20 cities worldwide.

Access to the arts for our people continued to expand through the Culture Pass. Since 2022, it has enabled more than 25,000 cultural experiences across 50 partner institutions, to over 10,000 colleagues in the US, UK, Mainland China, Taiwan Region and South Korea.

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PROTECTING OUR BRAND

Protecting creation, innovation and product integrity, through strong intellectual property safeguards, is essential to Chanel and key to preserving our value, heritage and long-term Brand equity.

We operate a robust global programme to secure our trademarks, copyrights, designs, and patents, and take decisive action against counterfeiting and all other forms of imitation and diversion of our products to safeguard our Brand, investments and distribution networks. Our programme is constantly evolving, using the latest technologies to respond effectively to increasingly sophisticated counterfeit and diversion threats. We respect intellectual property rights of third parties with the same commitment.

Through substantial investments across markets, we align local execution with global strategy in actions such as:

- Strengthening supply chain integrity through contractual controls, risk assessments and targeted traceability processes identifying and addressing product diversion.
- Monitoring and acting against infringements in both physical and online markets, including social media platforms.
- Pursuing legal action, working closely with public authorities, customs agencies and intermediaries throughout the distribution chain to strengthen anti-counterfeit measures.

In 2025, more than 6.8 million counterfeit products and unassembled parts were seized in over 80 countries, over 1.2 million unique URLs were given notices to remove infringing online listings and more than 9 million offers were taken down across online platforms.

- Working closely with our authorised retailer networks, and acting swiftly against unauthorised distributors, addressing diversion at both source and reseller level.

For Fragrance & Beauty online retail, our "authorised retailer" e-logo (rolled out in 2025 and available in most markets) enables consumers to verify approved partners, ensuring assurance in product authenticity and quality.

- Supporting consumer awareness initiatives and campaigns that promote respect for intellectual property and secure purchasing practices.
- Advocating for legislative and regulatory frameworks that enable effective enforcement, and working closely with industry associations and supply chain partners.

Our Legal teams regularly discuss key enforcement actions and strategy with the Global Executive Chairman, Global CEO, and Presidents of the business activities and regions, ensuring alignment with House priorities. We also keep our Board informed of our strategy and major enforcement actions.

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PEOPLE

We are committed to supporting the individual and collective strength of our people, cultivating a culture of trust, inclusion, and care.

OUR PEOPLE

In 2025, we continued to focus on advancing fair and equitable opportunities, strengthening learning, leadership and talent management, fostering trust and inclusion, and prioritising health, safety and wellbeing across the House.

We are committed to enhancing the learning and development of our people at each stage of their career journey, through initiatives including our flagship Imagine CHANEL programmes: Discovery, People, and Leadership.

Imagine CHANEL Discovery offers new employees an immersion into the House, its heritage and savoir-faire. In 2025, 1,877 people participated in 68 sessions, with experiences spanning products, manufacturing sites and boutiques.

Imagine CHANEL People Essentials supports managers in leading more effective and inclusive teams. It was introduced following feedback from the CHANEL VOICES survey. This survey, undertaken in 2024 and bringing together people listening across the House, brought a cohesive picture together on areas of strength, opportunity, and employee sentiment. The survey achieved a 93% final participation rate, as well as an 84% score on employee engagement.

Imagine CHANEL Leadership brought together in 2025 over 135 leaders and facilitators across métiers and geographies to explore leadership at Chanel, facilitated through workshops, keynote sessions and dedicated time with the Global CEO.

Learning is intentionally immersive and largely instructor-led. This approach is supplemented by BLOOM, the global digital learning platform hosting more than 1,000 learning journeys.

PROMOTING CAREER DEVELOPMENT AND MOBILITY

Our Performance@Chanel approach enhances both performance and career development for all Chanel employees through enabling structured conversations and setting clear expectations.

In 2025, refreshed tools and resources led to an increase in usage and completion of year-end reviews compared to 2024. Building on this, a global performance management policy is rolling out in 2026, ensuring people across the House have further support in designing and developing impactful careers.

Alongside supporting collective success, we are dedicated to everyone's individual growth. The Me@MyBest - Design My Impact framework continued to promote a strength-based approach to development, supported by new tools, training and guidance to enable meaningful career development conversations. In 2025, over 9,000 people engaged with resources available through this framework to help them set and achieve their goals.

Internal mobility remained a key enabler of development through the year. In 2025, 71% of available executive roles were filled internally, meeting business needs while offering career growth opportunities to our people. Overall, more than 1,000 employees moved into new internal roles, many accompanied by promotions. At a broader leadership level, we continued to invest in bespoke programmes and assessments, informing both individual and collective development plans.

SNAPSHOT OF OUR PEOPLE:

Across our House and Integrated Suppliers*, our workforce represents a variety of perspectives, nationalities and demographics. Notable statistics on our people in 2025 are included below:

76%

WOMEN

10.8%[#]

PERCENTAGE OF
EMPLOYEE TURNOVER

313

NUMBER OF EMPLOYEES
IN TOP MANAGEMENT

54%[#]

PERCENTAGE OF WOMEN
IN TOP MANAGEMENT

18%

PERCENTAGE OF
EMPLOYEES UNDER 30

15%

PERCENTAGE OF EMPLOYEES
OVER 50

In 2025, 95% of our employees were permanent with 5% of our workforce with us on a fixed-term basis. Equally, 95% of team members were working on a full-time basis, with 5% working part-time.

Across the Group, we seek to preserve and promote expert skills and savoir-faire for all those working in artisan craft roles. We have developed internal and external succession plans dedicated to the transmission of techniques and know-how and designed specific career progression paths for these experts. New generations of talents are engaged through partnerships with schools, apprenticeships, and mentorships.

CHAMPIONING AN INCLUSIVE CULTURE

Chanel is committed to an inclusive culture, where everyone has the freedom to be and become their best self and contribute to the success of the House, whatever their métier or background. One of our key people commitments is advancing fair and equitable opportunities for all, formalised in our Diversity & Inclusion (D&I) commitment in 2025.

In 2025, the Global D&I Council continued to advise the Executive Committee on priorities, including neurodiversity and accessibility. This work is supported by a broader Global D&I Community across the House.

Investment in trust and transparency continued through targeted training and tools, benefiting over 7,400 people in 2025 and over 18,000 in the past two years. This included the launch of the Imagine CHANEL People module on cultivating trust, delivered to managers through six live sessions between September and December, with a further roll-out planned for 2026.

Accessibility remained a key focus area, with expanded guidance on accessible events, neuro-inclusion training for our People & Organisation teams, and increased awareness of reasonable adjustments across the business. Our aim is to provide people with the physical and digital support they need to manage their short- or long-term accessibility or disability needs. Our approach centres on awareness and education, guidelines and standards, and infrastructure and processes.

* See basis of reporting on chanel.com

The data was subject to external limited assurance. For the results of this assurance, please see EY's assurance statement on pages 191 - 195.

ENGAGING WITH OUR PEOPLE

Chanel maintains open and constructive social dialogue across all markets. We fully respect the right of all our people to freely join or participate in trade unions and works councils. Employees are free to exercise their right of association or engagement in collective action without restrictions. Where there are collective agreements in place in our European Economic Area (EEA) markets 75%-100% of employees are covered, with formal consultation processes in place where required, with employees represented by formal workers' representatives as well.

In countries where formal representation structures exist, we actively engage with these bodies and conduct information, consultation, and participation processes in accordance with local legislation, regulatory requirements, and established collective bargaining frameworks. We ensure that our people's perspectives are considered at the appropriate stages of decision-making, and that representatives are provided with timely information and channels to raise concerns, contribute feedback, and work collaboratively with management on solutions.

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REWARDS AND WELLBEING

Our approach to rewards and benefits reflects our commitment to fairness and equity. We ensure fair compensation reflective of performance and provide additional support and reassurance at key moments that matter.

We set high standards for pay equity, supported by our annual review process. We monitor and review pay equity annually in all our markets and continue to evolve our approach in accordance with applicable local pay equity legislation.

All our House employees continue to be paid a Living Wage.

Our existing benefits include a global parental leave policy providing a minimum of 14 weeks fully paid leave for any parent. We also expanded various wellbeing initiatives in certain areas during the year:

- In the UK, we piloted "Hertility", an at-home hormone and fertility testing service. Through the partnership, we offered tests, assessments and support to all those who applied to be in the pilot.
- In France, employees can benefit from specific health prevention actions through pilot projects, including health screenings, lifestyle and risk factor assessments, and specific medical follow-ups where necessary.
- Across the Asia Pacific region, we have invested in data-driven mental wellbeing platforms, offering significantly improved accessibility, personalisation, proactive care, coaching, and clinical support.

HEALTH AND SAFETY

We are committed to the safety and wellbeing of our people. In 2025, we advanced governance on health and safety across the House, formalising disclosure and standardising metrics in line with market best practice. Our global health and safety community came together to share best practices and learnings, alongside aligning on improved incident tracking in several regions.

OUR SOCIAL COMMITMENT

Social commitment continued through employee volunteering, partnerships and humanitarian support. Through the *You, Me & Us* programme, more than 15,000 of our people contributed over 35,000 volunteering hours, directly supporting 11,500 people in local communities.

Underserved youth employability was a growing focus, with 6,300 young people supported in programmes in 2025, a 124% increase year on year. Programmes included a global partnership with Junior Achievement Worldwide and support for local charities across the world, through which Chanel volunteers delivered mentoring and career-discovery sessions, shared professional networks, and offered practical insight into the world of work and diverse career paths.

HUMANITARIAN DONATIONS

We support people and communities in need, including those affected by humanitarian crises.

In 2025, Chanel donated \$6 million to two international humanitarian-relief NGOs, CARE International and the International Federation of Red Cross and Red Crescent Societies. These organisations were chosen for their deep expertise, neutrality, and integrity. Through a global fundraising platform, our people can make personal donations to these humanitarian organisations, which are matched by Chanel. Chanel will continue to build on these partnerships in the future.

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SUSTAINABILITY

We rely on the richness of the natural world, sourcing the finest raw materials for our unique creations.

In parallel, we rely on a vibrant ecosystem of artisans, whose exceptional craftsmanship and savoir-faire we are committed to preserving, sustaining, and nurturing.

SUSTAINABILITY

image removed

Today – and for generations to come – we strive to embrace the fullest spectrum of creative expression, guided by a responsibility to care for the natural systems, the people and the skills that make this possible. In doing so, we ensure our creations continue to inspire, our clients continue to dream, and our people and partners continue to flourish.

Throughout the year we continued to advance our sustainability ambition which includes restoring nature, protecting the climate, investing in circularity, supporting dignity and opportunity for all, and promoting the autonomy of women.

KEY POLICIES AND PROCESSES

In 2025, Chanel concluded a double materiality assessment of our impacts on society and the environment, and the financial implications of environmental, social and governance (ESG) issues on our business. More than 50 internal and external stakeholders, including technical experts and NGOs, contributed to the process, which has guided our focus areas and reporting framework. These areas of focus underpinned new global sustainability policies introduced in 2025, complementing our existing responsible procurement policy and ESG due diligence. For more information on ESG due diligence see pages 68 - 69.

2025 2040

PUBLICATION OF
CHANEL'S FIRST CLIMATE
TRANSITION PLAN

NET-ZERO BY 2040

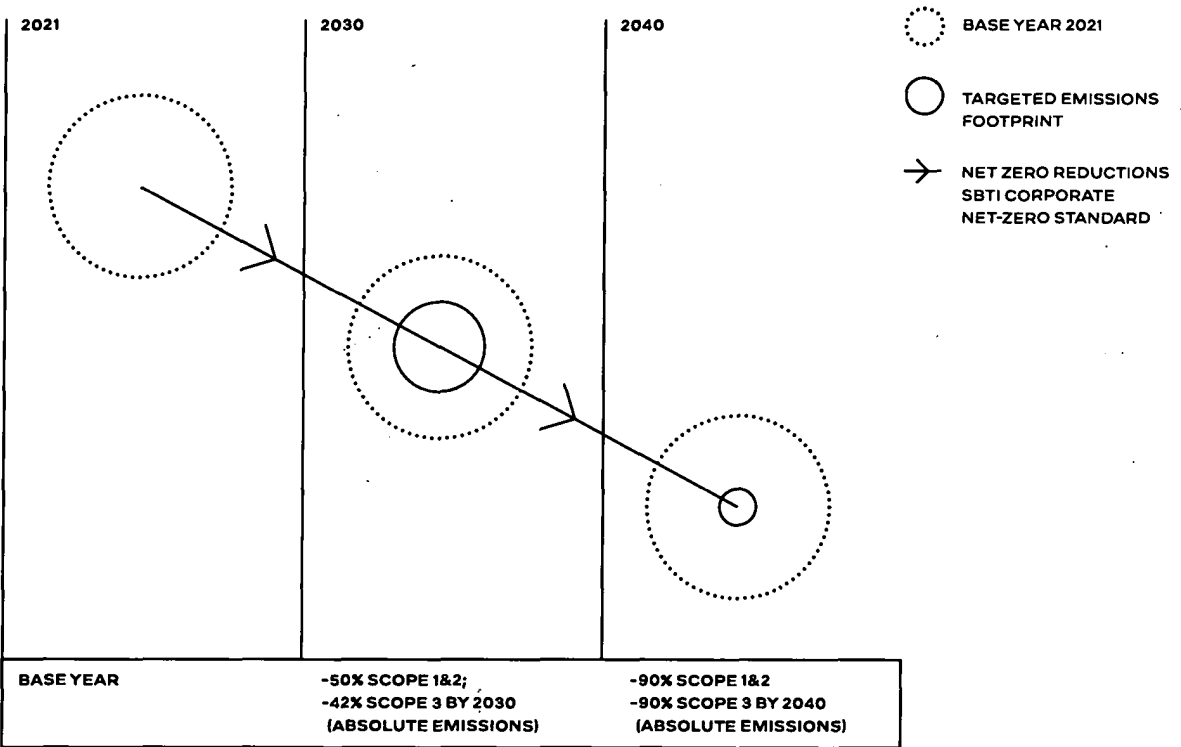
ADVANCING ENVIRONMENTAL SUSTAINABILITY

Chanel is committed to playing its part in addressing the climate crisis and restoring nature. In 2025, Chanel published its first Climate Transition Plan, setting out steps for achieving our Net-Zero 2040 Ambition and for managing climate-related risks and opportunities to support long-term business resilience. This includes targets set in 2024, which have been validated by the Science Based Targets initiative (SBTi) and aligned with its Corporate Net-Zero Standard. All business activities and regions are developing and implementing net-zero roadmaps aligned to this plan.

We continue to adopt low carbon solutions, integrating lower impact materials and maximising the durability and lifecycle of our creations, spaces and packaging. For more information on our Net-Zero 2040 Ambition and progress see the Non-Financial and Sustainability Information Statement.

Through our participation in the Science Based Targets Network (SBTN) we continue to advance our understanding of nature-related dependencies and are prioritising our actions based on an impact assessment covering, for example, land use and land use change, water quantity and quality, soil pollution and biodiversity.

OUR NET-ZERO TARGETS



Note: Chanel has also committed to reduce absolute scope 3 GHG Forest, Land and Agriculture (FLAG) emissions 30.3% by 2030, and 72% by 2040, from a 2021 base year.

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PROGRESS IN 2025

**SOURCING INGREDIENTS
SUSTAINABLY**

The Grasse flower fields in France, which supply ingredients for our iconic fragrances, progressed from Regenerative Organic Certified® Bronze to Silver, reflecting practices such as crop rotation, increasing plant cover and minimising soil disturbance. In the case of roses, regenerative practices have led to a 30% increase in carbon stored in the soil, resulting in a 45% reduction in the crop's carbon footprint. These actions help increase crop resilience and support adaptation to the impacts of climate change, in turn advancing the sustainable sourcing of ingredients.

**REDUCING OUR DEPENDENCY ON
PACKAGING RESOURCES**

The launch of CHANCE EAU SPLENDIDE incorporated lighter, lower-impact materials, reducing overall bottle and cap weight by 20%¹ and achieving over 95%² recyclability. The packaging of our HYDRA BEAUTY MICRO SÉRUM was redesigned, halving the amount of plastic used, resulting in a 50% reduction in GHG emissions.³ Refillable offerings expanded to 128 options in makeup, 20 in fragrance and 22 in skincare.

¹ For the CHANCE EAU SPLENDIDE 100ml bottle. ² For the bottle and cap, depending on local sorting and recycling procedures, if any, which vary from region to region. ³ Life cycle analysis carried out only on the 50 ml size. Impact on the climate change indicator was halved across the product life cycle (packaging, excluding the paper leaflet or QR code; formula; processing, including lost production; distribution; and end-of-life of the packaging, excluding end-of-life of the formula and the use phase, as the product does not need to be removed or rinsed off).

EMBEDDING SUSTAINABLE CONSTRUCTION IN BUILDING DESIGN AND PERFORMANCE

A further 90 Chanel projects achieved Leadership in Energy and Environmental Design (LEED) certification in 2025, bringing the global total to 383 certifications. The refurbished Lee Gardens boutique in Hong Kong S.A.R. achieved LEED Platinum, reflecting sustainable construction practices.

ENGAGING OUR RETAIL TEAMS FOR MORE SUSTAINABLE BOUTIQUES

Our updated 'My Responsible Boutique' programme was launched in Europe to raise awareness of sustainability among retail teams and embed best practices. A grading system (bronze to platinum) was introduced to help boutiques assess their progress, alongside dedicated tools and training, and sustainability roadmaps are in development for each boutique.

SWITCHING TO LOWER-CARBON LOGISTICS

Our Fashion business continued to test and implement the use of sea freight for transporting collections, while maintaining boutique delivery timelines. This builds on existing efforts to transition from air freight, including for the delivery of uniforms for boutique staff. In Europe, the use of electric vehicles for 'last kilometre' distribution to boutiques increased from approximately 40% in 2024 to approximately 70% in 2025.



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ADVANCING SOCIAL SUSTAINABILITY ACROSS OUR VALUE CHAIN

At Chanel, we believe everyone within and beyond our House should be treated with dignity and respect and should have the opportunity to thrive.

We are committed to respecting human rights across our operations and value chain, guided by internationally recognised frameworks including the United Nations (UN) International Bill of Human Rights, the International Labour Organisation (ILO)'s Declaration on Fundamental Principles and Rights at Work and the ILO's eleven fundamental instruments.

We proactively support and collaborate with our suppliers on social sustainability including through programmes which help to build socio-economic resilience, advance skills and savoir-faire and support local communities throughout our value chain.

PROGRESS IN 2025

KNOWLEDGE SHARING AND RESEARCH INTO NEW ACTIVE NATURAL INGREDIENTS

Through a partnership with the National Biodiversity Centre (NBC) of the Ministry of Agriculture and Livestock of Bhutan, our Fragrance & Beauty business continued to support knowledge exchange and capacity building on phytochemistry. Our long-term collaboration with NBC began in 2014 to develop cosmetic ingredients originating from Bhutanese plants. Since then, the first active ingredients resulting from the partnership – from the plant *Swertia chirata* – have been incorporated into our SUBLIMAGE product range. In November 2025, two NBC researchers from Bhutan joined our laboratories in Pantin, France, leading to a mutual exchange and transfer in scientific knowledge tied to the analysis of essential oils from plants of interest.

**PARTNERING WITH OUR SUPPLIERS TO
STRENGTHEN THEIR WORKFORCE’S
EXPERIENCE AND ENGAGEMENT**

Our Fragrance & Beauty business expanded a project with a packaging supplier and the NGO Ressources Humaines Sans Frontières in Mainland China, to further enhance the experience of the supplier's workforce. The multi-year engagement has led to the introduction of a model that supports skills development, contributing to improved employee motivation and retention in the factory, among other outcomes.

**ENGAGING WITH OUR SUPPLIERS AND
CONTRACT WORKERS TO ENHANCE PEOPLE’S
EXPERIENCE AT WORK**

The OnSite+ programme engages contract workers in regions such as Asia and the UK. For example, across our UK sites, more than 80% of cleaners and janitors participated in a worker voice survey, providing insights that will inform joint planning with our cleaning provider in 2026.

**BUILDING SUPPLIER ENGAGEMENT ON SOCIAL
SUSTAINABILITY PRIORITIES**

Through our social sustainability engagement forums, we continued to build a shared understanding of social priorities with suppliers and business partners and avenues for action in our value chain. Our engagement forum in 2024 led to further supplier engagement in 2025, resulting in social sustainability roadmaps and the strengthening of practices including improved onboarding processes, the introduction of multilingual handbooks and payslips, and enhanced workplace dialogue. In partnership with one of our distributing partners, we also launched online training on social sustainability topics for selected strategic suppliers.



COLLABORATION AND COLLECTIVE ACTION

Chanel's sustainability approach is underpinned by collaboration and collective action. Within Chanel, our Sustainability Academy provides learning opportunities for our people, equipping participants with a sustainability mindset and the relevant knowledge and skills to be agents of change in our sustainability transformation.

Since 2021, Chanel has partnered with the University of Cambridge, including the Cambridge Institute for Sustainability Leadership, to further support our people in embedding sustainability within their roles.

We also collaborate with our peers, suppliers, civil society and academic institutions to advance sustainable practices, scale impact and inspire long-term change.

PROGRESS IN 2025

EQUIPPING OUR PEOPLE AS AGENTS OF CHANGE

By the end of 2025, more than 7,500 people had completed our sustainability ambition online course. In 2025, we introduced additional courses focused on our Net-Zero 2040 Ambition, LEED fundamentals and sustainability for finance.

ACCELERATING OUR SUSTAINABILITY TRANSFORMATION BY PARTNERING WITH THE UNIVERSITY OF CAMBRIDGE

Our Circularity for Retail Spaces programme, designed and run through our partnership with the University of Cambridge, further equipped teams in Europe to integrate circular principles into retail design and operations. Teams apply their new skills to develop proposals for increasing circularity in our business.

ADVANCING COLLECTIVE PROGRESS

- We continued to participate in the Traceability Alliance for Sustainable Cosmetics (TRASCE) which was initiated by Chanel in 2023. Since launch, TRASCE has focused on mapping 40 raw material and packaging supply chains. In 2025, Chanel was involved in TRASCE working groups for addressing risks in the coconut and timber supply chains. We have also been active in the Sustainable Packaging Initiative for Cosmetics (SPICE) working group since 2018, the goal of which is to develop tools and methodologies to reduce the environmental impact of packaging and create more sustainable packaging options.
- In 2025, Chanel contributed to The Fashion Pact's European Accelerator, which brings together leading fashion groups and houses with the aim to accelerate supply chain decarbonisation, including through supplier capacity building and renewable energy adoption. The Accelerator is also supporting efforts to strengthen and harmonise environmental data collection to improve monitoring and reporting.
- Our Watches & Fine Jewellery business continued to collaborate with the wider industry through the Watch & Jewellery Initiative 2030 (WJI 2030) to address challenges focusing on three areas: building climate resilience, preserving resources and fostering inclusiveness. The President of CHANEL Watches & Fine Jewellery serves on the Board of WJI 2030 and a Chanel representative also chairs the WJI 2030 Action Committee on Fostering Inclusiveness, collaborating with other members to drive strategy and deliver programmes that support inclusion across the sector, aligned with evolving stakeholder and regulatory expectations.
- We also finalised a research project with the Institut Français de Recherche pour l'Exploitation de la Mer (IFREMER) to investigate methods to support oyster pearl farming resilience, with IFREMER providing concrete solutions to Polynesian pearl farmers to improve the management of natural resources and pearl quality.

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NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT

This section sets out Chanel Limited's climate-related financial disclosures in accordance with Sections 414CA and 414CB of the Companies Act 2006. It covers the Group and addresses sustainability governance, climate strategy, risk management*, and metrics and targets, based on financial materiality. Further detail on scope, boundaries and methodologies is available in the basis of reporting on [chanel.com](https://www.chanel.com).

SUSTAINABILITY GOVERNANCE

Sustainability is embedded in Chanel's governance and decision-making at all levels, from the Board through to the Executive Committee and operational teams.

The Board oversees Chanel's climate-related, and more broadly ESG-related, strategies, initiatives, goals and performance. The Board is supported by the Executive Committee, which is responsible for identifying, assessing and managing ESG-related impacts, risks and opportunities, and developing and executing ESG strategies by setting targets and implementing action plans and policies.

Sustainability topics are reviewed regularly, including through the Executive Committee's Sustainability Decision Forum, which comprises senior leaders across business activities, regions and the finance, legal and sustainability functions. In 2025, the Sustainability Decision Forum discussed, among other things, Chanel's first Climate Transition Plan, environmental sustainability policy and social sustainability in the value chain policy, before these were reviewed by the Audit Committee and approved by the Board.

Business activities, regions and functions are accountable for delivering sustainability initiatives aligned with Chanel's global frameworks and policies, supported by dedicated sustainability expertise. Progress is monitored by the sustainability leadership team and Executive Committee and reported to the Board.

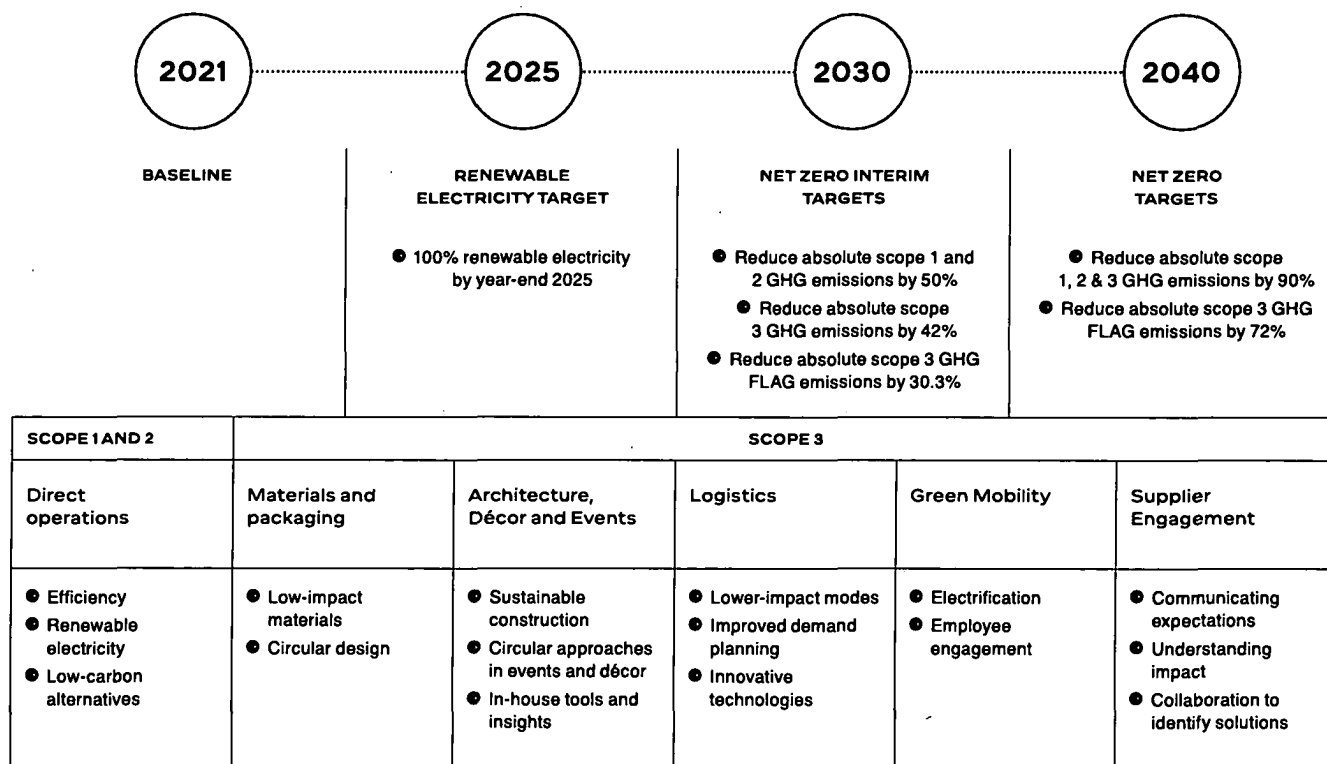
OUR LONG-TERM CLIMATE STRATEGY

Our Climate Transition Plan sets out steps for achieving our Net-Zero 2040 Ambition and for adapting to climate-related risks and opportunities. Our Net-Zero 2040 Ambition is in line with the Paris Agreement goal of limiting global warming to 1.5°C and includes targets validated by the SBTi and aligned with SBTi's Corporate Net-Zero Standard.

* See also risk management section from page 78.

The graphic below provides an overview of our climate-related targets together with the decarbonisation levers and actions for reducing and removing emissions and accelerating climate action. The remaining 10% of emissions will be addressed by 2040 through removals, by investing primarily in nature-based solutions.

OUR CLIMATE-RELATED TARGETS:



Climate considerations are increasingly embedded in our business processes and financial planning. For example, we are exploring an update to our internal carbon price (previously used on an ad-hoc basis in some capital investment decisions) and considering how it is applied.

In implementing our Climate Transition Plan, we identified several dependencies and uncertainties, such as the need for:

- Enabling infrastructure, such as an adequate supply of renewable electricity in national energy grids
- Regulatory incentives to invest in decarbonisation
- Collaboration with suppliers, business partners and industry peers to achieve scale across our value chain
- High-quality, accurate data
- Mature, available and viable low-carbon technologies
- The acceptance of new technologies as viable reduction measures

The Climate Transition Plan describes current key workstreams that will enable our transition to net-zero. Business activities and regions are designing and deploying net-zero roadmaps in line with the plan and will continue to refine these based on the latest innovations and evidence. Some actions have a clear path to scale-up, some are 'test-and-learn', and a few rely on the innovation of future solutions to help us achieve a 90% reduction. This is one reason why we will continue to invest in exploratory research, open innovation and green technologies.

The implementation of our Climate Transition Plan is supported by our environmental sustainability policy, social sustainability in the value chain policy, ESG due diligence policy and responsible procurement policy, all rooted in our global code of conduct, Our Ethics.

CLIMATE-RELATED RISKS, OPPORTUNITIES AND IMPACTS

The Group's climate risks and opportunities procedure details our approach to understanding, identifying and assessing climate-related physical risks and climate-related transition risks and opportunities. This document is updated as we evolve our understanding and to remain in line with the latest climate science.

The climate risks and opportunities procedure is guided by the Group's Integrated Risk Management (IRM) assessment methodology. Climate-related risks identified through the climate risks and opportunities procedure are incorporated into our IRM framework. In 2025, climate change was assessed as 'high' on our four-tier risk level scale and included as one of the Group's principal risks. These risks are validated by the Executive Committee and approved by the Audit Committee. See page 78 for further details.

OUR APPROACH TO CLIMATE-RELATED RISK AND OPPORTUNITY ASSESSMENT

Types of climate-related risks and opportunities

Physical risks

We assess acute and chronic physical risks to our operations, assets, people and supply chains. This screening provides insights into current and future exposure to different climate-related perils. The information helps us prioritise real estate at higher risk from extreme weather, for which adaptation could be more urgent.

Transition risks and opportunities

We evaluate risks and opportunities associated with the transition to a low-carbon economy, including regulatory changes (e.g. carbon pricing, emissions regulations), market shifts (e.g. changing consumer preferences), technological advancements (e.g. renewable energy adoption), and reputational impacts. The goal is to understand how these factors could affect our business model, financial stability, and strategic positioning in a rapidly evolving market.

Assessment scope and boundaries

Assessments are tailored based on business criticality, value chain visibility and the potential for positive impact. At Group level, we assess physical risks to our assets as well as transition risks and opportunities across the House. Our business activities each assess raw materials and suppliers specific to them and not covered by Group-level assessments.

Scenarios used

Physical risks are modelled based on at least two scenarios from the sixth assessment report (AR6) of the UN Intergovernmental Panel on Climate Change:

- SSP1-2.6: scenario where global CO2 emissions reach net-zero after 2050 (1.8°C by 2100).
- SSP2-4.5: scenario with moderate emissions reductions aligned with countries' commitments under Nationally Determined Contributions (NDCs). In this scenario, CO2 emissions hover near current levels before declining mid-century without reaching net-zero by 2100.
- SSP5-8.5: scenario with high emissions with maximum variability in climate extremes. This scenario is included in all assessments.

For transition risks and opportunities, we use the scenarios provided by the Network for Greening the Financial System (NGFS) to simulate diverse future scenarios representing different levels of climate change severity.

Climate perils

Climate perils are potential climate-related physical events or trends that may cause damage and loss. Business activities conduct their assessments using the classification of climate perils under the EU Taxonomy Regulation, focusing on those most relevant to their activities.

Time horizons

For physical risks, all assessments align with:

- Baseline (average between 1985 and 2014): current risk, also used for comparison against future projections.
- Medium-term (2030 - average between 2015 and 2044): immediate risks commonly used for defining climate adaptation planning and budgets.
- Long-term (2050 - average between 2035 and 2064): potential long-term consequences of climate change, used for taking strategic decisions related to our business model, geographic presence, long-term investments, acquisitions and divestments.

We assess transition risks and opportunities over the short-term (two to three years) and medium-term (five to seven years). The focus is on actions to address immediate risks and seize opportunities. Long-term implications will be considered if, for example, there is upcoming regulation which will be implemented further in the future.

Financial materiality of climate-related risks and opportunities

In 2025, we built on the high-level financial materiality assessment carried out the previous year, which estimated the potential value at risk across the Group using the financial materiality thresholds defined in our IRM framework. This initial assessment overlaid financial metrics, such as total asset value, product values and average annual revenue, onto peril or multi-peril climate-related risk scores. While this provided a high-level understanding of potential financial impacts, it did not incorporate site-specific vulnerability.

To address this, work was initiated in 2025 to pilot more detailed analyses of potential financial impacts for selected key sites, incorporating site-level vulnerability to strengthen our understanding of the financial significance of climate-related risks. This work will support the prioritisation of climate adaptation actions, resilience measures and related investments going forward.

Adaptation to build resilience

Business activities respond to physical and transition risks in line with business continuity plans and our climate risks and opportunities procedure. We prioritise actions using the following criteria:

- **Multi-peril (climate score) risk:** prioritising sites exposed to multiple perils, such as drought and sudden rainfall, which increase the chances of higher damage.
- **The financial value at risk:** combining the financial impact of physical risks on sites, raw materials or activities with the climate score highlights areas of critical business risk.
- **Historical events/occurrences:** understanding prior events such as floods, storms or heatwaves in locations where Chanel and its supply chain operate helps identify trends in frequency, severity and impact.
- **Current level of preparedness:** identifying sites with low levels of preparedness helps prioritise actions to build resilience where it is needed.

Alongside these criteria, we continue to prioritise our long-term supplier partnerships, factoring in the potential for decarbonisation with a view to defining adaptation plans together.

Climate-related risk and opportunity management

The tables below summarise the results of climate-related risk and opportunity assessments conducted up to year-end 2025, along with the actions being taken to ensure the resilience of Chanel and its value chain.

The principal climate-related risks could impact Chanel's business model in the following ways: (i) increased raw material costs and supply volatility affecting product cost and availability; and (ii) disruption to manufacturing and logistics operations. These impacts may intensify in the medium- to long-term, particularly under the SSP5-8.5 scenario, affecting, in particular, countries in Asia exposed to water stress and risk of flooding, and Europe and the Americas due to sudden flooding.

The principal transition risks that could impact Chanel's business model are related to the policy and legal changes associated with the transition to a low-carbon economy. This transition, however, also presents opportunities in circular models and technological developments.

These risks and opportunities will likely increase over the medium- to long-term, especially under a net-zero transition scenario.

In response, we now include: integrating climate considerations into real estate decisions; regular review of existing business continuity plans and workplace risk assessments in sites located in high-risk areas; the development of circular business models to reduce raw material dependency; and the ongoing efforts towards our Net-Zero 2040 Ambition.

PHYSICAL RISKS		
Scenarios used: SSP1-2.6 1.8°C* SSP2-4.5 2.7°C SSP5-8.5 4.4°C Time horizons: Baseline Medium-term (2030) Long-term (2050) Main perils: Heat stress (acute) Flooding (acute) Water scarcity (chronic)		
Physical Risk Type	Physical Risk Description	Strategic Response and Risk Management
Health and safety of our people	Unworkable conditions due to extreme weather events could impact productivity and disrupt business.	We are rolling out workplace risk assessments in markets prone to extreme weather events. Hazards are evaluated and control measures, such as resilient air conditioning systems, may be introduced. Our people may also be instructed not to come to their workplace. We consider multiple factors when choosing new office, boutique, and warehouse locations, including exposure to hazards. At certain high-risk production sites, distribution centres and warehouses, business continuity plans are established and regular evacuation drills are conducted.
Assets and infrastructure	Material damage to buildings and surrounding areas, assets and finished products (heat stress impacting physical aspects of the building/assets, etc., flooding or water scarcity could disrupt business).	Examples of actions taken include: ● Modelling specific climate perils related to natural catastrophes, prior to annual property damage and business interruption insurance policy renewal. ● Assessments by property insurers of between 12 and 15 key sites per year, recommending improvement actions in areas including natural hazard exposure. Manufacturing sites are visited every three years, and other key sites annually. Other locations (such as boutiques and offices) are visited periodically. Assessed sites must respond to key recommendations within 60 days with a plan for addressing them. We share best practices and common recommendations with business activities, regions and functions. ● Ensuring comprehensive insurance to help protect us financially from property damage and business interruptions due to extreme weather events. ● Developing business continuity plans to minimise disruptions.
Operational continuity for sites	Weather events (e.g. water stress or flooding) disrupting business, raising operational costs and reducing production efficiency, for example by damaging structures or stock, impeding access or halting supplier production.	Examples of actions taken include: ● Sharing results of climate-related risk assessments with production sites in France and prioritised direct suppliers to discuss appropriate adaptation plans. ● Focusing on production sites particularly affected by water stress and flooding, with a predicted high climate impact, including setting water-use reduction targets.
Raw material supply	Reduced availability and quality of raw materials, along with increased costs due to climate impacts on breeding, cultivation, and extraction areas, particularly affecting cotton, animal leather, and cashmere.	We are strengthening the resilience of key supply chains through tailored sourcing programmes. Examples of actions taken include: ● Increasing the percentage of materials certified to credible standards such as the Global Organic Textile Standard or Responsible Wool Standard. ● Implementing measures on the ground such as plant-fibre tarp covers, run-off ditches and irrigation systems. These are enabled by increasing traceability to material origin.
Logistics	Disrupted logistics flows or closure of trade routes, leading to loss of sales due to business stoppage and increased operating costs due to reallocation of logistics flows.	Examples of actions taken include: ● Ensuring comprehensive marine cargo (transit) insurance to mitigate the financial impact of loss or damage caused by extreme weather events. ● Planning alternative routes. ● Ensuring adequate inventory levels at boutiques, warehouses, and distribution centres for regions and markets to allow for delays or disruption of deliveries.
* The scope of the assessment reflects the strategic priorities of our business activities and regions, including their respective ability to act and influence. Pre-existing assessments are gradually evolving into the recommended scenarios of SSP2-4.5 and SSP5-8.5.		

TRANSITION RISKS		
Scenarios used: Qualitative assessment on impact areas: legal/reputational, health and safety and operational (financial quantification ongoing using NGFS Net-Zero and NDC scenarios)		Time horizons: Short-term (2-3 years) Medium-term (5-7 years)
Transition Risk Type	Transition Risk Description	Strategic Response and Risk Management
Policy, legal & reputation	Failure to comply with current and emerging climate-related laws and regulations including carbon taxes. (Medium-term)	Our Legal team monitors anticipated regulatory and legislative changes at market level and advises impacted teams in order to support on business strategy adaptation. Carbon taxes are considered in Chanel's short- and long-term financial planning.
Market and technology	Inability to embed Climate Transition Plan into business strategy, leading to delayed action and failure to meet net-zero targets. (Medium-term)	Examples of action taken include: ● Designing and deploying net-zero roadmaps in business activities. ● Improving data collection for identified impacts to enable effective decision-making at the right level. ● Sustainability Academy learning on sustainability and net-zero to equip our people with the sustainability mindset and skills to be agents of change.
Market and technology	Inability to switch to acceptable low-carbon alternatives, where insufficient investment to decarbonise the supply chain hinders net-zero targets. (Medium-term)	Chanel is transitioning to low-carbon options and increasing energy efficiency through LEED certification and energy management systems. Examples of action taken include: ● Continuing efforts to use 100% renewable electricity* in Chanel's own operations. ● Piloting sustainable aviation fuels in partnership with carriers for routes with no current suitable alternative to flying. ● Switching to electric vehicles for operations and deliveries where possible. ● Implementing new technologies to reduce energy consumption. For example, our Fragrance & Beauty business is replacing more than 50% of the natural gas heating at its global distribution centre with geothermal energy by 2027.
NOTE – Transition risks are prioritised by selecting those with an impact rating of “major” and a likelihood ranging from “possible” to “almost certain.”		

OPPORTUNITIES		
Scenarios used: Qualitative assessment on impact areas: legal/reputational, health and safety and operational (financial quantification ongoing using NGFS Net-Zero and NDC scenarios)		Time horizons: Short-term (2-3 years) Medium-term (5-7 years)
Opportunity Type	Opportunity Description	Strategic Response and Opportunity Management
Market and technology	Improved circularity from sourcing lower-impact raw materials and offering repair services, leading to increased Brand value. (Medium-term)	Actions range from using certified materials and providing services dedicated to care, repair and alteration, to accelerating refill solutions for Fragrance & Beauty packaging.
Market and technology	Improved supplier access to renewable electricity*, reducing Scope 3 emissions. (Medium-term)	Integrated Suppliers are included in Chanel's renewable electricity* strategy and targets as part of a wider supplier resilience approach that includes responsible sourcing practices, energy efficiency solutions for direct suppliers, and climate-related physical risk mapping for direct suppliers and, where feasible, other upstream suppliers.
Reputation	Use of effective climate communications to drive systemic change in the luxury industry. (Medium-term)	Continued stakeholder engagement and partnerships to drive collective impact. Examples include partnerships with The Fashion Pact and WJI 2030 (see page 52).
NOTE – Transition opportunities are prioritised by selecting those with an impact rating of “major” and a likelihood ranging from “possible” to “almost certain”.		

CLIMATE-RELATED METRICS AND TARGETS

Chanel has set the following SBTi-validated targets on the path to its Net-Zero 2040 Ambition:

- Reduce absolute scope 1 and 2 GHG emissions by 50% and absolute scope 3 GHG emissions by 42%, by 2030 from a 2021 base year.
- Reduce absolute scope 1, 2 and 3 GHG emissions by 90% by 2040, from a 2021 base year.
- Reduce scope 3 GHG FLAG emissions by 30.3% by 2030 and 72% by 2040, from a 2021 base year.

Our net-zero targets include the use of carbon removals to address up to 10% of residual emissions and define FLAG targets separately, in line with SBTi principles.

GHG emissions data is calculated in accordance with the Greenhouse Gas Protocol Corporate Accounting and Reporting Standard. Full details are available in the basis of reporting on [chanel.com](https://www.chanel.com).

2025 CLIMATE-RELATED PERFORMANCE

Chanel's carbon footprint decreased in 2025 across scope 1, 2 and 3 GHG emissions. The total carbon footprint in 2025 was 1,012,434 tonnes CO₂e, with scope 1 and 2 emissions accounting for 2% of this footprint, and scope 3 accounting for 98%.

Due to continued efforts to advance decarbonisation initiatives in our own operations, scope 1 and 2 emissions have decreased by 24% in comparison to the 2021 base year and 2.6% in comparison to 2024. The main driver of this reduction is the continued transition towards renewable electricity. By year-end 2025 we achieved 100%* renewable electricity in our own operations.

Scope 3 emissions decreased by 19% in comparison to the 2021 base year and 10% in comparison to 2024. We continue to improve data quality and methodologies to better understand our impacts and areas for action.

Raw materials within our supply chain continued to be an area of focus and remain the largest part of our scope 3 GHG emissions footprint. Emissions from raw materials reduced by 7% in 2025 due to a combination of lower volumes, mix in material use and the continued development of our strategic transformation programmes, particularly for textiles.

Other significant category movements include business travel, which decreased by 34% following a reduction in travel, and freight emissions, which decreased by 6%.

We continued to integrate more life cycle assessments of our boutiques to better understand their carbon footprints. As a result, our capital goods emissions decreased by 8%, while relevant capital goods expenditure remained steady.

100%*

RENEWABLE ELECTRICITY

* Chanel and the Integrated Suppliers achieved an aggregate 100% renewable electricity in their own operations, 99.6% of which was calculated in accordance with RE100 Technical Criteria. Due to market-wide failures in Cambodia that were outside the control of Chanel, electricity used in Cambodia representing 0.4% of global electricity in own operations was wholly offset by Renewable Electricity Certificates purchased from a connected grid in Vietnam.

CARBON EMISSIONS (TCO2E)	2025	2024	2021
	Global	Global	Global
SCOPES 1 AND 2			
Scope 1 – Emissions from fuel for vehicles and heating of facilities	21,426 [#]	21,619 [#]	23,039
Scope 2 – Emissions from purchase of electricity, heat, steam, and cooling (location-based)	47,321	44,202	40,030
Scope 2 – Emissions from purchase of electricity, heat, steam, and cooling (market-based)	2,021 [#]	2,451 [#]	7,865
Total Scope 1 and 2 (location-based)	68,747	65,821	63,069
Scope 1 and 2 Intensity ratio (market-based kg CO₂e per unit sold)	0.27	0.27	0.37
SCOPE 3 *			
Purchased goods and services (Category 1)	564,265	626,797	760,095
Capital goods (Category 2)	204,147	222,061	158,786
Fuel- and energy-related activities not included in Scope 1 and 2 (Category 3)	16,830	16,288	14,142
Upstream and downstream transportation and distribution (Categories 4 and 9)	108,309	115,831	189,922
Upstream and downstream transportation and distribution (Categories 4 and 9) with Sustainable Aviation Fuel (SAF)	105,531	114,239	N/A
Waste generated in operations (Category 5)	5,057	5,557	6,490
Business travel (Category 6)	34,981	53,292	56,362
Employee commuting (Category 7)	26,671	27,622	10,471
End of life of sold products (Category 12)	8,769	10,392	9,155
Franchises (Category 14)	22,736	22,930	14,961
Total Scope 3 (with SAF)	988,987 [#]	1,099,178 [#]	1,220,384
Scope 3 Intensity ratio (market-based kg CO₂e per unit sold)*	11.24	12.37	14.62
Total scope 1, 2 (market-based) and 3 (with SAF)	1,012,434	1,123,249	1,251,288

* Intensity ratio is calculated using individual units manufactured in the year for Fragrance & Beauty and individual units sold to end customers in the year for Fashion and Watches & Fine Jewellery.

The data was subject to external limited or reasonable assurance. For the results of this assurance, please see EY's assurance statement on pages 191 - 195.

RENEWABLE ENERGY ENERGY CONSUMPTION AND ENERGY MIX

ENERGY USE (KWH)	2025	2024	2021
	Global	Global	Global
Fuel (including vehicles)	15,844,973	17,039,583	15,610,047
Natural gas	70,450,541	70,670,472	82,070,196
Purchased electricity, heat, steam or cooling	179,925,967	170,346,196	154,064,726
Self-generated non-fuel renewable energy	9,686,422	8,023,361	4,801,430
Total	275,907,903	266,079,612	256,546,399
% Electricity from renewable sources	100% **	99% *	92%

ENERGY CONSUMPTION MIX	2025
	Global
Total energy consumption from renewable sources	173,971,630 *
Consumption of purchased or acquired electricity, heat, steam, or cooling from renewable sources	164,248,848
Fuel consumption for renewable sources, including biomass	36,360
Consumption of self-generated non-fuel renewable energy	9,686,422
Total fossil energy consumption	101,936,273
Consumption of purchased or acquired electricity, heat, steam, or cooling from fossil sources	15,677,119
Fuel consumption from coal and coal products	0
Fuel consumption from natural gas	70,450,541
Fuel consumption from crude oil and petroleum products	15,808,613
Total energy consumption	275,907,903
Share of renewable energy consumption	63%
Share of renewable electricity consumption	100% **

Chanel favours the inclusion of on-site renewables or power purchase agreements where feasible, followed by green tariffs, and finally the purchasing of unbundled energy attribute certificates (such as the Renewable Energy Guarantee of Origin in the UK). Chanel obtains all renewable electricity from sources permitted under the RE100 technical criteria, except in cases of market-wide failures, aiming for innovative solutions to deliver additional positive environmental and social impacts where possible, and calculates its renewable electricity percentage in accordance with the RE100 technical criteria.

* Chanel and the Integrated Suppliers achieved an aggregate 100% renewable electricity in their own operations, 99.6% of which was calculated in accordance with RE100 Technical Criteria. Due to market-wide failures in Cambodia that were outside the control of Chanel, electricity used in Cambodia representing 0.4% of global electricity in own operations was wholly offset by Renewable Electricity Certificates purchased from a connected grid in Vietnam.

The data was subject to external limited or reasonable assurance. For the results of this assurance, please see EY's assurance statement on pages 191 - 195.

STREAMLINED ENERGY AND CARBON REPORTING (SECR) TABLE

ENERGY USE (KWH)	2025	2024	2021
	United Kingdom	United Kingdom	United Kingdom
Fuel (including vehicles)	324,469	590,407	593,344
Natural gas	4,707,617	5,421,434	5,023,404
Electricity	4,206,279	4,004,134	2,838,073
Total	9,238,365	10,015,975	8,454,821
% Electricity from renewable sources*	100%	100%	98%

CARBON EMISSIONS (UNITED KINGDOM)

CARBON EMISSIONS (TCO ₂ E)	2025	2024	2021
	United Kingdom	United Kingdom	United Kingdom
Scope 1 – Emissions from fuel for vehicles and heating of facilities	982	1,193	924
Scope 2 – Emissions from purchase of electricity, heat, steam and cooling (location-based)	785	792	608
Scope 2 – Emissions from purchase of electricity, heat, steam and cooling (market-based)	0	0	19
Total Scope 1 and 2 (Location-based)	1,767	1,986	1,532
Scope 1 and 2 (location-based) intensity rate (kg CO ₂ e per unit sold)	0.37	0.36	0.35

Energy consumption in the UK decreased in 2025 due to a number of factors, including better data availability, and actions taken to reduce consumption of natural gas and fuel. The reduction in scope 1 emissions is driven by greater data accuracy on natural gas consumption, as well as an increased switch to hybrid vehicles and the electrification of our operations. A small increase in electricity consumption is offset by a reduction in location-based emission factors, leading to a small reduction of location-based scope 2 emissions. Market-based emissions remain at zero due to achieving 100% renewable electricity across our UK sites.

SUSTAINABILITY-LINKED BONDS

In October 2020, the Company's subsidiary, Chanel Ceres plc, issued sustainability-linked bonds (SLBs), in an aggregate amount of EUR 600 million with notes maturing in 2026 and 2031 respectively, in accordance with the ICMA's Sustainability Linked Bond Principles on the Luxembourg Stock Exchange. The SLBs are guaranteed by the Company, and the terms of the SLBs are directly linked to the objectives of the Company's original climate action plan, CHANEL Mission 1.5°. Three key performance indicators were selected for the SLBs to measure sustainability improvements, including:

- scope 1 and 2 GHG emissions;
- scope 3 GHG emissions; and
- percentage of renewable electricity in Chanel's own operations.

Previously, CHANEL Mission 1.5° included all three scopes for House entities and scope 1 and 2 GHG emissions only for the Integrated Suppliers. Now our Net-Zero 2040 target also includes the relevant GHG protocol categories of scope 3 for all Integrated Suppliers, as well as the House entities. In our net-zero reporting, we do not include scope 3 GHG emissions from network media and the use of sold products, as these are areas over which Chanel does not have much control, and these are optional to include in scope 3 according to the GHG protocol.

In 2025, the CHANEL Mission 1.5° scope 1 and 2 emissions amounted to 23,447 tonnes CO₂e and scope 3 emissions amounted to 845,299 tonnes CO₂e. As at 31 December 2025, Chanel's Renewable Electricity Percentage (as defined in the prospectus for the SLBs) in its own operations was 100%*.

The Company's global carbon footprint disclosures for the UK are detailed in the Streamlined Energy and Carbon Reporting (SECR) table, included earlier in this section. This table includes the net-zero scope of reporting for 2025 and the baseline year 2021, in comparison to 2024. There is no change in the UK SECR table due to the transition to the Net-Zero 2040 target.

* Chanel and the Integrated Suppliers achieved an aggregate 100% renewable electricity in their own operations, 99.6% of which was calculated in accordance with RE100 Technical Criteria. Due to market-wide failures in Cambodia that were outside the control of Chanel, electricity used in Cambodia representing 0.4% of global electricity in own operations was wholly offset by Renewable Electricity Certificates purchased from a connected grid in Vietnam.

ETHICAL BUSINESS

Integrity is central to Chanel's business philosophy and underpins how we earn trust and operate responsibly. In 2025, Chanel continued to strengthen its ethical business framework, with a focus on further embedding a culture of integrity, reinforcing speak-up mechanisms, managing compliance risks and enhancing oversight across the value chain.

OUR ETHICS

Our Ethics is Chanel's global code of conduct and practical guide to responsible decision-making. It applies to Chanel's people across the House and sets expectations for how we act with clients, colleagues, suppliers and communities. The code is available in 20 languages and supported by mandatory e-learning. By the end of 2025, 92% of office-based employees across the House had completed the training, complemented, where relevant, by role-specific learning, leadership engagement and practical decision-making tools.

Chanel's business ethics are part of our culture, reinforced through leadership behaviour, clear expectations and consistent handling of issues or concerns. The Legal team regularly reviews and updates the business ethics framework to reflect evolving regulation, best practice and risks.

SPEAK UP CULTURE

Chanel is committed to maintaining a culture where people feel safe to raise concerns. In 2025, we updated our global whistleblowing policy, reaffirming confidentiality, nonretaliation and fair and proportionate investigations. The policy explains how employees and third parties can raise compliance concerns, including anonymous reporting where permitted by law.

The policy update was supported by the global "Let Us Know" awareness campaign, the Group's largest business ethics initiative of the year, delivered through digital communications, leadership videos, retail learning tools and in-person events across more than 20 locations.

During 2025, 214 concerns were raised globally. Of the cases closed, 42% were substantiated fully or partially, resulting in appropriate disciplinary action and process improvements.

COMPLIANCE WITH LAWS

Chanel is committed to complying with applicable laws and regulations in every jurisdiction in which it operates. The Legal, Business Ethics and Public Affairs teams monitor regulatory developments and translate requirements into clear policies, guidance and role-relevant training. This equips Chanel's people to act with integrity, to recognise dilemmas, and to know how and when to seek guidance or raise concerns.

Chanel maintains a zero-tolerance approach to fraud, bribery and corruption. In 2025, a global risk assessment, prioritising higher risk markets and activities, informed enhancements to controls, training, approval processes for higher risk third-party engagements, and escalation processes.

DATA ETHICS AND RESPONSIBLE AI

Responsible data management remains a priority as digital capabilities expand. Chanel aims to always handle data in compliance with laws and high standards of security and ethics, balancing innovation with safeguards that protect people's privacy and earn trust. A global Data Governance Committee, made up of experts in data governance, legal and privacy, information technology, and security, as well as members of Chanel's innovation and media teams and the wider business, oversees data management and ethics, privacy and security, advising the Executive Committee on risk appetite and controls.

In 2025, Chanel continued to develop its responsible AI framework, including the development of a global risk evaluation tool to assess AI use cases to determine whether a particular use case is low risk or whether it needs deeper assessment. The Group has established responsible AI principles and guidelines on AI deployment and the use of generative AI tools that are publicly available and have been assessed for safe use and implemented within the Group. Chanel aims to ensure use of AI is pragmatic and encourages experimentation and learning. Training and upskilling initiatives have also been implemented to support responsible adoption while encouraging innovation.

GOVERNANCE AND OVERSIGHT

The Board oversees business ethics through its Audit Committee. The Audit Committee receives regular updates from the Global Chief Legal Officer (CLO) and the Chief Compliance Officer and reports to the Board on programme effectiveness, internal controls and material issues. A Global Compliance Steering Committee oversees implementation across regions and business activities, supported by local compliance forums. Compliance risks are assessed through the Group's IRM framework, with targeted deep dives on higher risk areas, including fraud and corruption. See page 56 - 60 for more information on our IRM programme.

In 2025 the Board approved the global whistleblowing policy and Let Us Know campaign.

EMBEDDING ETHICS IN EVERYDAY DECISIONS

The Group focuses on a small number of programme elements that make the most difference in day-to-day behaviour and risk outcomes:

- **Clear policies and simple tools:** Our Ethics and other compliance policies set expectations on key risks with concise decision aids to support judgement.
- **Role-relevant learning:** Chanel combines mandatory e-learning with scenario-based modules for higher risk roles and toolkits that help leaders host effective business ethics conversations.
- **Speak up and fair investigations:** Channels are open to employees and, where appropriate, third parties; concerns are investigated promptly and proportionately, retaliation is prohibited, and root causes are analysed to improve controls.
- **Data ethics:** Privacy by design and responsible data practices are embedded in all relevant projects, aligning innovation with safeguards and governance.

LOOKING AHEAD

In 2026, Chanel will continue to strengthen its business ethics framework, including an update and relaunch of the global anti-harassment, bullying and discrimination policy, reinforcing expectations around behaviour and accountability. Chanel's commitment is simple: act with integrity, learn when we fall short, and keep earning trust every day, in every decision, across the Group.

ESG DUE DILIGENCE

Our due diligence approach is designed to identify and address material environmental, social and governance risks and adverse impacts across our value chain, while supporting responsible growth and the continued ethical development of our business.

Our Responsible Supplier Programme team supports operational teams in their relationships with suppliers, providing a cohesive framework including guidelines and supplier audit methodologies which are aligned with our strategic ESG initiatives and sustainability ambitions.

STRATEGY AND APPROACH

In 2025, we introduced an ESG due diligence policy that formalises how we identify, assess, prioritise prevent, mitigate, remediate and account for ESG risks and adverse impacts across our value chain. It aligns with recognised international guidelines and reference standards including:

- the Organisation for Economic Co-operation and Development (OECD) guidelines for Multinational Enterprises on Responsible Business Conduct;
- the UN Guiding Principles on Business Ethics and Human Rights; and
- the ILO fundamental instruments.

The policy applies across the House and covers relationships with both direct and indirect suppliers. It is implemented through a practical framework with four pillars: identify material topics; assess, prioritise and verify; prevent, mitigate and remediate; effective governance and efficiency monitoring.

This framework enables risk mapping and prioritisation, drives traceability, and leverages assessments such as audits to provide on-site verification. It also structures prevention, remediation and supplier capability-building, supported by common standards, tools and procedures.

In 2025, we published our ESG Standards in six languages. The standards which translate our responsible procurement policy into concrete requirements for suppliers, support internal alignment across jurisdictions, and inform audit criteria.

We have implemented tools and processes to carry out financial, legal, regulatory and reputational checks, as appropriate to the nature of the relationship when selecting new suppliers. We provide targeted training for suppliers and collaborate with industry partners to continue to raise standards. We also maintain a Chanel Ethics Helpline and encourage suppliers to provide accessible, fair and confidential grievance mechanisms. Insights from audits and grievances inform prioritisation and improvement actions, including working with suppliers on corrective action plans.

GOVERNANCE

The Responsible Supplier Programme team has an independent reporting line to the Audit Committee, strengthening audit expertise and harmonising supplier assessment practices in partnership with business activity and regional Sustainability and Business Ethics teams. The Board oversees the ESG due diligence programme through its Audit Committee, and approved the ESG due diligence policy in 2025.

PROCUREMENT

Beyond our own operations, our value chain is focused on two pillars. Firstly, the sourcing of raw materials and finished goods to manufacture our products (direct procurement), and secondly, the procuring of goods and services for promotional, marketing, distribution and operational activities (indirect procurement).

For direct procurement, our teams map the chain of production sites, comprising direct suppliers and indirect suppliers (i.e. subcontractors). In 2025 we had around 900 direct suppliers for our business activities – 80% of which were based in Europe - and in total we mapped close to 3,000 sites.

Teams assess supplier ESG risks in line with the supplier assessment guidelines within our global ESG due diligence framework, applicable laws and regulations, and guidance from the Legal team, to prioritise verification activities. These activities include announced, semi-announced and unannounced onsite audits, as well as limited scope or topic-specific visits. Internal teams and qualified external firms carry out the audits, following a standard audit protocol.

Indirect procurement covers a large variety of suppliers, with a majority providing services (including construction, events, professional services, real estate and information technology).

Our indirect procurement platform and a commodity-based risk framework enable consistent vendor registration, risk mapping and prioritisation. This framework includes legal, reputational and financial checks, due diligence questionnaires, and contractual controls. For higher-risk categories we use business sustainability ratings by EcoVadis (a globally recognised sustainability rating platform) and carry out onsite audits. In 2025, we registered more than 20,000 suppliers worldwide in systems requiring specific ESG and adapted due diligence and priority management.

ADDRESSING AUDIT NON-CONFORMITIES

A standardised non-conformity scale is applied in audits: ranging from minor non-conformities to essential commitment breaches (ECB). Our updated ECB process, implemented in the second half of 2025, addresses situations with potential acute impacts and can trigger immediate escalation and, as a last resort, responsible exit. Following audits and when necessary, Chanel implements corrective action plans and targeted, proportionate remediation plans, which can include training, capability-building and tailored support.

In 2025, Chanel carried out extensive ESG-related due diligence activities across its operations, completing around 730 verification actions – including approximately 480 full ESG audits across 29 markets.

LOOKING AHEAD

In 2026, we will continue to evolve our ESG due diligence framework by enhancing standards, guidelines and tools; as well as specific approaches for high-risk categories; and further capacity-building programmes for teams and suppliers, including partnerships to amplify impact.

Further information and our latest Modern Slavery Statement are available on [chanel.com](https://www.chanel.com).

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FONDATION CHANEL

Fondation CHANEL is dedicated to advancing a world where women and girls can shape their own destiny, supporting partners around the world to achieve this mission.

FONDATION CHANEL

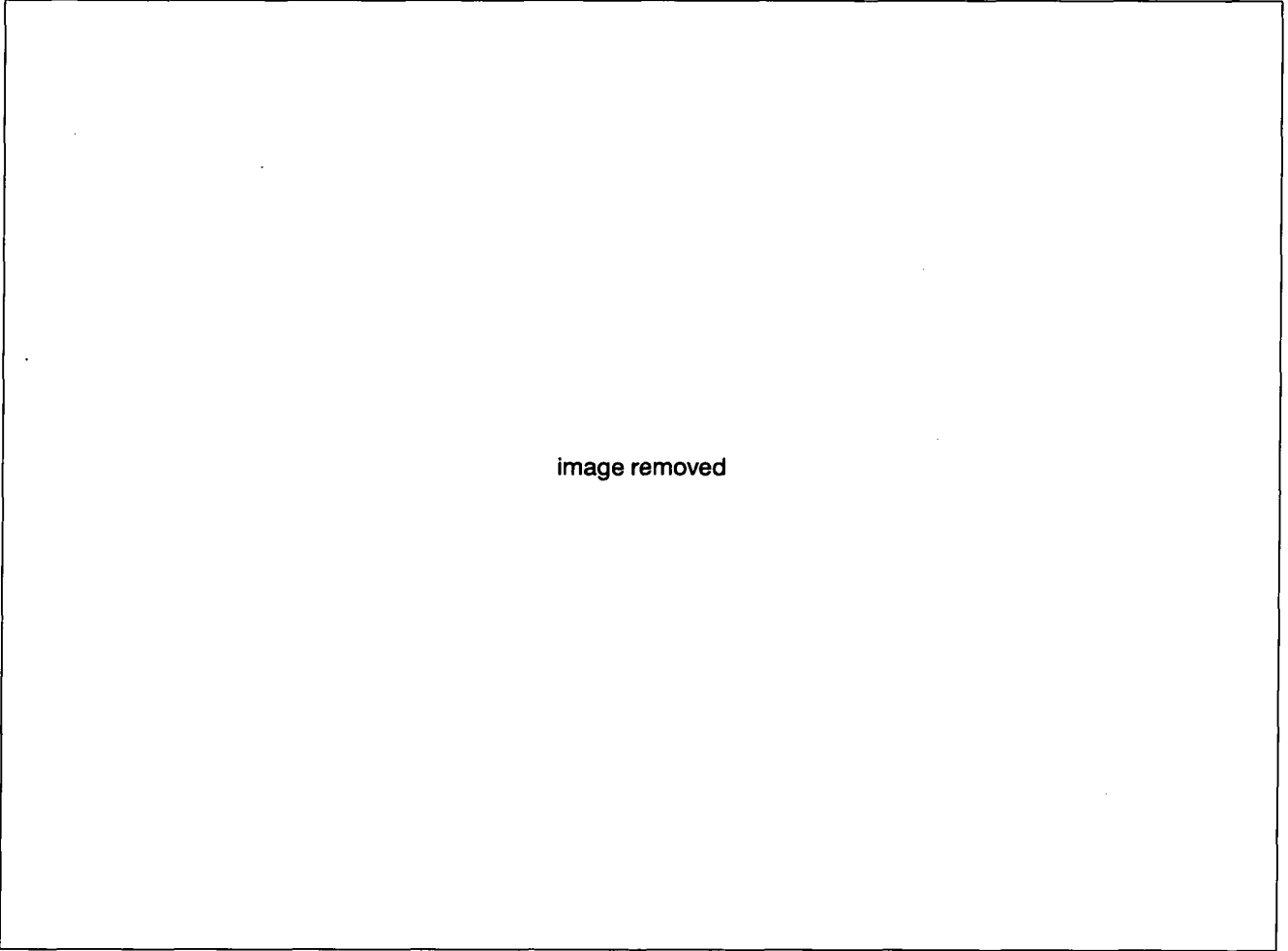


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Fondation CHANEL is an independent charity registered with the Charity Commission in England and Wales.

In 2025, Chanel made another commitment of \$125 million to support Fondation CHANEL.

APPROACH

The Foundation's approach recognises that women and girls face interconnected challenges, with those closest to the issues being best placed to drive solutions.

Fondation CHANEL supports partners through grants that span three vital, interconnected focus areas: ensuring safety, fostering economic and social autonomy, and advancing women-led climate resilience. The strategy is built on more than just funding. The teams invest in meaningful grant making, research and insight, capacity building, and advocacy, all rooted in unwavering core values.

The Foundation commits to multi-year partnerships, helping each partner to realise their unique impact. Fondation CHANEL prioritises trust-based partnerships, an approach to funding that centres around respect, shared decision-making, and autonomy for partners, particularly those that are led by women and people with lived experience on issues of inequality.

SUPPORTING PARTNERS THROUGH MULTI-YEAR GRANTS

In 2025, total grants payable to partners amounted to \$137 million. The Foundation approved grants to 137 new partners and renewed grants to 60 existing partners. At the end of 2025, the Foundation was managing 323 multi-year grants with a total overall value of \$413 million. Through this support, partners have positively impacted the lives of more than 10 million women and girls globally. They have also reached over 1.8 million men and boys to help reduce gender-based violence and unequal caregiving burdens.

Many of Fondation CHANEL's partners also sub-grant to smaller, grassroots women's rights organisations. As a result, the Foundation indirectly supports an ecosystem of over 7,000 organisations across more than 100 countries, amplifying community-led solutions. In addition to vital day-to-day work on the ground, the Foundation is committed to enabling sustainable, long-term systemic change.

7,000+

ORGANISATIONS

100+

COUNTRIES

44% of grants represent work to support gender equality by creating a shift in narratives and attitudes, while almost half of current partners work on advocating for legal or public policy protections for women and girls in their countries. Of these partners, approximately two-thirds have reported achieving public policy success in the last three years. The policy and narrative changes achieved through these partnerships have the potential to positively impact millions more women and girls and their families in the years to come.

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STRENGTHENING OUR PARTNERS AND ENHANCING IMPACT

The Foundation's Funder+ initiative is a series of tailor-made tools and engagement beyond programmatic grants, designed to strengthen partners and enhance impact.

Regional Ensembles, or partner gatherings, are one example of this deeper engagement. Having previously held Ensembles in Europe and the US, Fondation CHANEL hosted the Asia Ensemble in 2025, the first all-Asia regional gathering, bringing together partners and programme teams across specialisms. Over 60 organisations from across 14 markets in the region attended, providing partners with new connections, shared learnings and opportunities to explore new ideas on how to strengthen long-term impact.

Fondation CHANEL also supports research and insights to strengthen evidence and knowledge informing programmes. This aims to increase impact in driving systems change for women and girls. For example, the Foundation funds interdisciplinary teams at the Gender Institute of the Australian National University. In their work, they conduct community-centred research, informing both policymaking and community action.

WORKING TO END GENDER-BASED VIOLENCE

Research shows that one in three women globally have experienced violence. Two-thirds of intimate partner or family violence is experienced by women, and women facing overlapping discriminations related to race, age, ethnicity, or migrant status are at heightened risk.

In line with its focus areas, the Foundation is working to end gender-based violence, supporting organisations who share the same objective. Partners work across the spectrum of stakeholders, including women and girls, men and boys, media and journalists, civil society organisations, movements, faith leaders, governments, the private sector and youth groups.

Fondation CHANEL's grantmaking on this issue prioritises local expertise.

- A quarter of its partners are local or national NGOs and 24% are women's funds.
- 32% of partners receive Funder+ support in addition to their multi-year grants, contributing to their organisational strength, resilience and wellbeing.
- Nearly a fifth (18%) of grants fund research and insight generation, to support data- and evidence-based solutions to end gender-based violence.

More information on Fondation CHANEL can be found in its Trustees' Reports and Accounts available on the UK Charity Commission website.

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GOVERNANCE

Our governance approach combines robust risk management with stakeholder engagement, rooted in integrity to guide decision-making.

RISK MANAGEMENT

As the risk environment continues to evolve, the Group has established a robust risk management framework to support resilience, agility and informed decision-making. Risk management is the responsibility of the Executive Committee and is overseen by the Board through the Audit Committee, which regularly reviews adequacy of control, risk events, internal audit findings and emerging risks, and monitors the effectiveness of mitigating actions.

The Group's Integrated Risk Management (IRM) framework sets out a consistent approach to identifying, assessing, prioritising, mitigating, monitoring and reporting risks. Annual risk assessments are conducted at business, regional and corporate levels, with risks evaluated based on likelihood, potential impact on the business model and future performance, and the effectiveness of mitigating controls.

Risk assessments, including the global overview, are reviewed by the Executive Committee and the Audit Committee and cascaded across the Group to support effective risk management at all levels. In determining risk appetite, we take a pragmatic approach, recognising the competitive and dynamic nature of the luxury sector.

PRINCIPAL RISKS

Principal risks are those considered most relevant to the Group and with the potential to materially impact strategy, performance, reputation, operations or long-term success. These risks are assessed using defined criteria, including risk level, movement over the year, risk appetite and mitigation actions undertaken up to or during 2025.

Applying our IRM assessment methodology, for 2025 we assessed our principal risks using the following criteria and definitions:

- **RISK LEVEL**
the inherent risk based on a four-tier scale: low, medium, high, and very high. The risk level likelihood has been assessed using a one-to-three-year outlook.
- **MOVEMENT**
the change in the risk level (increased, decreased, no change) in the past 12 months.
- **RISK APPETITE**
the amount of risk we are willing to accept to meet our strategic objectives based on a five-tier scale: very low, low, medium, high, and very high.
- **MITIGATION**
the actions taken during 2025 under the direction of the Executive Committee to support the alignment of the risk level within the risk appetite.

Below is an overview of the principal risks that have been identified by the Executive Committee for 2025.

MACROECONOMIC AND GEOPOLITICAL	
RISK AND IMPACT Political and macroeconomic stability continued to be tested in 2025 as governments navigated intensifying geopolitical tensions, ongoing conflicts, disruptive technologies, climate-related events, financial and economic sanctions, and trade-related restrictions. Inflation and volatile energy prices remain a concern. Evolving priorities and shifts in national agendas, especially in major economies, could impact consumer attitudes and spending. Accelerating and more complex regulatory changes, including those related to sustainability and digital markets, could also impact our business model. Country-specific trade agreements, tariffs, and export controls could disrupt goods flow, influence spending behaviours of key consumer groups, and restrict the sale of certain products. These factors may negatively impact business operations, sales, and profitability. 2025 Risk level VERY HIGH Movement NO CHANGE Risk appetite MEDIUM	MITIGATION Chanel continues to strengthen its resilience to geopolitical and macroeconomic volatility through robust operational practices, long-term planning, and disciplined financial management, which reinforce the Brand through innovation, strategic advertising, and close client relationships. Our globally coordinated Public Affairs team anticipates changes in government strategies, policies, and legislation - particularly in areas such as sustainability, including climate change and circularity, trade policy and sanctions, intellectual property, data, and innovation – enabling the Group to adapt its business strategy swiftly and effectively. In 2025, we reinforced our risk-resilience strategy by creating a Global Tariff Taskforce to assess trade impacts and develop mitigation scenarios, deepening supplier due diligence in politically sensitive markets and maintaining active engagement with governments, policymakers, and trade associations. We maintain disciplined cost management, conservative budgeting, and a strong balance sheet, with targeted investments in resilient and growing markets, alongside high-touch client engagement and strategic product launches. We continue to support Brand desirability and long-term value creation. Chanel prioritises the safety and well-being of our people, robust supply chain mapping, and crisis preparedness, ensuring the Group's continued ability to respond to challenges and protect its operations.

COMPETITIVENESS OF OUR PRODUCTS

➊ RISK AND IMPACT

Maintaining the distinctiveness and appeal of Chanel's products is essential amid evolving consumer preferences and intense competition. A lack of innovation or differentiation may lead to reduced demand, loss of market share, and negative impacts on revenue and Brand reputation.

➋ MITIGATION

We safeguard long-term Brand value through a forward-looking approach and continuous innovation. Chanel's creative vision is reflected through ten Fashion collections a year, defined by uncompromising quality and use of the finest materials and exceptional craftsmanship. 2025 launches in Watches & Fine Jewellery and Fragrance & Beauty, including REACH FOR THE STARS High Jewellery, the PREMIÈRE GALON bangle watch, and CHANCE EAU SPLENIDE, demonstrated Chanel's excellence in creation and storytelling. See Brand and Client section on pages 22 - 37.

Our global boutique network and selective distribution partnerships reinforce the Brand's identity and prestige, and we remain committed to concepts such as exclusivity, rarity, and price harmonisation, while enforcing a strong programme of intellectual property protection and actions against counterfeits and product diversion, to fight the risk of brand dilution and consumer deception.

Strategic campaigns, exceptional events, and bespoke client experiences strengthen our unique position and client desirability. These initiatives support Chanel in continuing to surprise and inspire, protecting the Brand and driving long-term value creation.

2025 Risk level

HIGH

Movement

NO CHANGE

Risk appetite

MEDIUM

CLIMATE CHANGE

CLIMATE CHANGE	
RISK AND IMPACT	MITIGATION
In 2025, climate change continued to present significant risks to our business, including more frequent extreme weather events and resource scarcity. Regulatory requirements are increasing, with governments and international bodies introducing additional climate-related transformation and compliance standards as well as disclosure obligations. Climate change and the transition to a low-carbon economy may increase costs, require operational changes, and create challenges in sourcing raw materials. Failure to manage and adapt to climate-related risks effectively could impact our operations, financial performance, and long-term resilience.	As a Group, we assess climate-related risks and opportunities in accordance with the UK's Companies (Strategic Report) (Climate-related Financial Disclosure) Regulations 2022 as our parent company is based in the UK, complying with other regulations where applicable. Based on physical risk assessments conducted within the last two years for all real estate assets and upstream value chain tiers, we continued to evaluate the need for adaptation measures for our own production sites and gradually for most exposed direct suppliers. We continued to refine our assessment of transition risks and map them against current practices and strategies, while monitoring potential geopolitical effects on our response to transition risks, including our transition to sea freight. See more information on our climate risks and mitigation strategies on pages 56 - 60.
2025 Risk level HIGH Movement NO CHANGE Risk appetite LOW	

HUMAN AND LABOUR RIGHTS

RISK AND IMPACT

We recognise our responsibility to respect human rights in our own operations and in our value chain. For the value chain, this responsibility applies to the people employed by our suppliers and business partners, and the people living and working in the local communities where we operate, source raw materials or support sustainability-related projects.

Heightened global public scrutiny and evolving regulations have continued to increase stakeholder expectations for ethical sourcing and supply chain transparency. Chanel recognises the complexity and reputational risks associated with labour conditions across multi-tiered, global supply chains, particularly in high-risk geographies.

Allegations or incidents of human and labour rights violations, whether within our operations, among our partners, or spread as misinformation, can damage our reputation, erode stakeholder trust and impact client loyalty.

Even unfounded claims or competitor misconduct can influence public perception, increase regulatory and media scrutiny and affect business relationships, market positioning, and long-term Brand value.

2025 Risk level

HIGH

Movement

NO CHANGE

Risk appetite

VERY LOW

MITIGATION

We continue to conduct social materiality assessments to help us prioritise and address human and labour rights risks by sector and by geography.

We continue to strengthen our ESG due diligence processes, practices and oversight, including for human and labour rights risks, and enhance our supplier assessment guidelines within our global ESG due diligence framework, to clarify expectations and criteria for suppliers and business partners, supported by global training for internal and external auditors. For further information on ESG Due Diligence see pages 68 - 69.

In parallel, we continue to proactively support and collaborate with our suppliers and business partners on social sustainability, including through programmes focused on building socio-economic resilience, advancing skills and savoir-faire and supporting local communities throughout our value chain. For further information see pages 50 - 51.

SOURCING AND SUPPLIER MANAGEMENT

RISK AND IMPACT

Our partners play a key role in the success of Chanel. Potential challenges may arise related to transparency, oversight, and compliance with ethical business practices within our network of partners and suppliers, including those representing the Brand in the supply chain and in client-facing activities.

Failures or disruptions within our partner and supplier network may lead to regulatory breaches, reputational damage, reduced product availability, and diminished client trust in the Brand.

2025 Risk level

HIGH

Movement

NO CHANGE

Risk appetite

LOW

MITIGATION

We aim to always act as a reliable business partner and to work with those who share our commitment to integrity, responsible business conduct, and compliance with all applicable laws and regulations.

In line with Chanel's global code of conduct, Our Ethics, we carefully select partners through a transparent selection and due diligence process that includes financial and compliance screening. Our ESG Due Diligence policy and process also incorporates environmental and social criteria. In 2025 we enhanced our ESG Due Diligence model with new initiatives and training across the value chain, see pages 68 - 69.

Direct suppliers are asked to acknowledge their commitment to our responsible procurement policy which reflects the commitments of Our Ethics. We encourage them to integrate these standards into their own policies and practices throughout their organisation and own supply chain.

Partners are expected to adhere to relevant Chanel policies, and to allow compliance inspections by our teams or appointed third parties. This enables ongoing compliance checks and informed discussions to proactively mitigate risks and drive continuous improvement.

OPERATIONAL RESILIENCE

RISK AND IMPACT

Disruptions, such as natural disasters, terrorist activities, war, or global pandemics, may compromise the Company's ability to deliver essential services and challenge the continuity of operations, especially at key locations.

Major incidents at critical sites could disrupt business operations and client patronage, with the impact varying depending on the location and the event. Supply chain disruptions could lead to delayed or suspended production, postponed deliveries, and limit product availability.

2025 Risk level
HIGH

Movement
NO CHANGE

Risk appetite
LOW

MITIGATION

The Group's global operations, business continuity plans and crisis management activities continue to underpin our ability to mitigate the impact of disruptions. We maintain a strong balance sheet position, which supports our ability to raise debt quickly in the event of a crisis.

In 2025, Chanel continued to strengthen its operational resilience through enhanced protocols and governance both locally and globally, with business continuity planning prioritised. Regions improved emergency preparedness with crisis management committees and local response plans, enhanced disaster recovery capabilities, and ongoing staff training on emergency procedures. Business performance reviews and early warning systems enable proactive risk identification and response.

We continued to work closely with suppliers to secure reliable partnerships, monitor production capacity, and maintain robust supply chain mapping. We are also developing alternate logistics and warehousing arrangements to ensure product flow and availability during disruptions, supported by tested contingency plans. These efforts help ensure products are in the right place at the right time, maximising sales and reducing inventory losses.

Through these actions, supported by leadership commitment, cross-functional coordination and ongoing investment in technology and infrastructure, Chanel remains well-positioned to optimise business resilience and deliver for clients, even in the face of unforeseen events.

RESPONSIBLE CONSUMPTION AND PRODUCTION	
RISK AND IMPACT The overuse of natural resources and reliance on materials that generate emissions and pollutants can compromise the ability of the Group to operate sustainably and meet needs of future generations. Failing to keep pace with evolving environmental regulations and industry standards may expose the Group to reputational harm, legal risk and adversely impact performance.	MITIGATION We continue to advance initiatives that promote sustainable consumption and production, aiming for greater efficiency and productivity whilst respecting planetary boundaries and the rights of future generations. Our Net-Zero 2040 target exemplifies this approach. We also prioritise innovation in materials, products, and circular systems to accelerate progress toward a more sustainable future. Through the Legal team, we closely monitor all environmental regulations and work with the business activities and regions to avoid legal risks and adverse impacts.
2025 Risk level HIGH Movement NO CHANGE Risk appetite MEDIUM	

INTEGRITY AND BUSINESS ETHICS

➊ RISK AND IMPACT

The global landscape of laws and regulations is complex, with frequent updates, varied interpretations, and evolving requirements creating uncertainty for businesses. While our Legal team supports the organisation, employees are encouraged to seek advice when making decisions to ensure compliance and integrity.

In a large international group with a myriad of partners, suppliers, and other third-party agents, incidents such as fraud, violations of sanctions laws, or corruption could significantly harm our reputation and impact our clients' trust in the Brand.

➋ MITIGATION

We are committed to complying with applicable laws and regulations wherever we operate. Our Legal, Business Ethics and Public Affairs teams continue to monitor regulatory developments and translate requirements into clear guidance, policies, and role-relevant training, equipping our people to act in compliance with laws and with integrity and to know how and when to seek guidance or raise concerns.

In 2025, we updated our whistleblowing policy and launched a new awareness campaign on our speak-up channels, enhancing our culture of open dialogue and enabling us to address potential concerns promptly.

We expect our suppliers to uphold similar standards by adhering to our responsible procurement policy, which reflects the same principles and values as our internal code of conduct, Our Ethics. Suppliers are subject to rotational audits to ensure they align with our requirements and to drive continuous improvement where needed. See pages 66 - 67, for more information on Ethical Business.

2025 Risk level
MEDIUM

Movement
NO CHANGE

Risk appetite
VERY LOW

TAXATION	
RISK AND IMPACT The Group is subject to extensive tax compliance requirements, particularly corporation taxes, sales taxes, and customs duties. These requirements are heightened in the current geopolitical environment, with tax rules and rates becoming difficult to predict.	MITIGATION We are dedicated to identifying, managing, and minimising tax risks, with regular reporting from the Group Tax team to senior management. The Group looks to enrol in governments' tax transparency programmes and enter into multi-lateral advance pricing agreements where appropriate to increase certainty over the Group's tax obligations. We monitor the changing tax environment around the world in order to ensure we remain up-to-date on our obligations. Our approach to taxation is set out in more detail in the Taxation section on page 21.
2025 Risk level MEDIUM Movement NO CHANGE Risk appetite VERY LOW	

FINANCIAL MARKETS RISK

RISK AND IMPACT

Operating internationally, the Group is exposed to financial risks such as foreign exchange, interest rate, and commodity price fluctuations. These risks stem from commercial transactions, assets, liabilities, and investments across diverse markets, including those with high inflation and volatile rates. Unpredictable changes in market conditions may affect demand, profitability, and the cost of raw materials, as well as impact the Group's financial performance and asset values.

MITIGATION

We aim to address the unpredictability of financial markets by mitigating potential adverse effects on our financial performance.

On foreign exchange risk, we generally take a long-term view and do not normally seek to mitigate this risk, unless there is a specific circumstance that causes elevated volatility in a particular currency. We use derivative financial instruments to mitigate our interest rate risk exposures and commodity price risk exposures.

The risk level remained flat in 2025, while we continued to navigate a more complex financial market environment with the change in US tariffs, sustained higher interest rates and further foreign currency fluctuations. During 2025, management also closely monitored the significant change in gold commodity prices and further expanded our hedging strategy to aid in fixing costs of this essential raw material.

2025 Risk level
MEDIUM

Movement
NO CHANGE

Risk appetite
MEDIUM

SAFEGUARDING DATA	
RISK AND IMPACT Data is a key Group asset, including intellectual property, financial plans, vendor and employee contracts, client lists and marketing plans and the personal data contained therein. Inadequate protection or cyberattacks, whether on our systems or those of key suppliers, could lead to loss or unauthorised disclosure of sensitive data. Such incidents may result in operational disruption, reputational damage, financial loss, regulatory penalties, and potential legal claims.	MITIGATION Chanel remains committed to safeguarding sensitive data and continues to invest in people, processes, and technologies to uphold data privacy and information security across the Group. In 2025, rising regulatory expectations and increasingly sophisticated cyber-attacks, especially in the luxury sector, made ongoing safeguarding of client data increasingly important. Dedicated data domain leaders and regional teams drive consistent practices, supported by the Information Security and Data Privacy teams, targeted training and an expanding network of data practitioners. In 2025, to further reduce the risk of data loss or unauthorised access, we enhanced our identity and access management protocols, and strengthened data systems for preventative and detective controls. We monitor the security of key client data systems 24/7, complemented by third-party risk assessments, penetration testing and regular audits. Ongoing staff awareness programmes and improved onboarding processes ensure everyone understands their role and responsibilities in safeguarding data. Our Global Data Governance team continues to lead the adoption of harmonised data management policies, including robust data classification and retention practices. These measures help identify and protect our most sensitive assets, reduce our data footprint and enable more targeted and consistent access controls across our systems.
2025 Risk level HIGH	
Movement NO CHANGE	
Risk appetite VERY LOW	

TECHNOLOGY RESILIENCE

➊ RISK AND IMPACT

The Group relies on critical systems and technologies to support core business activities. Unavailability or malfunction, due to technology infrastructure or cybersecurity incidents, can disrupt production, distribution, sales, and reporting across the value chain.

➋ MITIGATION

Chanel continues to prioritise technology resilience and security to ensure business continuity and protect against emerging technology risks. In response to an increasingly challenging environment and more frequent cyber-attacks across the luxury sector, we have reinforced our technology controls, detection capabilities, and incident response mechanisms.

Key measures include rigorous identification and continuous monitoring of key systems, rapid remediation of risks, and 24/7 oversight by the Group's Global Security Operations Centre. Enhanced monitoring tools integrate client data platforms and cloud infrastructure, enabling swift detection and response to vulnerabilities. Disaster recovery capabilities have also been strengthened, with ongoing remediation and targeted improvements for key assets.

To support risk-based decision-making, our Vulnerabilities Operations Centre provides regular dashboarding and scorecards to chief information officers of the business activities and regions and their teams. We also invest in cyber resilience maturity through employee training, regular simulated attacks, and external supplier risk assessments.

2025 Risk level
MEDIUM

Movement
NO CHANGE

Risk appetite
LOW

TALENT ATTRACTION AND RETENTION	
RISK AND IMPACT To continue to remain an attractive employer, acquiring and retaining highly skilled talent requires ongoing focus and a multifaceted strategy. Talent gaps can lead to service disruptions, inconsistent Brand experience, increased costs, and loss of institutional knowledge. Over time, these constraints may affect succession planning, creation and innovation and our ability to maintain a premium market position. 2025 Risk level HIGH Movement NO CHANGE Risk appetite LOW	MITIGATION We invest in the individual development of our existing and future leaders, actively promoting Chanel's culture and values through various onboarding, talent and leadership initiatives. See pages 38 - 43 of the People section. In 2025, we strengthened performance management by introducing targeted learning and upskilling programmes, alongside an enhanced performance management approach. We continuously strive to offer competitive pay, career progression, meaningful responsibilities, attractive benefits and flexibility, regularly benchmarking our offerings against external market trends. In 2025 we implemented specific action plans based on the feedback to our 2024 CHANEL VOICES survey to strengthen engagement with our people, see page 40 in the People section for more information. As part of our ongoing commitment to our people, promoting diversity and fostering an inclusive culture remain central to our strategy. Our global diversity and inclusion framework is implemented locally to ensure fair treatment and equal access to opportunities and resources. See page 41 of the People section for more details.

WHOLESALE DISTRIBUTION

RISK AND IMPACT

Reliance on third-party wholesalers to distribute our products creates risks of losing Brand value, client experience revenue, and operational control. Limited visibility over wholesaler activities may further expose the Company to regulatory, reputational, distribution and sustainability risks, particularly concerning consumer protection, competition law, and human and labour rights practices within the distribution network.

Wholesaler Distribution risk has been identified as a new principal risk for 2025 due to evolving market dynamics and reliance on third-party wholesalers. Dependence on external partners has heightened the potential for challenges related to Brand integrity, revenue stability, and operational oversight.

MITIGATION

In 2025, we continued to strengthen our wholesale distribution by deepening collaboration with key partners, particularly in markets where wholesale remains essential. While the gradual shift towards our own retail and e-commerce channels is reducing the relative share of wholesale, this channel remains important for business scale and for reaching new customers, especially through local department stores, travel retail, and speciality chain partners.

We are focused on enhancing Brand expression and customer experience in wholesale environments, despite constraints such as restricted access to consumer data and multi-brand staffing. We aim to leverage wholesale networks to engage younger audiences and ensure consistent Brand activation across online and offline channels, refining our approach as the market evolves. We also work together with our trusted wholesale partners on reducing sales outside of authorised channels, ensuring our clients receive authentic goods and the right customer service.

2025 Risk level

HIGH

Movement

NEW PRINCIPAL RISK

Risk appetite

MEDIUM

EMERGING RISKS	
Our risk management approach includes ongoing horizon scanning to identify emerging risks and monitor key trends. These include evolving regulatory requirements, particularly in relation to ESG; rapid digital transformation, including the opportunities and risks associated with artificial intelligence; and broader geopolitical, supply chain and consumer dynamics. We also closely monitor risks relating to cybersecurity, product integrity and social responsibility.	

CORPORATE GOVERNANCE REPORT

In 2025, Chanel continued to apply the Wates Corporate Governance Principles for Large Private Companies which provide a framework for effective oversight, long-term decision-making and accountability. This report should be read alongside the Section 172(1) Statement and other relevant sections of the Strategic Report.

PRINCIPLE 1 – PURPOSE AND LEADERSHIP

PURPOSE, VALUES AND CULTURE

Chanel's purpose is rooted in the freedom of creation, supported by long-term stewardship of the Brand, its people and its impact on society and the environment. The Board regularly discusses the Collective Priorities, to ensure alignment with purpose, values and culture across the House.

Culture is monitored through multiple channels, including employee surveys and whistleblowing mechanisms. In the Section 172(1) Statement we describe how the Board addressed culture and engaged with the Group's people in 2025.

To strengthen oversight, the Board further enhanced its own governance practices during the year, including clearer annual planning, balanced agendas and more structured prereading materials with executive summaries highlighting cultural and strategic matters.

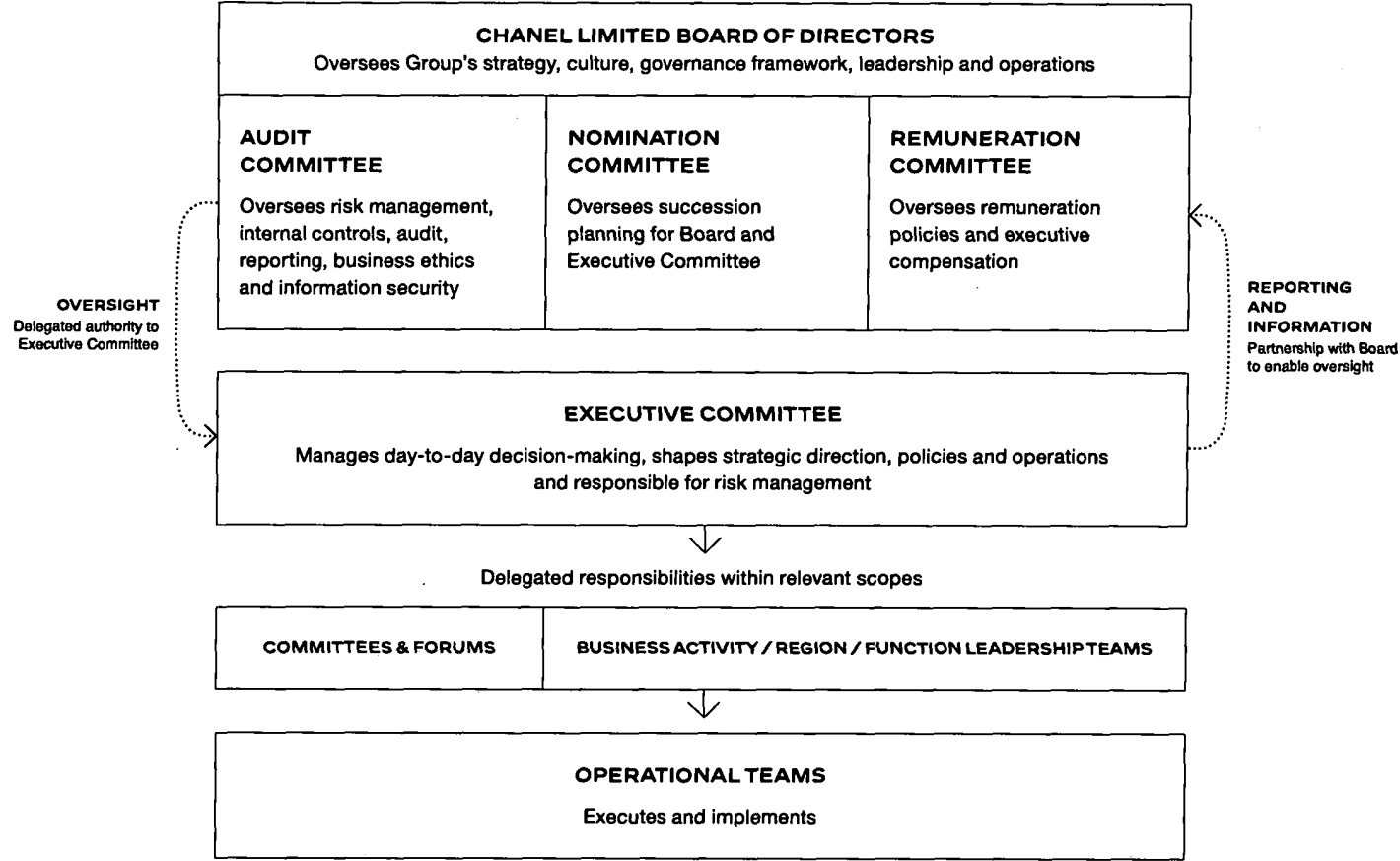
COMMUNICATING PURPOSE AND VALUES

The Global CEO and Executive Committee play a central role in reinforcing Chanel's purpose and values across the Group. In 2025, the Global CEO held two global townhalls sharing and reinforcing our purpose and values with employees across the House.

This was complemented by continued engagement through the Leadership Collective, comprising approximately 220 senior leaders across business activities, regions and functions, who play a key role in cascading purpose and in role-modelling expected behaviours.

LEADERSHIP AND DECISION-MAKING

As a privately held Group, we benefit from the autonomy to take long-term, sustainable decisions in the interests of the Brand and our stakeholders. This structure supports agility, disciplined risk-taking and investment in long-term value creation.



The Board of Directors

The Board is the highest governance body of the Group and is responsible for setting long-term vision, strategy, culture and values, in close collaboration with the Executive Committee. Day-to-day management is delegated to the Executive Committee, while the Board retains oversight of significant decisions, risks and opportunities, ensuring appropriate checks and balances.

On 1 January 2025, three new non-executive directors joined the Board, strengthening its overall skills and governance expertise.

During the year, the Board continued to implement recommendations from the 2024 independent external Board evaluation, including the approval of updated Board committee terms of reference and the formalisation of Board practices. These changes enhanced both the breadth of exposure to Group activities and the focus on key strategic topics.

The Executive Committee

The Executive Committee is the central hub of the Group's governance structure. It is responsible for the day-to-day management of the Group, including strategy execution, financial and non-financial performance, people and organisation matters, material transactions, and environmental and social sustainability. It also acts as the Group's operating risk committee, prioritising risks identified through the annual risk assessment process and related assurance processes.

The Executive Committee supports the Board by providing information on strategy, the Group's activities, and risk and opportunity management. It drives implementation of strategic objectives across the organisation and supplies the Board with high quality information for effective oversight.

The Executive Committee is guided by the Collective Priorities in its decision-making and is supported by a governance matrix of senior leaders throughout

the Group's business activities, markets, and functions, under the Global CEO's leadership as well as operational committees for specific areas.

In 2025, the Group continued its work in streamlining operational committees and formalising governance structures to support clear decision-making and organisational responsiveness. Committees and forums support the Executive Committee, and where appropriate the Board, by providing recommendations on key areas including sustainability, real estate, business ethics, technology, data governance, responsible AI and business strategy. This work will continue in 2026.

**PRINCIPLE 2 –
BOARD COMPOSITION**

As at year-end, the Board comprised eleven directors, including seven non-executive and four executive directors, marking the first year in which a majority of Board members were non-executives. The executive directors are the Global Executive Chairman, the Global CEO, the Global CFO and the President of Fashion Activities and CHANEL SAS. The Board is supported by the Global CLO as Company Secretary.

The Chair of the Board, a non-executive director, is responsible for leading the Board, ensuring its effectiveness and promoting open, constructive debate. Together with the Global Executive Chairman and Global CEO, the Chair of the Board ensures an appropriate balance of responsibilities and decision-making across the Group. The Chair of the Board is also responsible for corporate governance, with the support of the Company Secretary.

Board appointments are led by the Nomination Committee and based on merit, objective criteria and a broad assessment of skills, experience and background. Non-executive directors appointed in 2025 brought expertise across areas including the Asia region, audit and accounting, corporate law, sustainability and privately held groups. In accordance with the Group's conflicts of interest policy, the non-executive directors have no business or relationship with the Group that could compromise their objectivity. The Board ensures that non-executive directors devote sufficient time to their roles and that they were not over committed during the year.

The Executive Committee consists of:

● Global Executive Chairman ● Global CEO		
● President, Fashion Activities and Chanel SAS ● President, Fragrance & Beauty ● President, Watches & Fine Jewellery ● Head of Global Creative Resources Fragrance & Beauty	● President, Europe ● President, Japan ● President, North Asia ● President, Southeast Asia & Australia/New Zealand ● President, UK ● President, US	● President, Arts, Culture & Heritage ● Global Chief Communications Officer ● Global Chief Financial Officer ● Global Chief Information Officer ● Global Chief Legal Officer ● Global Chief People & Organisation Officer ● Global Chief Sustainability Officer

Non-executive directors play an active role in supporting and constructively challenging management. During 2025, they engaged regularly with senior leaders and the wider organisation to deepen understanding of the Group's operations, people, and culture.

Board development remains a priority. In 2025, the onboarding programme for new non-executive directors was further strengthened including site visits and market engagement. Both new and existing directors also attended three Board education days. Ongoing Board education covers the Brand, business activities, financial performance, governance, legal and business ethics matters, sustainability and emerging regulatory developments.

The Board considers diversity integral to effective decision-making. As at year end, 45% of directors were women and 18% had an ethnic minority background. Diversity of skills, experience and perspective, as well as gender and ethnicity, continues to be a key consideration in all Board appointments and enriches long-term decision-making.

PRINCIPLE 3 – DIRECTOR RESPONSIBILITIES

The Board, based on Executive Committee recommendations, sets the Group's purpose, values and strategic direction, reviews financial and non-financial performance, approves budgets and major investments, and oversees executive leadership.

The Board is supported by robust financial reporting and internal control systems, enabling effective oversight of financial performance and position.

The Global CFO reports at each Board meeting on financial matters, including performance, investment and key risks, while the Global CEO provides updates on significant developments between meetings.

In 2025, the Board met seven times. Directors receive detailed prereading materials in advance of each meeting to support informed discussion and effective decision-making. Key areas of focus during the year are set out below:

GOVERNANCE	● Non-executive director onboarding ● Board evaluation ● Regular updates on legal matters
STRATEGY	● Deep dives into the three business activities ● Digital transformation and technology ● Sustainability, including climate transition planning ● Review of CHANEL VOICES results and implementation of actions ● Simplification agenda
FINANCE	● Review and approval of 2024 financial and non-financial reporting ● Review and approval of 2025 budget ● Group financing transactions and cash management ● Control of costs in the context of luxury market slowdown
RISKS AND OPPORTUNITIES	● Major real estate transactions ● Climate-related risks and opportunities ● Cybersecurity

BOARD COMMITTEES

The Board delegates specific responsibilities to Board committees comprised solely of non-executive directors, while retaining responsibility for final decision-making. Committee chairs report to the full Board after each meeting, ensuring transparency and informed discussion.

Following the Board evaluation and governance review, updated terms of reference for all committees took effect on 1 January 2025, clarifying roles, responsibilities and delegated authority. The main responsibilities, membership and attendees of each committee are set out below.

AUDIT COMMITTEE	NOMINATION COMMITTEE	REMUNERATION COMMITTEE
The Audit Committee oversees: ● internal control and risk management systems; ● the integrity of financial and non-financial reporting; ● the effectiveness of the internal audit function; ● the relationship with the external auditor; ● cybersecurity; ● processes to ensure compliance with legal and regulatory requirements and the business ethics programme.	The Nomination Committee is responsible for: ● identifying and nominating candidates for Board appointments; ● reviewing Board structure, size, composition and diversity; ● overseeing succession planning for the Board and the Executive Committee; and ● reviewing the outcomes of Board evaluation processes.	The Remuneration Committee oversees: ● remuneration matters requiring Board approval; ● the global salary budget; ● the annual global bonus pool and Group-level compensation plans; ● remuneration policies supporting long-term sustainable success and talent retention; ● the remuneration of the Global CEO and other key leadership roles.
The Global CFO, Global CLO, Global Head of Internal Audit and Risk Management, and the external auditor, Ernst & Young LLP, attended meetings regularly in 2025. Other senior executives are invited as appropriate.	The Global Executive Chairman, the Global CEO and the Global Chief People & Organisation Officer attend meetings regularly with other individuals invited as appropriate (excluding matters relating to them personally).	The Global Executive Chairman, Global CEO, Global Chief People & Organisation Officer and Global Head of Reward attend meetings regularly, with others invited as appropriate (excluding matters relating to them personally).
The Audit Committee met seven times in 2025.	The Nomination Committee met four times in 2025.	The Remuneration Committee met three times in 2025.

A summary of committee membership and attendance during the year is set out below.

NAME	BOARD MEMBER	MEETINGS ATTENDED	AUDIT COMMITTEE	MEETINGS ATTENDED	NOMINATION COMMITTEE	MEETINGS ATTENDED	REMUNERATION COMMITTEE	MEETINGS ATTENDED
P. ABECASSIS ^	X	22222222	X	22222222	X	2222	X	222
S. BAGEL-TRAH ^ 3	X	22222222						
P. BLONDIAUX	X	22222222						
B. GROS ^ ~	X	22222222			X	2222	X	222
T. KO ^ 2	X	22222222	X	222222				
M. LANE FOX ^	X	22222222			X	2222		
A. MAHON ^	X	22222222						
L. NAIR	X	22222222						
B. PAVLOVSKY	X	22222222						
V. SHAW ^ 1	X	22	X	22				
W. TOUCHE ^ 2	X	22222222	X	22222222				
A. WERTHEIMER	X	22222222						

^ Non-Executive

~ Chair

¹ V. Shaw retired from the Board and Audit Committee on 31 March 2025.

² W. Touche and T. Ko were appointed to the Audit Committee on 20 January 2025 and 1 April 2025 respectively.

³ S. Bagel-Trah was unable to join one Board meeting due to prior commitments. She appointed an alternate director.

PRINCIPLE 4 – OPPORTUNITY AND RISK

OPPORTUNITIES

The Group's strategy is focused on long-term sustainable success, in line with Chanel's purpose, while maintaining robust oversight of risk. Major business opportunities and investments above defined thresholds are reviewed and approved by the Board in accordance with the Company's articles of association. Strategic initiatives may also be escalated to the Board where their significance warrants oversight. In 2025, the Board approved Chanel's first double materiality assessment of ESG related impacts, risks and opportunities and strategic real estate and other acquisitions.

RISKS

Risk management is embedded into the Group's strategy and governance framework. Pages 78 - 93 include an assessment of the Group's principal risks and how those risks are mitigated.

The Board oversees strategic decision-making and effective risk management, while the Audit Committee reviews principal and emerging risks, internal controls and the effectiveness of the Company's risk management system, reporting regularly to the Board. In 2025 the Audit Committee had deep dives on cybersecurity, real estate and climate-related risks and fraud and bribery risk assessments.

The Executive Committee oversees the implementation of risk management activities, supported by the Risk Management team and expert functions in Legal, Finance and Technology. The Group's IRM framework incorporates material ESG risks, including climate change, workforce matters, supply chains and ethical business conduct. The Group focuses on managing its strategic risks, building resilience and strengthening operational processes, while fostering a risk-aware culture across the organisation.

Short-term opportunities are identified through regular business, regional and functional reviews, monitoring performance against the Collective Priorities and Key Performance Indicators. Opportunities exceeding defined financial or strategic thresholds are escalated through the Executive Committee to the Global CEO and Global CFO and, where appropriate, to the Board.

Longer term strategic opportunities, including those relating to technology, sustainability and real estate, are considered as part of the annual strategy and planning cycle. These are assessed in terms of long-term value creation for clients, the Brand and other stakeholders, and alignment with the Group's risk appetite.

**PRINCIPLE 5 –
REMUNERATION**

The Group's remuneration framework is designed to ensure fair, merit based and competitive reward across all levels of the organisation supporting performance, talent retention and sustainable success.

The Board has delegated oversight of remuneration policies and practices to the Remuneration Committee, supported by the Executive Committee's Internal Remuneration Committee. The annual compensation review process considers market conditions, Group performance and external benchmarks.

Remuneration for senior leaders combines fixed pay with long-term incentives linked to sustained performance and responsible value creation. Annual bonus funding is determined by reference to the five Collective Priorities. Linking bonus outcomes to this balanced set of Collective Priorities, alongside the long-term incentive plan for our senior employees, ensures that reward outcomes take account of both in-year delivery and the long-term health of the Company, as well as the behaviours expected at Chanel.

The Remuneration Committee, supported by the Executive Committee's Internal Remuneration Committee, also considers wider pay-related matters, including pay equity and living wage commitments. Pay equity is reviewed annually, and remuneration is benchmarked against recognised living wage standards across markets. In 2025, a new global reward policy and living wage standard were approved by the Executive Committee's Internal Remuneration Committee, providing a clear governance framework for compensation and benefits across the House.

**PRINCIPLE 6 –
STAKEHOLDER RELATIONSHIPS
AND ENGAGEMENT**

Engagement with stakeholders is fundamental to maintaining trust, accountability and transparency and to supporting informed, long-term decision-making.

The Board is committed to stakeholder engagement aligned with the Group's purpose, values and culture. How stakeholder views are gathered and considered, and how they inform Board decisions, is set out in the Section 172(1) Statement.

SECTION 172(1) STATEMENT

The Board is responsible for promoting the long-term success of the Company. In fulfilling their duties under Section 172(1) of the Companies Act 2006, the directors act in the way they consider, in good faith, would be most likely to promote the success of the Company for the benefit of its shareholder, while having regard to the interests of its people, clients, partners and suppliers, governments and regulators, the environment and wider society, and to the desirability of maintaining a reputation for integrity and high standards of business conduct.

The Board draws insight into stakeholder perspectives through Board committee and Executive Committee reporting, leadership briefings, market and client insights, site visits, employee surveys, supplier updates, and financial and non-financial reporting.

In making decisions, the Board has regard to the factors set out in Section 172(1). Three of the Collective Priorities: Clients, People and Sustainability; directly align with three of the factors set out in Section 172(1). Examples of how the Board made decisions in 2025 while considering stakeholders are provided in this section.

SHAREHOLDER

The Group briefs its shareholder on a wide range of topics, including risk management, financial performance, strategy, outlook, governance, and ethical practices.

In 2025, when making decisions on financial returns, the Board balanced this consideration with ongoing investment in Brand, people, clients, technology, sustainability, real estate and supply chain resilience to support long-term value and wider stakeholder needs.

PEOPLE

People experience and Group culture is monitored through surveys, focus groups and external benchmarks. In 2025, the Board reviewed the results of the 2024 CHANEL VOICES survey and discussed priority actions to strengthen trust and transparency, leadership and ways of working. Progress against these actions will be monitored through the next survey in 2026.

Following the CHANEL VOICES results and discussions with senior leaders, the Board approved an updated global whistleblowing policy and the launch of the “Let Us Know” campaign to reinforce speak-up culture showing consideration of our people’s interests and regulatory expectations.

The directors also engage directly with our people through onboarding sessions, education programmes and senior talent discussions. Through the Remuneration Committee, the Board oversees pay, bonus and reward frameworks to support fairness, consistency and long-term resilience.

CLIENTS

In 2025, the Board reviewed Brand equity insights, client satisfaction trends and client attraction and retention dynamics across regions, assessing how strategy should evolve to deepen existing client relationships and attract new clients. It considered priorities including differentiated client journeys, creative developments and market-specific approaches, balancing long-term Brand equity with commercial objectives.

Throughout the year, the Board received briefings on creative developments, product launches and client hosting initiatives, and monitored the balance between Brand stewardship and near-term performance. A dedicated client deep-dive at a Board offsite, led by the Global Insight and Foresight team, further informed the Board’s understanding of evolving client expectations and broader macroeconomic trends.

PARTNERS AND SUPPLIERS

Through the Audit Committee, the Board monitored progress in responsible procurement and due diligence in 2025, including risks related to fair wages and supplier practices. The Board also considered the integration of newly acquired suppliers, recognising the importance of supporting craftsmanship and savoir-faire and maintaining high standards of business conduct. The Responsible Supplier Programme team reports to the Audit Committee on risk assessments, audits and remediation actions, with updates escalated to the Board as appropriate. Further details on the Responsible Supplier Programme are on pages 68 - 69.

In 2025, the Board, through the Audit Committee and Remuneration Committee, oversaw enhanced due diligence, focusing on fair wages, risk-based implementation and strengthened quantitative reporting. They considered the interests of people in the value chain and the need to maintain strong business conduct standards.

ENVIRONMENT AND SOCIETY

The Board is responsible for considering the Group's direct and indirect environmental and societal impact. It engages with senior management to ensure it fully understands the opportunities and risks that sustainability efforts represent, as well as the governance required to manage those risks and opportunities.

The Board reviewed progress against the House's sustainability ambitions, including climate-related risks, transition planning and sustainability governance along with the framework for how the Company engages with society and supports the people in the value chain and affected communities. In 2025, the Board reviewed physical climate risk assessments across the real estate portfolio, including discussions of asset values and insurance implications. The Audit Committee members also received additional briefings to ensure they had a deep understanding of the Group's sustainability initiatives and performance.

In 2025, the Board approved the Group's first Climate Transition Plan as well as key sustainability governance documents, including the Group's first environmental, social sustainability and ESG due diligence policies. In doing so, it considered environmental impacts, stakeholder expectations and the need to ensure appropriate governance to manage sustainability-related risks and opportunities and make informed decisions.

The Board promotes a culture of positive, lasting societal impact, including through support and oversight of the Company's social commitments, arts and culture partnerships and the work of Fondation CHANEL. In 2025, the Board was briefed on arts and culture events and initiatives supported by the Group as well as local programmes and partnerships.

GOVERNMENTS AND REGULATORS

The Group engages with governments, regulators and industry bodies through its Legal, Business Ethics and Public Affairs teams and senior leadership dialogue. In 2025, the Board received updates on regulatory developments in key markets, including sustainability and international trade, and considered implications for clients, people and operations.

ACTING WITH INTEGRITY

The Board is committed to ensuring ethical business conduct and legal compliance. When relevant, the Board is briefed at a high level on new regulatory and legal developments by the Global CLO and engages with other senior leaders to ensure it fully understands regulatory developments and legal risks and how those are managed by the Company.

During 2025, the Audit Committee oversaw the continued embedding of Our Ethics across the House and approved enhancements to the whistleblowing framework to promote psychological safety and trustworthy reporting. The chair of the Audit Committee regularly informs the Board about the effectiveness of the Company's internal controls and processes, including the business ethics programme as detailed on page 67.

LONG-TERM THINKING

In its deliberations, the Board considers the long-term consequences of decisions for the Brand, clients, people, partners, communities and the

environment. In 2025, this approach informed decisions on capital allocation, real estate and climate risk, client strategy in key markets, organisational resilience, and investment in supply chain security and craftsmanship. This long-term approach is embedded in the Company's DNA and is reiterated during non-executive director onboarding and education, both as a fundamental part of business philosophy and through an emphasis of the history and patrimony of the Brand. The Board also considered the balance between maintaining financial discipline and continuing to invest in long-term value creation for the benefit of the shareholder while having regard to the interests of its wider stakeholders.

DIRECTOR'S STATEMENT

The directors of Chanel Limited have prepared this Strategic Report with the purpose of providing the Company's stakeholders with information to help them assess how the directors have performed their duty to promote the success of the Company and its subsidiaries, in compliance with Section 414C of the Companies Act 2006.

Approved by the Board on 18 May 2026 and signed on its behalf by



P. Blondiaux
Director
15 June 2026

DIRECTORS' REPORT

DIVIDENDS AND RESULTS

The financial results of the Group are set out in the consolidated statement of income. The dividends paid by the Company in 2025 are disclosed in Note 23. A final dividend of £2.43 billion (\$3.25 billion) with respect to the year ended 31 December 2025 has been recommended by the Board to the shareholder for approval in accordance with the Company's articles of association.

GOING CONCERN

The directors have considered whether the Company and the Group have adequate resources to continue operationally for at least 12 months from the date of signing the Annual Report and Financial Statements, up to 30 June 2027. In their assessment, the directors have considered the business activities and the principal risks and uncertainties of the Company and the Group. They have also considered their financial position, their cash flows, liquidity position, borrowing facilities and related financial covenants.

Management have prepared a detailed analysis of various scenarios and stress tested them. Based on

the analyses done to assess the impact of the different possible scenarios, the Board concluded that there are no material uncertainties, and the Company and the Group will continue to adopt the going concern basis in preparing the 2025 financial statements. Further details on the analyses performed are disclosed in Note 2.2.

POLITICAL CONTRIBUTIONS

The Group did not make any political donations during the year (2024: \$nil).

BRANCHES OUTSIDE UK

The Company did not have any branches outside of the UK during 2025.

FURTHER INFORMATION

Further information relevant to the directors' report, and which is incorporated by reference into this report, can be found in the following sections of the Annual Report and Financial Statements:

INFORMATION	LOCATION IN THIS ANNUAL REPORT	PAGES / NOTES
Corporate governance	Strategic report	94 - 101
Employment of persons with disabilities	Strategic report	41
Engagement with employees	Strategic report	42
Financial instruments	Financial statements	Note 21
Future developments	Strategic report	16
Research and development	Strategic report	16 - 17
Stakeholder engagement	Strategic report	77 - 105
Streamlined energy and carbon report (SECR)	Strategic report	64
Subsequent events	Financial statements	Note 30 and U

DIRECTORS

The following directors held office in 2025:

P. Abecassis
S. Bagel-Trah
P. Blondiaux
B. Gros
T. Ko
M. Lane Fox
A. Mahon
L. Nair
B. Pavlovsky
V. Shaw (resigned 31 March 2025)
W. Touche
A. Wertheimer

The following company secretary held office in 2025:
M. Nitsch

DIRECTORS' INSURANCE AND INDEMNITIES

The Group maintains directors' and officers' liability insurance which gives cover for legal actions brought against its directors and officers. In accordance with Section 236 of the Companies Act 2006, qualifying third-party indemnity provisions are in place for the directors in respect of liabilities incurred because of their office, to the extent permitted by law. Both the insurance and indemnities applied throughout the financial year ended 31 December 2025 and through to the date of this report.

AUDITOR DISCLOSURES

In the case of each of the persons who are directors of the Company at the date when this report was approved:

- so far as the director is aware, there is no relevant audit information of which the Group's auditor is unaware; and
- the director has taken all the steps that he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of Section 418 of the Companies Act 2006.

Approved by the Board on 18 May 2026 and signed on its behalf by



P. Blondiaux
Director
15 June 2026

GLOSSARY OF TERMS

AUDIT COMMITTEE:

the audit committee of the Board as described in the Corporate Governance Report on page 98.

BOARD:

the board of directors of Chanel Limited as described in the Corporate Governance Report on pages 95 - 99.

BRAND:

the brand "CHANEL" and its associated marks and images that are used in the creation, manufacture and distribution of products and services (in particular the broad range of high-end creations, including Haute Couture, Ready-to-Wear, Leather Goods, Fashion Accessories and Eyewear; Fragrances, Makeup and Skincare; as well as Watches and Fine Jewellery), sold worldwide through Group-owned boutiques and at wholesale through select channels of distribution.

CHANEL & MOI:

a set of tailor-made services for clients designed to provide care for and support the longevity of CHANEL creations.

CHANEL:

comprising the parts of our Group that carry on business under the CHANEL Brand. Synonymous to House.

CHANEL LIMITED:

a private company incorporated under the laws of England and Wales with company registration number 00203669 and with its registered office at 5 Barlow Place, London, W1J 6DG.

CLIMATE TRANSITION PLAN:

the Group's climate transition plan described on pages 47 and 54 - 56.

COLLECTIVE PRIORITIES:

Chanel's five collective priorities: financial health, brand, client, people and sustainability further described on page 18.

COMPANY:

Chanel Limited.

ESG:

environmental, social and governance.

EXECUTIVE COMMITTEE:

the Executive Committee of the Group as described in the Corporate Governance Report on pages 95 - 96.

FLAG EMISSIONS:

Forest, land and agriculture emissions.

FOUNDATION:

Fondation CHANEL, an independent charity registered with the Charity Commission in England and Wales with charity number 1195353 and a company limited by guarantee incorporated under the laws of England and Wales with company registration number 12786875.

GHG:

greenhouse gas.

GROUP:

Chanel Limited and any legal entity directly or indirectly controlled by Chanel Limited.

HOUSE:

refers to the House of CHANEL, comprising the parts of our Group that carry on business under the CHANEL Brand.

INTEGRATED SUPPLIER:

a Group legal entity which is part of the supply chain for CHANEL Brand products but does not carry out business under the Brand.

IRM:

Integrated Risk Management.

NET-ZERO 2040 AMBITION:

Chanel's climate ambition. Further information on our targets and our climate strategy can be found on [chanel.com](https://www.chanel.com), and as described on pages 54 - 61.

NOMINATION COMMITTEE:

the nomination committee of the Board as described in the Corporate Governance Report on pages 95 - 99.

OUR ETHICS:

the House code of conduct, as described on page 66.

REMUNERATION COMMITTEE:

the remuneration committee of the Board as described in the Corporate Governance Report on pages 95 - 99.

SLBs:

our sustainability-linked guaranteed bonds, described on page 65.

le19M:

Founded by CHANEL in 2021, le19M is a place dedicated to creation, transmission, and the promotion of the Métiers d'art in fashion and decoration.

PHOTOGRAPHY CREDITS

DIRECTORS' RESPONSIBILITY STATEMENT

UK company law requires the directors to prepare an annual report and financial statements for each financial year in accordance with applicable law and regulation. The directors have elected to prepare the Financial Statements for the year ended 31 December 2025 in accordance with UK adopted International Accounting Standards (IFRS).

Under Companies Act 2006, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group for the year. In preparing these Financial Statements, International Accounting Standard 1 requires that the directors:

- properly select and apply accounting policies;
- present information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- provide additional disclosures when compliance with the specific requirements in IFRS are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Group's and the Company's financial position and financial performance; and
- make an assessment of the Group's and the Company's ability to continue as a going concern.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's and the Group's transactions, and disclose with reasonable accuracy at any time the financial position of the Company and the Group, and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding

the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

We confirm to the best of our knowledge:

- The Financial Statements, prepared in accordance with the relevant financial reporting framework, give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group and the undertakings included in the consolidation taken as a whole;
- The Strategic Report includes a fair review of the development and performance of the business and the position of the Group, and the undertakings included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face; and
- The Annual Report and Financial Statements, taken as a whole, are fair, balanced, and understandable and provide the information necessary for the shareholder to assess the Group's and the Company's performance, business model and strategy.

Approved by the Board on 18 May 2026 and signed on its behalf by



P. Blondiaux
Director
15 June 2026

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED

OPINION

We have audited the financial statements of Chanel Limited (the Parent Company) and its subsidiaries (the Group) for the year ended 31 December 2025 which comprise the Consolidated statement of income, the Consolidated statement of comprehensive income, the Consolidated and Company statement of financial position, the Consolidated and Company statement of changes in shareholder's equity and the Consolidated and Company statement of cash flows and the related notes 1 to 30 and A to V, including material accounting policy information. The financial reporting framework that has been applied in their preparation is applicable law and UK adopted International Accounting Standards and as regards the Parent Company financial statements, as applied in accordance with section 408 of the Companies Act 2006.

In our opinion:

- the financial statements give a true and fair view of the Group's and of the Parent Company's affairs as at 31 December 2025 and of the Group's profit for the year then ended;
- the Group financial statements have been properly prepared in accordance with UK adopted International Accounting Standards;
- the Parent Company financial statements have been properly prepared in accordance with UK adopted International Accounting Standards as applied in accordance with section 408 of the Companies Act 2006; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard as applied to other entities of public interest, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

CONCLUSIONS RELATING TO GOING CONCERN

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the Directors' assessment of the Group and Parent Company's ability to continue to adopt the going concern basis of accounting included:

- In conjunction with our walkthrough of the Group's financial close process, we confirmed our understanding of management's going concern assessment process;
- We considered the appropriateness of the methods used to calculate the cash forecasts and tested the integrity and clerical accuracy of the model used to prepare the Group's going concern assessment which covers the period to 30 June 2027;

- We confirmed the net cash position as at 31 December 2025 and obtained evidence of the revolving credit facility which is available through to May 2028. The facility is undrawn as at 15 June 2026;
- We verified the debt maturities by examination of executed documentation and concluded that all debt repayments due in the period of going concern assessment were included in the forecasts;
- We assessed the reasonableness of management's cashflow forecasts by analysing the historical accuracy of forecasts;
- We considered the plausibility of the downside scenarios modelled by management by challenging the key underlying assumptions and assessed the amount of resulting headroom in terms of liquidity and covenants by performing sensitivity analysis on management's forecasts and mitigation actions available;
- We reviewed the going concern disclosures included in Note 2.2 to the financial statements to assess the disclosures were appropriate and in conformity with the reporting standards.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Group and Parent Company's ability to continue as a going concern for a period to 30 June 2027.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report. However, because not all future events or conditions can be predicted, this statement is not a guarantee as to the Group's ability to continue as a going concern.

OTHER INFORMATION

The other information comprises the information included in the Annual Report, other than the financial statements and our auditor's report thereon. The Directors are responsible for the other information contained within the Annual Report.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of the other information, we are required to report that fact.

We have nothing to report in this regard.

OPINIONS ON OTHER MATTERS PRESCRIBED BY THE COMPANIES ACT 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' report have been prepared in accordance with applicable legal requirements.

MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

In the light of the knowledge and understanding of the Group and the Parent Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the Parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the Parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

RESPONSIBILITIES OF DIRECTORS

As explained more fully in the Directors' responsibilities statement set out on page 110, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's and the Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Parent Company or to cease operations, or have no realistic alternative but to do so.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Explanation as to what extent the audit was considered capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect irregularities, including fraud. The risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below. However, the primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management.

- We obtained an understanding of the legal and regulatory frameworks that are applicable to the Group and determined that the most significant frameworks which are directly relevant to specific assertions in the financial statements are those that relate to the reporting frameworks (UK adopted International Accounting Standards and the Companies Act 2006) and the relevant tax laws and regulations in the jurisdictions in which the Group operates.
- We understood how the Group is complying with those frameworks by making enquiries of management, Internal Audit and those

responsible for legal and compliance procedures. We corroborated our enquires through our inspection of the board minutes, attendance at the Audit Committee meetings, as well as consideration of the results of our audit procedures across the Group.

- We assessed the susceptibility of the Company's financial statements to material misstatement, including how fraud might occur by meeting management from various parts of the business to understand where it considered there was susceptibility to fraud. We also considered performance incentives and their influence on effort made by management to manage earnings. In addition, we inspected the board minutes, assessed the non-compliance matters reported to the Audit Committee and evaluated the whistleblowing incidents with a potential financial reporting impact. We considered the programmes and controls that the Group has established to prevent, deter and detect fraud, and how senior management monitors those areas which have been considered to be at higher risk, and we performed audit procedures to address this fraud risk. These procedures included understanding related party transactions and significant transactions occurring in the year and testing manual journal entries, in particular those affecting revenue. These procedures were designed to provide reasonable assurance that the financial statements were free from fraud or error.
- Based on this understanding we designed our audit procedures to identify non-compliance with such laws and regulations. Our procedures involved enquiries of Group management, those charged with governance, legal counsel and Internal Audit, review of the Audit Committee and Board minutes as well as journal entries testing, with a focus on manual consolidation journal entries and journal entries indicating significant or unusual transactions based on the understanding of the business. Through our testing we challenged the assumptions and judgements made by management in respect of significant accounting estimates. At a component level, our full and specific scope audit team's procedures included enquiries of component management and journal entries testing with a focus on manual revenue journal entries.

- In addition, we completed procedures to conclude on the compliance of the disclosures in the Annual Report and financial statements with all applicable requirements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at <https://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report.

USE OF OUR REPORT

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Sarah Kokot

Sarah Kokot (Senior statutory auditor)
for and on behalf of Ernst & Young LLP,
Statutory Auditor
London, United Kingdom
15 June 2026

CHANEL

FINANCIAL STATEMENTS

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF INCOME FOR THE YEAR ENDED 31 DECEMBER 2025 (IN MILLIONS OF US DOLLARS)			
	Notes	2025	2024
Revenue	3	19,269.1	18,699.3
Cost of sales		(3,991.5)	(3,734.3)
Gross profit		15,277.6	14,965.0
Distribution		(229.2)	(229.3)
Advertising, promotion and demonstration		(2,394.7)	(2,444.8)
Selling, general and administrative		(7,942.2)	(7,812.3)
Operating profit	4	4,711.5	4,478.6
Finance income	5	301.2	426.1
Finance costs	5	(742.1)	(290.1)
Equity income on investments, net	12	110.7	89.4
Profit before income tax		4,381.3	4,704.0
Income tax expense	13	(1,468.5)	(1,305.2)
Profit before non-controlling interest		2,912.8	3,398.8
Non-controlling interests		(8.4)	(5.6)
Profit for the year		2,904.4	3,393.2

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2025 (IN MILLIONS OF US DOLLARS)		
	2025	2024
Profit before non-controlling interest	2,912.8	3,398.8
Other comprehensive income / (loss)		
Items that will not be reclassified subsequently to Statement of Income:		
Actuarial (loss) / gain on defined benefit pension plans, net of tax income of \$9.3 million (2024: \$2.9 million tax expense)	(29.7)	0.9
Net loss on equity instruments designated at fair value through other comprehensive income, net of tax income \$0.1 million (2024: \$0.1 million tax income)	(7.1)	(6.8)
Items that may be reclassified subsequently to Statement of Income:		
Cash flow hedge gain / (loss), net of tax expense of \$3.6 million (2024: \$3.5 million tax income)	14.6	(14.0)
Exchange differences on translating foreign operations	1,061.0	(505.3)
Other comprehensive income / (loss) for the year, net of tax	1,038.8	(525.2)
Total comprehensive income for the year	3,951.6	2,873.6
Attributable to:		
Shareholder of the Group	3,943.2	2,868.0
Non-controlling interest	8.4	5.6
	3,951.6	2,873.6

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS OF 31 DECEMBER 2025 (IN MILLIONS OF US DOLLARS)			
	Notes	2025	2024
ASSETS			
Non-current assets:			
Goodwill	8	865.3	335.7
Intangible assets	8	328.8	275.4
Property, plant and equipment	9	7,817.4	6,476.1
Investment property	10	94.7	59.6
Right-of-use assets	11	2,683.3	2,475.6
Investments in associates and joint ventures	12	595.5	721.6
Deferred income tax assets	13	981.5	832.1
Retirement benefit assets	18	104.0	116.6
Non-current financial investments	21	318.5	128.5
Other assets	14	459.9	458.2
Total non-current assets		14,248.9	11,879.4
Current assets:			
Inventories	15	2,701.2	2,309.7
Trade receivables and other assets	14	2,429.2	2,210.8
Income taxes receivable	13	127.7	149.7
Short-term financial investments	21	3,422.7	3,221.5
Cash and cash equivalents	22	1,930.0	2,291.2
Assets classified as held for sale	16	71.7	75.5
Total current assets		10,682.5	10,258.4
TOTAL ASSETS		24,931.4	22,137.8
SHAREHOLDER'S EQUITY AND LIABILITIES			
SHAREHOLDER'S EQUITY			
Share capital	24	-	-
Reserves		183.5	(856.7)
Retained earnings		11,899.0	11,525.5
Non-controlling interest		29.8	40.0
TOTAL SHAREHOLDER'S EQUITY		12,112.3	10,708.8
LIABILITIES			
Non-current liabilities:			
Borrowings	17	2,792.6	3,237.9
Lease liabilities	11	2,551.9	2,348.7
Retirement benefit obligations	18	330.9	290.4
Provisions	19	240.3	173.0
Deferred income tax liabilities	13	184.0	137.3
Other liabilities	20	470.7	477.5
Total non-current liabilities		6,570.4	6,664.8
Current liabilities:			
Trade payables and other liabilities	20	3,810.4	3,182.4
Income tax liabilities	13	393.0	432.8
Borrowings	17	1,273.3	527.6
Lease liabilities	11	431.0	355.8
Provisions	19	341.0	265.6
Total current liabilities		6,248.7	4,764.2
TOTAL LIABILITIES		12,819.1	11,429.0
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES		24,931.4	22,137.8

The Consolidated Financial Statements of Chanel Limited (registered number 00203669) on pages 116 - 165 were approved by the board of directors and authorised for issue on 18 May 2026. They were signed on its behalf by:



CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDER'S EQUITY FOR THE YEAR ENDED 31 DECEMBER 2025 (IN MILLIONS OF US DOLLARS)									
		ATTRIBUTABLE TO THE SHAREHOLDER OF THE GROUP							
	Notes	Share capital	Foreign currency translation reserve	Cash flow hedge reserve	Equity investment revaluation reserve	Other reserves	Retained earnings	Non-controlling interest	Total shareholder's equity
Balances as of 1 January 2024		-	(101.2)	-	(21.4)	(196.4)	13,841.1	41.2	13,563.3
Profit for the period		-	-	-	-	-	3,393.2	5.6	3,398.8
Other comprehensive income for the period		-	(505.3)	(14.0)	(6.8)	-	0.9	-	(525.2)
Total comprehensive income for the period		-	(505.3)	(14.0)	(6.8)	-	3,394.1	5.6	2,873.6
Commitments to purchase non-controlling interest shares		-	-	-	-	(3.9)	-	-	(3.9)
Acquisitions / Divestitures		-	-	-	-	(7.7)	0.6	3.4	(3.7)
Payment of dividends	23	-	-	-	-	-	(5,710.3)	(10.2)	(5,720.5)
Balances as of 31 December 2024		-	(606.5)	(14.0)	(28.2)	(208.0)	11,525.5	40.0	10,708.8
Profit for the period		-	-	-	-	-	2,904.4	8.4	2,912.8
Other comprehensive income for the period		-	1,061.0	14.6	(7.1)	-	(29.7)	-	1,038.8
Total comprehensive income for the period		-	1,061.0	14.6	(7.1)	-	2,874.7	8.4	3,951.6
Commitments to purchase non-controlling interest shares		-	-	-	-	(27.2)	-	-	(27.2)
Acquisitions / Divestitures		-	-	-	-	(1.1)	(1.2)	(2.9)	(5.2)
Payment of dividends	23	-	-	-	-	-	(2,500.0)	(15.7)	(2,515.7)
Balances as of 31 December 2025		-	454.5	0.6	(35.3)	(236.3)	11,899.0	29.8	12,112.3

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2025 (IN MILLIONS OF US DOLLARS)			
	Notes	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES:			
Operating profit	4	4,711.5	4,478.6
Adjustments to reconcile operating profit to net cash provided by operating activities:			
Depreciation and amortisation of PPE, investment property and intangibles		648.0	572.1
Depreciation of right-of-use assets		464.2	417.7
Net impairment of PPE, investment property, goodwill and intangibles and right-of-use assets		36.9	88.8
(Gain) / Loss on disposal of PPE, investment property and intangibles		(4.9)	10.2
Other adjustments (including charitable donations)		78.7	35.3
Cash flows from operations before changes in working capital		5,934.4	5,602.7
Changes in working capital	25	38.8	(271.4)
Cash flows from operations		5,973.2	5,331.3
Interest received		275.2	413.9
Interest paid on financial borrowings		(167.2)	(167.3)
Interest paid on lease liabilities		(109.0)	(84.4)
Income taxes paid		(1,590.8)	(1,529.4)
Settlement of derivatives		96.6	-
NET CASH PROVIDED BY OPERATING ACTIVITIES		4,478.0	3,964.1
CASH FLOWS FROM INVESTING ACTIVITIES:			
Purchase of property, plant, and equipment		(1,300.6)	(1,624.1)
Purchase of intangibles		(141.3)	(127.9)
Proceeds on sale of property, plant, and equipment		42.2	16.8
Acquisitions, net of cash acquired	27	(306.7)	(96.6)
Purchase of associates		(72.8)	(79.0)
Purchase of financial instruments		(1,013.4)	(197.3)
Proceeds on sale of financial instruments		174.9	237.6
Net proceeds on time deposits		739.4	635.0
Dividends from joint ventures and associates		12.4	25.1
Other		8.9	4.4
NET CASH USED IN INVESTING ACTIVITIES		(1,857.0)	(1,206.0)
CASH FLOWS FROM FINANCING ACTIVITIES:			
Proceeds from bank borrowings		364.8	1,348.1
Repayment of borrowings		(425.2)	(1,109.8)
Payment of lease liabilities		(423.2)	(383.9)
Dividends paid to non-controlling interests	23	(15.7)	(10.2)
Dividends paid to Parent	23	(2,500.0)	(5,710.3)
Other		14.2	(3.8)
NET CASH USED IN FINANCING ACTIVITIES		(2,985.1)	(5,869.9)
EFFECT OF EXCHANGE ON CASH AND CASH EQUIVALENTS AND TRANSLATION ADJUSTMENTS		2.9	(59.5)
NET DECREASE IN CASH AND CASH EQUIVALENTS		(361.2)	(3,171.3)
CASH AND CASH EQUIVALENTS, Beginning of year		2,291.2	5,462.5
CASH AND CASH EQUIVALENTS, End of year	22	1,930.0	2,291.2

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. GENERAL INFORMATION

Chanel Limited is a private company limited by shares, incorporated and registered in England and Wales under the Companies Act 2006. The address of the registered office is 5 Barlow Place, London, W1J 6DG. The nature of the operations and principal activities of Chanel Limited and its subsidiaries are set out in the Strategic Report on pages 2 - 105.

2. MATERIAL ACCOUNTING POLICIES

2.1 BASIS OF PREPARATION

The Consolidated Financial Statements have been prepared in accordance with UK-adopted International Accounting Standards (IFRS). These Consolidated Financial Statements have been prepared on a going concern basis and on a historical cost basis, except for the financial assets and liabilities (including derivative instruments) measured at fair value.

The presentation currency of the Consolidated Financial Statements is US dollars, which is the common currency used in the organisation to evaluate the business worldwide. The results of foreign subsidiaries are translated into millions of US dollars in accordance with the policy set out in Note 2.7. The Company only Financial Statements are presented in Sterling, which is the Company's functional currency.

Impact of climate change

The Group looks at climate related risks defined by physical and transition risks. The physical risks identified include chronic and acute weather changes which may cause disruption in the production of raw materials or affect the Group's assets around the world. The Group reviews transition risks such as (inter alia) changes in policies, energy security and geopolitical issues. At this time, the Group has not identified any specific climate related risks that would have a material financial effect on its business model and strategy in the next 12 to 18 months.

The Group will continue to monitor and manage its climate related risks and carbon footprint in line with the ambition of Net Zero 2040 outlined in the Sustainability section on chanel.com. The climate ambition is part of the Group's overall sustainability strategy, the House Sustainability Ambition, to build a resilient and sustainable business.

2.2 GOING CONCERN

The directors are satisfied that the Group and Parent Company have sufficient resources to continue in operation for a period of at least 12 months from the date of approval of these Financial Statements, up to 30 June 2027. Accordingly, the Financial Statements continue to be prepared on a going concern basis.

In their assessment, the directors have considered: the financial and cash position of the Group and Parent Company; the forecast cash requirements and cash generation of the Group and Parent Company; and forecast compliance with loan covenants.

The Group's approach to minimising liquidity risk is described further in Note 21 and involves structuring its borrowings with long-term maturities, as well as maintaining sufficient levels of standby liquidity through revolving credit facilities. Further details of the Group's borrowings can be found in Note 17. The Group continues to maintain its policy of zero net debt at each reporting period, with net cash of \$1.6 billion reported as at 31 December 2025. The Group has access to \$980.4 million of undrawn revolving credit facilities that are forecast to remain undrawn for the foreseeable future as a result of the liquidity available to the Group.

Various downside scenarios have been tested to assess the level of headroom, both in terms of available liquidity and compliance with financial covenants. The mitigating actions within the Group's control, should they be required, have also been considered, including the reduction of non-essential operating and capital expenditures and the reduction of planned dividends to the Group's controlling entity. The likelihood of these scenarios occurring is remote and the sensitivity analysis performed has shown sufficient headroom in terms of available liquidity to the Group and potential breach of covenants.

Following their analyses, the directors considered it appropriate to continue to adopt the going concern basis in preparing the Financial Statements with no material uncertainties to disclose.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.3 ACCOUNTING FRAMEWORK

New Standards, Amendments and Interpretations affecting amounts, presentation or disclosure reported in the current year

The following applicable amendments have been adopted in the current year:

- Amendments to IAS 21: Lack of exchangeability

The application of the amendment listed above did not have any significant impact on the Group's Financial Statements.

New Standards, Amendments and Interpretations in issue but not yet effective

At 31 December 2025, the following Standards, Amendments and Interpretations were in issue but not yet effective:

- IFRS 18: Presentation and Disclosure in Financial Statements

IFRS 18 Presentation and Disclosure in Financial Statements becomes effective from 1 January 2027 and will replace IAS 1 Presentation of Financial Statements. IFRS 18 introduces newly defined categories for classifying income and expenses and subtotals presented in the Statement of Income. It also introduces disclosure requirements in respect of management-defined performance measures, specified expenses by nature and aggregation and disaggregation of financial information. The Group is assessing the impact of IFRS 18 on the Group's Financial Statements.

The application of other standards, amendments and interpretations that are issued but not yet effective are not expected to have a significant impact on the Group's Financial Statements in future periods.

2.4 BASIS OF CONSOLIDATION

These Consolidated Financial Statements include the Financial Statements of the Group together with the Group's share of the results and retained post-acquisition reserves of associates.

Subsidiaries

Subsidiaries included in the consolidation are all entities over which the Group exercises control. The Group controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The concept of control generally implies owning more than half of the voting rights of an entity, although that is not a requirement to demonstrate power over an entity. The existence and effect of potential voting rights that are exercisable or convertible are taken into account in the assessment of control.

The results of subsidiaries acquired or disposed of during the year are included in the Consolidated Statement of Income from the effective date of acquisition or up to the effective date of disposal, as appropriate.

Where necessary, adjustments are made to the Financial Statements of subsidiaries to bring the accounting policies used in line with those of the Group.

All intercompany transactions, balances, income, and expenses are eliminated upon consolidation.

Investments in associates and joint ventures

Associates are all entities in which the Group exercises a significant influence over the entity's management and financial policy without exercising control. Significant influence generally implies holding 20% to 50% of the voting rights. Significant influence may still exist in the absence of at least 20% of the voting rights if it can be clearly demonstrated. Joint Ventures represent arrangements where the Group has joint control of an entity with a third party.

Associates and Joint Ventures are recognised using the equity method and initially measured at cost. Subsequently, the share in profits or losses of the Associate or Joint Venture attributable to equity holders of the Parent is recognised in the Statement of Income and the change in equity attributable to equity holders of the Parent is recognised in equity. If the Group's share in the losses of an Associate or Joint Venture equals or exceeds its investment in the Associate or Joint Venture, the Group no longer recognises its share of losses, unless it has legal or constructive obligations to make payments on behalf of the Associate or Joint Venture.

The Group may write a put option or enter into a forward to purchase the underlying interest from the majority shareholder. For each such transaction, the Group evaluates the characteristic of the arrangement to determine whether it may constitute a derivative. In making this assessment, the Group considers whether the put or forward is fair value settled or is based on non-financial underlying variables specific to the investee, which fall outside the definition of a derivative per IFRS 9 (Financial Instruments).

Key Associates are determined based on the size of the investment and purchase commitments to acquire additional shares.

2.5 BUSINESS COMBINATIONS

The acquisition method of accounting is used to account for the acquisition of Subsidiaries by the Group. At the acquisition date, the Group recognises, separately from goodwill, the identifiable assets acquired, the liabilities assumed, and any non-controlling interest in the acquired entity. The consideration transferred in a business combination is measured at fair value. This fair value is calculated as the sum of the acquisition-date fair values of the assets transferred by the acquirer, the liabilities incurred by the acquirer to former owners of the acquired entity and the equity interests issued by the acquirer. The cost of an acquisition is the total fair value of the consideration given. All direct incremental costs incurred in connection with the acquisition are excluded from the cost of the acquisition and are expensed as incurred. Goodwill is measured at the acquisition date as the excess of the aggregate of the fair value of the consideration transferred and the amount of any non-controlling interest recognised, over the assets and liabilities recognised.

In a step acquisition, the Group remeasures its previously held equity interest in the acquiree at its acquisition-date fair value, any gain or loss arising is recognised in profit or loss. The pre-existing interest is included in the determination of goodwill, together with the fair value of consideration given.

The Group considers the optional concentration test, which permits a simplified assessment of whether an acquired set of activities and assets is not a business, which can be applied on a transaction-by-transaction basis. The concentration test is met if substantially all the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets. If the test is met, the set of activities and assets is determined not to be a business and no further assessment is needed.

Purchase commitments for non-controlling interests

The Group may write a put option or enter into a forward with the non-controlling shareholders in an acquiree as part of the acquisition of a subsidiary. Where such agreements are in place in respect of shares held by non-controlling shareholders, the liability is stated at the present value of the expected future payments and reported in financial liabilities in the Statement of Financial Position. For each transaction, an assessment is made to determine whether the non-controlling shareholders have a present access to the returns associated with the underlying ownership interest. Where it is concluded that the non-controlling shareholders do not have a present access to the returns, the Group adopts the 'anticipated acquisition' method and recognises an adjustment to goodwill. Where it is concluded that the non-controlling shareholders have a present access to the returns, the Group adopts the 'present access' method and recognises an adjustment to equity. The change in the value of such options in the year is recognised in other reserves within shareholder's equity.

The non-controlling interests in the Group's Statement of Financial Position represent the share of net assets of subsidiary undertakings held outside the Group. The movement in the year comprises the profit attributable to such interests together with any dividends paid, as well as adjustments resulting from acquisitions and divestitures. The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group.

Common control transactions

Business combinations that involve entities under common control are excluded from the scope of IFRS 3. The Group's policy is to apply book value accounting to common control transactions, when the legal or regulatory requirements of a particular jurisdiction permit.

In applying book value accounting, it is the Group's accounting policy to recognise the assets acquired and liabilities assumed using the carrying value in the Financial Statements of the entity transferred. The difference between the consideration paid and the carrying value of the assets and liabilities transferred is recognised as other reserves within shareholder's equity. The financial results of the transferred company are included in the Group's Consolidated Financial Statements from the date of the combination.

2.6 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the Group's accounting policies, which are described further in Note 2, the directors are required to make judgements (other than those involving estimations) that may have a significant impact on the amounts recognised and to make estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

Critical judgements in applying the Group's accounting policies

The Group holds certain investments in manufacturing operations that require a judgement in determining the level of influence over the underlying investees (Note 12).

The judgement in making this assessment includes consideration of the key factors, such as the ownership interest, participation in investee's operational decisions, material transactions with the Group, proportion of business, actual and potential voting rights, and whether a combination of these considerations may empower the Group to direct the relevant activities of these investees.

The Group has determined that these investments provide the ability to exercise significant influence over the operating and financial policies of these entities but do not control them. Therefore, these investments are treated as Associates and accounted for using the equity method of accounting, in line with the Group's Accounting Policy described in Note 2.4.

Key sources of estimation uncertainty

The Group deems the key sources of estimation uncertainty that could cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year as follows:

- **Inventory provisions** – The Group manufactures and sells luxury goods and is subject to changing consumer demands and industry trends. As a result, it is necessary to consider the recoverability of the cost of inventories and the associated provisioning. When calculating inventory provisions, management considers each category of inventory, if the products concerned are damaged or obsolete due to seasonality, end of shelf life or end of life of the collection utilising an expected sell through methodology. An impairment provision is booked to reduce inventories to net realisable value if this is lower than the carrying value. Refer to Note 15 for further details of the carrying value of inventory and associated provisioning.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

- **Uncertain tax positions** – The calculation of the Group's tax liabilities involves uncertainties in the application of complex tax laws. Our estimate of the potential outcome of any uncertain tax position is judgemental but considers whether it is probable that the tax treatment would be accepted by the relevant tax authority that has full knowledge of all the pertinent information that supports the tax position. Settlement of these uncertainties in a manner inconsistent with our expectations could have a material impact on our results of operations, financial position and cash flows. The Group recognises a liability for uncertain tax positions when it is probable that an outflow of economic resources will occur. Measurement of the liability for uncertain tax positions is based on management's best estimate of the amount of tax expense that will be realised upon settlement, in accordance with the criteria of IFRIC 23. Management have not performed a sensitivity analysis on uncertain tax positions as it is not practical to do so. Refer to Note 13 for further details.
- **Defined benefit plans** – The cost of the defined benefit pension plan and other post-employment medical benefits and the present value of the pension obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation, the volatility in financial markets and the provision's long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Refer to Note 18 for further details on pension obligations.

Other sources of estimation uncertainty

Other sources of estimation uncertainty are as follows:

- **Impairment of goodwill** – Goodwill arising from the acquisition of a business is the only intangible asset with an indefinite useful life and is tested for impairment annually. For the purposes of impairment testing, the recoverable amount of goodwill is determined based primarily on the value-in-use of the cash-generating unit (CGU) to which the goodwill is allocated. In certain instances, the recoverable amount is determined through a third-party valuation using appropriate valuation techniques relevant to that CGU. Where value-in-use is used, following a discounted cash flow (DCF) approach, key assumptions are used to determine estimated future cash flows which are based on budgets, medium-term plans and management's assessment of future trends. The recoverable amount is sensitive to the discount rate used in the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. The key assumptions used to determine the recoverable amount, are disclosed and further explained in Note 8.
- **Impairment of Property, plant and equipment (PPE), Right-of-use (ROU) assets and Investments in Associates** – PPE, ROU assets and Investments in Associates are assessed for indicators of impairment. If indicators are identified, assets are assessed for

impairment by determining the recoverable amount of an asset or a CGU based on the higher of the value-in-use and fair value less costs of disposal. Value-in-use is calculated using estimated future cash flows applying key assumptions. The value-in-use is sensitive to the discount rate used for the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. For certain properties, third-party valuations are used to support the fair value of the asset in determining the recoverable amount. Refer to Note 9 for further details.

2.7 FOREIGN CURRENCY TRANSLATION AND TRANSACTIONS

The results and Financial Statements of consolidated entities with a functional currency that differs from the presentation currency are translated into US dollars as follows:

- Statement of Financial Position items, other than equity, are translated at the year-end exchange rate;
- Equity is translated at historical exchange rates;
- Statement of Income and Statement of Cash Flow items are translated at the average rate for the year; and
- Differences are recognised in Other comprehensive income (OCI) under Foreign currency translation reserve.

Changes in the carrying amount relating to translation are recognised in the Consolidated Statement of Comprehensive Income. Gains or losses resulting from foreign currency transactions are included in the Statement of Income.

At the individual entity level, foreign currency transactions are translated into the entity's functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in currencies other than functional currencies at year-end exchange rates are recognised in the Statement of Income.

2.8 REVENUE RECOGNITION

Sale of goods

Revenue mainly comprises direct sales to end-customers and the sale of goods to authorised third parties for resale. The Group recognises revenue when it transfers control over a product to a customer, excluding taxes, net of discounts and after elimination of intercompany sales.

Direct sales to end-customers are made through boutiques for fashion goods, certain fragrance and beauty products, and certain watches and fine jewellery items. These sales are recognised at the time of purchase by the retail end-customers. Sales made in stores owned by third parties are treated as retail transactions if control of the inventories is retained by the Group. E-commerce sales of beauty products and elements of eyewear sales to end-customers are recognised when control of the products has transferred to the customer.

Wholesale sales to third parties are recognised when control of the products has transferred to the third-party customer/authorised retail partner. In the Americas region, revenue is generally recognised upon shipment to such customer, whereas in the Europe and Asia Pacific regions, revenue is generally recognised upon the customer's receipt of goods.

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to such customer, a contract liability is recognised when the payment is made, or the payment is due (whichever is earlier). The contract liability for customer deposits is reported in trade payables and other liabilities (Note 20). Revenue from customer deposits is recognised when the Group performs under the contract.

Product returns and other variable consideration

For direct sales to customers, when the customer has a right to return the product within a given period, the Group is obliged to refund the purchase price. Depending on any contractual clauses attached to these sales, the Group may accept the return of unsold or outdated products.

A refund liability for expected refunds to customers is recognised as an adjustment to revenue and included in provisions. At the same time, the Group has a right to recover the goods from the customer where the customer exercises their right of return, and therefore recognises an asset, with a corresponding adjustment to cost of sales. The asset is reported net of potential decreases in the value of the returned product. Accumulated experience is used to estimate such returns at the time of sale at a portfolio level (expected value method). Because the number of products returned has been steady for a number of years, it is highly probable that a significant reversal in the cumulative revenue recognised will not occur. The validity of this assumption and the estimated amount of returns are reassessed at each reporting date.

The Group considers other forms of variable consideration in measuring revenue, such as volume rebates, and performance bonuses, based on estimates of the variable consideration using the most likely amount method and includes the liability in trade payables and other liabilities.

The Group also enters into certain cooperative arrangements with customers and makes payments related to advertising, demonstration and promotion, for which the Group does not receive a distinct good or service or for which the fair value of the good or service cannot be reasonably estimated. For these types of arrangements, the reduction of revenue is recorded at the later of when (i) the Group recognises revenue for the transfer of the related goods or services to the customer, or (ii) the Group pays or promises to pay the consideration. There are no material judgements in determining if a distinct good or service is received given the nature of the arrangements entered into. To the extent the Group receives a distinct good or service in exchange for consideration and the fair value of the benefit can be reasonably estimated based on the stand-alone selling price, the Group's consideration payable to the customer is reported in advertising, promotion and demonstration expense.

Licensing income

Licensing income is recognised over time in accordance with the substance of the relevant agreements and presented in revenue in the Statement of Income.

2.9 INCOME TAX

The Group computes taxes in accordance with prevailing tax legislation in the locations where income is taxable. Taxes on income are provided in the same period as the revenue and expenses to which they relate. The income tax charge for the period comprises both the current and deferred tax charge (Note 13).

Deferred income tax is provided using the balance sheet method on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the Financial Statements. No deferred taxes are recognised for temporary differences arising from goodwill for which impairment losses are not deductible for tax purposes or from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting, nor taxable profit or loss. The measurement of deferred tax amounts depends on the way in which the Group intends to recover or settle the carrying amount of assets and liabilities and is determined using tax rates (and laws) that have been enacted, or substantially enacted, by the Statement of Financial Position date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets and liabilities are not discounted and are classified in the Statement of Financial Position under non-current assets and liabilities.

Deferred income tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences and the carry-forward of unused tax losses, and of unused tax credits, can be utilised. The Group reviews its deferred tax balances at each Statement of Financial Position date to consider factors such as the impact of changes in tax laws and the prospects of recovering deferred tax assets from deductible temporary differences and from the carry-forward of unused tax losses and of unused tax credits.

Deferred income tax is provided on temporary differences arising on Investments in Subsidiaries, Joint Ventures, and Associates, except where the Group controls the timing of the reversal of the temporary difference, and it is probable that the temporary difference will not reverse in the foreseeable future.

Net balances of deferred tax are calculated based on the tax position of each subsidiary or on the total positions of subsidiaries included within the same consolidated tax group and are presented in assets or liabilities for the net amount per tax entity.

Deferred tax assets and liabilities are offset where there is a legally enforceable right of offset, and the intention is to settle the balances on a net basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The Group applies the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes, as provided in the amendments to IAS 12 issued in May 2023.

2.10 PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment is recognised at cost less accumulated depreciation and impairment. The various components of property, plant and equipment are recognised separately based on their estimated useful lives and, therefore, their depreciation periods are significantly different. The cost of an asset includes the expenses that are directly attributable to its acquisition. Where the Group has made payments under development agreements to construct PPE, the payment amounts are classified as Construction in progress, if the Group has control over the asset as it is being constructed.

Vineyards include the vines associated with the Group's wine businesses. Vines are considered bearer plants and are included within the scope of IAS 16, Property, Plant & Equipment (IAS 16). The Group accounts for vines at their historical cost, which is consistent with all other items of Property, plant and equipment. The harvested grapes from the vines are included in inventory, as described in Note 2.15.

Property, plant and equipment is generally depreciated on a straight-line basis, commencing when the asset is available for use, over the shorter of the expected useful life of the asset or its lease term, if applicable:

TYPE OF ASSET	EXPECTED USEFUL LIFE
Land	not depreciated
Land improvements	up to 50 years
Buildings and buildings improvements	up to 50 years
Machinery, furniture, and equipment	up to 11 years
Leasehold improvements	up to 11 years
Vineyards	up to 35 years
Construction in progress	not depreciated

The assets' residual values and useful lives are reviewed and adjusted, if appropriate, annually with the effects of any change in estimate being accounted for on a prospective basis.

Gains and losses on disposals are determined by comparing proceeds with carrying amounts and are included in the Statement of Income. Borrowing costs directly incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use. Other borrowing costs are expensed as incurred.

2.11 INVESTMENT PROPERTY

Investment properties are properties held to earn rentals or for capital appreciation.

Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, the Group has elected to measure investment property at cost, less accumulated depreciation and accumulated impairment losses applying the same accounting policies as for property, plant and equipment (Note 2.10).

An Investment property is derecognised upon disposal, when reclassified as held for sale or when the Investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property is calculated as the difference between the net disposal proceeds and the carrying amount of the asset and is included in the Statement of Income in the period in which the property is derecognised.

Transfers are made to (or from) Investment property only when there is a change in use.

2.12 LEASES**The Group as lessee**

The Group assesses whether a contract is or contains a lease at inception of the contract. The Group recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee, except for short-term leases (defined as leases with a lease term of 12 months or less), leases of low-value assets (defined as an asset purchased when new is less than \$5,000), and for variable payments which are not dependent on an index or a rate. For the short-term and low-value leases, the Group recognises the lease payments as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased assets are consumed. Variable payment leases are recognised based on actual payments.

Lease liability

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the rate implicit in the lease. If this rate cannot be readily determined, which is generally the case for leases in the Group, the lease payments are discounted using the Incremental Borrowing Rate (IBR) as appropriate for each lease based on factors such as the lessee legal entity credit risk and the lease term.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments;
- Variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;

- Amounts expected to be payable under residual value guarantees;
- The exercise price of purchase options, if the lessee is reasonably certain to exercise the options;
- Payments in an optional renewal period for which the Group is reasonably certain to exercise a renewal option; and
- Payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Group remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

- The lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate;
- The lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which cases the lease liability is remeasured by discounting the revised lease payments using the initial discount rate; or
- A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

When the lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in the Statement of Income if the carrying amount of the right-of-use asset has been reduced to zero.

Right-of-use assets

Right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement date and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. If a lease transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the Group expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset. Depreciation starts at the date when the Group gains control of the underlying asset.

The Group applies IAS 36 Impairment of Assets to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the Property, plant and equipment policy.

In the situation of a sale and leaseback transaction where the Group sells an asset to a buyer and leases that asset back immediately on the sale date, the Group applies IFRS 15 Revenue from contracts with customers to determine whether the transfer of the asset is a sale. If the transfer of the asset is a sale, the Group measures the right-of-use asset arising from the leaseback at the proportion of the previous carrying amount of the asset that is retained for use by the Group. The Group recognises the gain or loss limited to the portion of rights transferred to the buyer.

The Group as lessor

The Group determines at lease inception whether the lease is a finance or operating lease. If the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset, then the lease is a finance lease. If not, then the lease is an operating lease.

When the Group is an intermediate lessor, it accounts for its interest in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease.

2.13 CASH, CASH EQUIVALENTS AND SHORT-TERM INVESTMENTS

Cash and cash equivalents consist of cash on hand and demand deposits as well as other short-term highly liquid investments with original maturities of three months or less that are subject to an insignificant risk of change in value.

Time deposits with a maturity of greater than three months are shown separately in the Statement of Financial Position as Short-term investments.

Bank overdrafts are mainly related to the Group's notional cash pooling arrangement and are shown within borrowings in current liabilities in the Statement of Financial Position. Refer to Note 17 for further details.

2.14 PROVISIONS

Provisions for asset retirement obligations, litigation including product liability, restructuring costs, product return and other product-related obligations, and other contingencies and losses are recognised when the Group has a present legal or constructive obligation resulting from past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount of the obligation can be reliably estimated (Note 19).

Restructuring provision and costs

A restructuring provision is recognised when a formal and detailed restructuring plan exists and the Group has raised a valid expectation that it will carry out the restructuring by having begun to implement the plan, or its main features have been announced before the Statement of Financial Position date. Restructuring costs for which a provision is made essentially represent employee costs (severance pay, early retirement plans, other termination benefits, etc.), and the recognition of onerous components of contractual obligations with third parties.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**2.15 INVENTORIES**

Inventories are recorded at the lower of cost and net realisable value. Net realisable value is the estimated sales price in the normal course of business, net of costs to be incurred to complete the sale (Note 15). Inventories are valued using the weighted average cost or first-in-first-out (FIFO) basis, depending on the type of business.

Grapes used to produce wine by the Group are considered agricultural produce as defined in IAS 41, Agriculture (IAS 41). The fair value of these assets cannot be measured reliably due to the lack of an active market for such unique assets and the volatility of wine prices which vary with global demand and the quality of each season's crop. Therefore, the Group accounts for these assets at their historical cost. Subsequent to their initial recognition, the Group accounts for grapes at the lower of cost and net realisable value. Due to the length of the ageing process required for wine, the holding period for these inventories generally exceeds one year. However, in accordance with industry practices, these inventories are nevertheless classified as current assets.

Write-downs of inventories are primarily recognised if inventory items are damaged, or if they have become wholly or partially obsolete.

2.16 EXCEPTIONAL ITEMS

Exceptional items are typically material amounts related to costs, gains or losses arising from events that are not considered part of the core operations of the business. These include, but are not limited to, costs related to restructuring programmes, significant impairments and reversals of non-current assets, investment gains and losses on corporate-owned life insurance, and any other items that are considered to be exceptional by virtue of their size, nature or incidence. A breakdown of exceptional items is included in Note 4.

2.17 GOODWILL

Goodwill is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised. Goodwill is not amortised but is tested annually for impairment and is carried at cost less accumulated impairment losses. The impairment expense is recognised in Selling, general and administrative expenses in the Consolidated Statement of Income. Refer to Note 8 for further details. Gains and losses on the disposal of a subsidiary include the carrying amount of goodwill relating to the entity sold.

2.18 OTHER INTANGIBLE ASSETS

Intangible assets acquired as part of a business combination, which are controlled by the Group and can be measured reliably, and which are separate or arise from contractual or other legal rights, are recognised separately from goodwill. Intangible assets with finite lives are amortised over their estimated useful lives. If it is determined that their recoverable amounts are less than their net carrying amount, they are written down to their recoverable amounts (Note 8).

Capitalised software and related licences

Costs that are directly associated with developing, purchasing, implementing or improving identifiable software that is under the Group's control and have expected benefits beyond one year are recognised as intangible assets and are amortised using the straight-line method over their estimated useful lives, typically up to seven years. Licences are amortised over their contractual lives, if longer than one year. Costs associated with evaluating or maintaining computer software are expensed as incurred. Website costs are capitalised as intangible assets only if certain criteria are met, most importantly the ability of the website to generate probable future economic benefits. Once the Group determines that an internally generated website meets the necessary criteria, specific costs related to the website's development phase are capitalised as other intangible assets.

TYPE OF ASSET	EXPECTED USEFUL LIFE
Goodwill	not amortised
Licences	over contractual life
Capitalised Software	up to 7 years
Website	up to 5 years

2.19 IMPAIRMENT OF ASSETS

Finite-lived Intangible assets, Property, plant, and equipment, and Right-of-use assets are subject to impairment testing whenever there is any indication that an asset may be impaired, and at least annually in the case of goodwill and indefinite-lived intangible assets. Impairment tests seek to determine whether the recoverable amount of an asset, a CGU or a group of CGUs is less than its net carrying amount. For the purpose of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows. When the carrying amount of such assets is greater than the recoverable amount, which is the higher of their value-in-use or fair value less cost of disposal, the resulting impairment loss is recognised within the Statement of Income.

Impairment losses recognised on assets other than goodwill may be reversed at a later date up to the amount of the losses previously recognised, when the recoverable amount becomes greater than the net carrying amount. Impairment losses pertaining to goodwill may not be reversed.

2.20 GOVERNMENT GRANTS

Government grants are assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. All government grants are claimed only if their objective is in line with the Group's business purpose and in accordance with its global tax principles. These grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attached to them and that the grants will be received. Government grants are recognised in the Statement of Income on a systematic basis over the periods in which the Group recognises as expenses the related costs for which the grants are intended to compensate.

The Group recognised \$23.9 million (2024: \$38.4 million) related to government grants in operating profit as a reduction to Selling, general and administrative expenses. These incentives are aimed at providing long-term support for companies undertaking business activities in specific markets.

2.21 FINANCIAL ASSETS

Initial recognition and measurement

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under IFRS 15.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in three categories:

- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments); or
- Financial assets at amortised cost (debt instruments); or
- Financial assets at fair value through profit or loss.

Financial assets at amortised cost (debt instruments)

The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and;
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest method and are subject to impairment. Gains and losses are recognised in the Statement of Income when the asset is derecognised, modified or impaired.

The Group's financial assets at amortised cost include trade receivables and other financial assets.

Financial assets designated at fair value through OCI (equity instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under International Accounting Standard 32 Financial Instruments. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to the Statement of Income. Dividends are recognised as Finance income in the Statement of Income when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

The Group has elected to irrevocably classify its listed and non-listed equity investments as financial assets at fair value through OCI. These are strategic investments, and the Group considers this classification to be more relevant.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. All derivatives are accounted for at fair value through profit and loss.

Financial assets at fair value through profit or loss are carried in the Statement of Financial Position at fair value with net changes in fair value recognised in the Statement of Income.

Derecognition

A financial asset is primarily derecognised when the rights to receive cash flows from the asset have expired.

Impairment of financial assets

The Group recognises an allowance for expected credit losses (ECLs) for all financial assets not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment. The ECL risk on the Group's trade receivables is low and, therefore, there is limited impact on applying this approach to the Financial Statements. Details of the loss allowance are included in Note 14.

2.22 ASSETS HELD FOR SALE

The Group classifies non-current assets and disposal groups as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset or disposal group is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such asset or disposal group and its sale is highly probable. For the sale to be highly probable, management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. It is unlikely that significant changes to the plan will be made or that the plan will be withdrawn. Events or circumstances beyond the Group's control may extend the period to complete the sale beyond one year. An extension of the period required to complete the sale does not preclude an asset or disposal group from being classified as held for sale.

The Group measures non-current assets and disposal groups classified as held for sale at the lower of their carrying amount and fair value less costs to sell (Note 16).

The Group recognises all impairment losses for any initial or subsequent write down of the asset or disposal group to fair value less costs to sell.

There is no depreciation or amortisation recognised while an asset or disposal group is classified as held for sale. The interest and other expenses attributable to the liabilities of the disposal group classified as held for sale will continue to be recognised.

2.23 FINANCIAL LIABILITIES

With the exception of derivative liabilities, which are accounted for at fair value through profit or loss, the Group recognises all financial liabilities initially at fair value and subsequently at amortised cost, using the effective interest method. Financial liabilities are classified as current liabilities unless the Group does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period.

2.24 DERIVATIVE INSTRUMENTS AND HEDGING ACTIVITIES

Derivatives designated as cash flow hedges

At the inception of designated hedge relationships, the Group documents its risk management objectives and strategy for undertaking various hedging transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in cash flows of hedged items in line with the criteria set out in IFRS 9.

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognised as a "cash flow hedge reserve" within shareholder's equity. Any gain or loss relating to the ineffective portion is recognised immediately in the Statement of Income. Amounts accumulated within shareholder's equity are reclassified to the Statement of Income when the hedge instrument is realised.

If the hedge no longer meets the criteria for hedge accounting or the hedging instrument is sold, expires, is terminated, or is exercised, then hedge accounting is discontinued prospectively. When highly probable forecast exposures are no longer expected to occur, these previously hedged amounts no longer qualify for hedge accounting, consequently, the gains/losses related to these discontinued derivatives held in the cash flow hedge reserve are immediately recorded in the Statement of Income.

Non-hedging derivatives

Changes in the fair value of derivative instruments used to manage exposures, that are not designated as hedges, are recognised immediately in the Statement of Income.

2.25 EMPLOYEE BENEFITS

Retirement benefits

The Group has both defined benefit and defined contribution plans (Note 18). With respect to defined contribution plans, the Group is not obliged to make additional payments beyond contributions already made. Contributions to these plans are expensed as incurred as part of operating profit in the Statement of Income.

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive post-employment, dependent on one or more factors such as age, years of service, and compensation. These plans and the termination benefits are valued by independent actuaries. The valuation takes into account the level of future compensation, service period, life expectancy, and staff turnover. Actuarial gains and losses are primarily due to changes in demographic and financial assumptions and the difference between estimated results based on actuarial assumptions and actual results. All actuarial differences with respect to defined benefit plans are recognised immediately in the Statement of Comprehensive Income. Past service costs, which typically increase a retirement benefit obligation following the introduction of a new plan or change to an existing plan, are recognised immediately in the Statement of Income. Retirement expenses are recognised in operating profit in the Statement of Income. The interest cost, which represents the interest accumulated on the unpaid balance of the projected benefit obligation and the interest earned on the performance of the plan assets are recognised in finance income (costs), net.

Executive deferred compensation plan

The Group has a non-qualified executive deferred compensation plan (EDCP) that provides certain eligible employees with the opportunity to defer elements of their base compensation and bonuses. Deferred amounts are further increased or decreased based on the results of investment choices selected by the plan participants. Benefits are payable to the employees or their designated beneficiaries at specified future dates, upon retirement, or death. The EDCP and its benefits are valued by an independent actuary on an annual basis. The valuation takes into account such factors as the participants' investment selections, and years until scheduled distributions. Compensation amounts deferred by plan participants during the year, as well as changes in actuarially determined amounts, are recognised in operating profit in the Statement of Income. The liability associated with the Group's EDCP is recorded in other liabilities in the Statement of Financial Position.

Corporate-owned life insurance

The Group has several corporate-owned life insurance (COLI) policies that indirectly finance the executive deferred compensation plans and other defined benefit plans. COLI cash values are managed on an aggregate basis and unlike defined benefit pension plan assets, COLI assets are not specifically identified or accounted for as being related to any particular benefit liability. The dual construct of COLI results

in the payment of premiums that cover insurance costs on the life of participating employees, but the majority of the funds are directed to the actual investments embedded in the COLI asset structure. The cash surrender value (CSV) is a combination of the market value of the underlying investments, in addition to the traditional cash surrender value of a life insurance policy. The asset recognised by the Group is equal to the CSV of the policies and the market value of the money market funds at the reporting date. The CSV of the policies and market value of the money market funds consist of deposits (premiums), investment earnings/losses, trust expenses, benefit payments/withdrawals and death benefit proceeds.

2.26 FINANCE INCOME AND FINANCE COSTS

Finance income and finance costs comprise borrowings costs, interest income from cash and cash equivalents, foreign exchange gains and losses, cost of foreign exchange and interest rate derivatives and fair value adjustments on financial assets. These activities support the Group's operations, but they are not part of the Group's core operating business activities. A further breakdown is provided in Note 5.

3. REVENUE

Set out below is the disaggregation of the Group's revenue from contracts with customers. The Group disaggregates revenue by geographical region and sales channel as this best depicts how the nature, timing and amount of revenue and cash flows are affected by economic factors.

	2025	2024
	\$ millions	\$ millions
Type of sales		
Sales of goods	19,256.5	18,687.3
Licence income	12.6	12.0
	19,269.1	18,699.3
Geographical markets		
Asia Pacific	9,181.7	9,232.8
Europe	6,054.3	5,676.6
Americas	4,033.1	3,789.9
	19,269.1	18,699.3
Sales channel		
Retail	14,842.4	14,407.3
Wholesale	4,414.1	4,280.0
Other	12.6	12.0
	19,269.1	18,699.3

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

4. OPERATING PROFIT

	2025	2024
	\$ millions	\$ millions
Profit before tax is stated after charging / (crediting):		
Research and development expenditure	181.3	213.1
Impairment and impairment reversals of PPE, intangibles and other assets, excluding ROU assets	32.4	86.5
Restructuring costs	79.3	96.8
Net investment gains on corporate-owned life insurance	(12.2)	(19.1)
(Gain) / loss on disposal of assets	(4.9)	10.2
Other	(1.0)	0.9
Exceptional items	93.6	175.3

Research and development (R&D) costs are expensed as incurred, unless the criteria for capitalisation have been met. The Group did not meet the capitalisation criteria for these costs in 2025 or 2024.

5. FINANCE INCOME / (COSTS)

	2025	2024
	\$ millions	\$ millions
Finance income:		
Foreign exchange gains, net	-	25.7
Interest income on cash and investments	282.3	398.7
Derivatives gains, net	11.1	-
Other finance income	7.8	1.7
	301.2	426.1
Finance costs:		
Foreign exchange losses, net	(442.9)	-
Interest costs on financial borrowings	(173.6)	(165.9)
Interest costs on lease liabilities	(124.6)	(97.4)
Derivatives losses, net	-	(9.0)
Other finance costs	(1.0)	(17.8)
	(742.1)	(290.1)
	(440.9)	136.0

The Group recognised net foreign exchange losses of \$442.9 million in 2025 (2024: \$25.7 million gain), which is mainly attributable to the weakening of the US dollar in relation to US dollar denominated Cash and cash equivalents and Short-term investments held by Chanel Limited.

6. AUDITOR'S REMUNERATION

	2025	2024
	\$ millions	\$ millions
Fees payable to the Group's auditor for the audit of the Group's Annual Financial Statements	2.0	1.9
Fees payable to the Group's auditor and its associates for the audit of the Group's subsidiaries pursuant to legislation	7.7	7.1
	9.7	9.0
Fees payable to the Group's auditor and its associates for other services	0.7	0.4

7. INFORMATION REGARDING EMPLOYEES

	2025	2024
	No.	No.
Average monthly number of persons employed		
Sales and distribution	20,399	20,841
Administration	9,138	8,737
Production	8,508	7,914
	38,045	37,492

	2025	2024
	\$ millions	\$ millions
Staff costs during the year		
Wages and salaries	2,975.6	2,837.3
Social security costs	651.0	597.9
Pensions costs	168.0	149.9
Other personnel costs	498.6	476.7
	4,293.2	4,061.8

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

8. GOODWILL AND INTANGIBLE ASSETS

	CAPITALISED SOFTWARE AND RELATED LICENCES	GOODWILL	OTHER	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions
Cost:				
Balance at 1 January 2024	638.1	453.1	100.9	1,192.1
Additions	125.6	77.7	6.1	209.4
Retirements and disposals	(23.3)	-	(0.5)	(23.8)
Transfer to ROU Assets	-	-	(32.5)	(32.5)
Exchange differences	(33.2)	(27.8)	(2.0)	(63.0)
Balances at 31 December 2024	707.2	503.0	72.0	1,282.2
Additions	138.1	487.7	4.2	630.0
Retirements and disposals	(35.5)	(17.2)	(0.2)	(52.9)
Exchange differences	68.6	80.2	4.9	153.7
Balances at 31 December 2025	878.4	1,053.7	80.9	2,013.0
Accumulated amortisation and impairment:				
Balance at 1 January 2024	419.7	143.6	56.1	619.4
Amortisation expense	88.2	-	4.1	92.3
Retirements and disposals	(23.0)	-	(0.2)	(23.2)
Impairment losses	8.6	31.8	0.1	40.5
Transfer to ROU Assets	-	-	(25.7)	(25.7)
Exchange differences	(23.1)	(8.1)	(1.0)	(32.2)
Balances at 31 December 2024	470.4	167.3	33.4	671.1
Amortisation expense	98.6	-	5.6	104.2
Retirements and disposals	(26.7)	(17.2)	-	(43.9)
Impairment losses	-	20.0	-	20.0
Exchange differences	46.4	18.3	2.8	67.5
Balances at 31 December 2025	588.7	188.4	41.8	818.9
Carrying amount at 31 December 2024	236.8	335.7	38.6	611.1
Carrying amount at 31 December 2025	289.7	865.3	39.1	1,194.1

Goodwill impairment analysis

The Group tests for impairment annually in accordance with IAS 36 "Impairment of Assets." The Group's most significant goodwill balances are related to its manufacturing companies that support the fashion business activities. To assess for impairment, the Group primarily applies a value-in-use approach. However, certain assets are assessed for impairment using a fair value approach. The carrying amount of those assets is \$26.7 million at 31 December 2025 (2024: \$33.2 million).

Goodwill of \$487.7 million is related to current period acquisitions. The underlying business cases that underpin these acquisitions remain appropriate up to the reporting date, therefore goodwill is fully recoverable at year end.

The key assumptions made in the value-in-use calculations includes future revenues, margins achieved and discount rates applied. The discount rate is a post-tax rate applied to post-tax cash flows and does not result in impairment conclusions differing from those obtained by applying pre-tax rates to pre-tax cash flows. The analyses performed were based on our CGUs' medium-term business plans, with time frames of five years that have been reviewed and approved by management. Cash flows beyond five years are calculated to perpetuity using long-term growth rates.

The Group estimates discount rates using post-tax rates that reflect a market assessment of the time value of money and the risks specific to the CGUs. The discount rates are derived from the Group's weighted average cost of capital. Inputs into the discount rate calculation include the risk-free rate, country risk premium and equity risk premium.

The discount, medium-term and long-term growth rates applied in the value-in-use model are as follows:

GOODWILL				
2025				
	\$ millions			
	Value of the goodwill tested via DCF	Discount rate	Annual growth rate for revenue during the plan period	Growth rate for the period after the plan
Manufacturing CGUs	222.5	10.3%	2.5% - 11.5%	2.5%

2024				
	\$ millions			
	Value of the goodwill tested via DCF	Discount rate	Annual growth rate for revenue during the plan period	Growth rate for the period after the plan
Manufacturing CGUs	222.9	9.7%	2.5% - 6.7%	2.5%

2025 Impairment

Based on these assessments using the value-in-use and fair value approach, the Group recognised impairment losses of \$20.0 million in 2025 (2024: \$31.8 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

9. PROPERTY, PLANT AND EQUIPMENT

	LAND AND LAND IMPROVEMENTS	BUILDINGS AND BUILDING IMPROVEMENTS	MACHINERY, FURNITURE, AND EQUIPMENT	LEASEHOLD IMPROVEMENTS	CONSTRUCTION IN PROGRESS	VINEYARDS	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Cost:							
Balances at 1 January 2024	1,849.3	2,714.4	1,878.9	2,051.1	469.9	33.6	8,997.2
Additions	347.6	153.0	209.1	305.1	667.3	1.1	1,683.2
Acquisitions through business combinations	3.1	6.5	3.6	0.7	-	-	13.9
Disposals	(0.8)	(13.6)	(50.2)	(74.5)	(1.7)	(0.2)	(141.0)
Transfers to investment Property (Note 10)	-	(2.8)	-	-	-	-	(2.8)
Transfers within PPE	78.2	35.0	59.2	118.2	(291.2)	0.6	-
Exchange differences	(99.8)	(166.3)	(111.0)	(97.2)	(35.9)	(0.5)	(510.7)
Balances at 31 December 2024	2,177.6	2,726.2	1,989.6	2,303.4	808.4	34.6	10,039.8
Additions	156.8	190.0	181.0	295.6	516.1	0.7	1,340.2
Acquisitions through business combinations	0.6	-	8.2	0.8	6.1	-	15.7
Disposals	(6.0)	(26.7)	(54.5)	(58.6)	(2.4)	-	(148.2)
Transfers to investment property (Note 10)	(37.9)	(25.2)	-	-	-	-	(63.1)
Transfers within PPE	4.0	309.3	98.0	140.0	(551.7)	0.4	-
Exchange differences	207.6	293.1	202.2	134.8	67.2	1.0	905.9
Balances at 31 December 2025	2,502.7	3,466.7	2,424.5	2,816.0	843.7	36.7	12,090.3
Accumulated depreciation and impairment:							
Balances at 1 January 2024	4.9	949.5	1,191.3	1,183.1	2.3	14.9	3,346.0
Disposals	-	(12.6)	(44.5)	(59.9)	-	(0.1)	(117.1)
Depreciation expense	0.5	97.8	154.9	219.1	-	1.9	474.2
Impairment losses	-	0.5	0.2	45.3	-	-	46.0
Exchange differences	(0.2)	(53.0)	(74.0)	(57.7)	(0.4)	(0.1)	(185.4)
Balances at 31 December 2024	5.2	982.2	1,227.9	1,329.9	1.9	16.6	3,563.7
Disposals	-	(11.3)	(50.4)	(57.9)	-	-	(119.6)
Depreciation expense	0.5	114.2	177.0	243.9	-	1.8	537.4
Impairment losses	-	1.5	7.7	3.9	-	-	13.1
Reversals of impairment	-	(29.2)	(0.2)	(0.3)	-	-	(29.7)
Transfers to investment property (Note 10)	-	(5.8)	-	-	-	-	(5.8)
Exchange differences	0.5	104.6	126.3	81.2	0.8	0.4	313.8
Balances at 31 December 2025	6.2	1,156.2	1,488.3	1,600.7	2.7	18.8	4,272.9
Carrying amount at 31 December 2024	2,172.4	1,744.0	761.7	973.5	806.5	18.0	6,476.1
Carrying amount at 31 December 2025	2,496.5	2,310.5	936.2	1,215.3	841.0	17.9	7,817.4

In 2025, the Group recognised \$13.1 million of impairment losses (2024: \$46.0 million) across Fashion and Fragrance & Beauty Retail boutiques and \$29.7 million of impairment reversals (2024: \$nil) mainly related to a rebound in the real estate market in a previously impaired location.

	2025	2024
	\$ millions	\$ millions
Contractual commitments related to Property, plant and equipment	749.7	830.7
Borrowings secured by Property, plant and equipment	328.2	274.9

10. INVESTMENT PROPERTY

	2025	2024
	\$ millions	\$ millions
Cost:		
Balance at 1 January	100.8	102.3
Additions	2.5	-
Transfers from PPE (Note 9)	57.3	2.8
Exchange differences	9.4	(4.3)
Balance at 31 December	170.0	100.8
Accumulated depreciation and impairment:		
Balance at 1 January	41.2	39.7
Depreciation expense	2.7	3.1
Impairment Losses	29.0	-
Exchange differences	2.4	(1.6)
Balance at 31 December	75.3	41.2
Carrying amount at 31 December	94.7	59.6
Fair value at 31 December	259.2	197.0

As of 31 December 2025 and 2024, Investment property consisted of land and buildings in Europe and the United States. Portions of these properties are leased to third parties as operating leases (Note 11).

In 2025, the Group recognised \$29.0 million of impairment losses (2024: \$nil) due to a downturn in the real estate market in a particular location.

Amounts recognised in the Consolidated Statement of Income:

	2025	2024
	\$ millions	\$ millions
Rental income	7.5	7.0
Direct operating expenses	4.5	4.0

Fair value

The Group periodically obtains third-party valuations related to its investment properties. The valuations consider transaction prices for similar properties in the surrounding area as well as other factors relevant to the location of the buildings. Fair value was based on a market approach and considered observable factors such as existing

rents, lease term of the property, and current market prices for similar properties. In accordance with IFRS 13, the fair value of the buildings is within Level 2 of the fair value hierarchy. There were no changes to the methods and assumptions in determining fair value from the prior year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

11. LEASES

The Group as lessee

Right-of-use assets

The Group's real estate leases are composed primarily of land and buildings for its boutiques and offices. Machinery and equipment leases include vehicles, IT assets, office, manufacturing and distribution equipment. Changes in right-of-use assets by underlying asset type during the period are as follows:

	REAL ESTATE	MACHINERY AND EQUIPMENT	TOTAL
	\$ millions	\$ millions	\$ millions
Gross:			
Balance at 1 January 2024	3,610.7	25.2	3,635.9
New leases	593.8	10.9	604.7
Remeasurements	263.2	1.2	264.4
Leases terminated	(146.3)	(6.5)	(152.8)
Acquired through business combinations	6.4	0.1	6.5
Transfers from intangible assets (Note 8)	32.5	-	32.5
Lease properties acquired	(36.2)	-	(36.2)
Exchange differences	(147.8)	(1.6)	(149.4)
Balance at 31 December 2024	4,176.3	29.3	4,205.6
New leases	376.2	7.9	384.1
Remeasurements	143.3	0.1	143.4
Leases terminated	(170.9)	(4.5)	(175.4)
Acquired through business combinations	11.3	0.6	11.9
Lease properties acquired	(26.0)	-	(26.0)
Exchange differences	251.2	3.0	254.2
Balance at 31 December 2025	4,761.4	36.4	4,797.8
Accumulated depreciation and impairment:			
Balance at 1 January 2024	1,487.7	12.0	1,499.7
Depreciation expense	409.8	7.9	417.7
Impairment losses	2.3	-	2.3
Leases terminated	(118.5)	(6.1)	(124.6)
Transfers from intangible assets (Note 8)	25.7	-	25.7
Lease properties acquired	(28.7)	-	(28.7)
Exchange differences	(61.3)	(0.8)	(62.1)
Balance at 31 December 2024	1,717.0	13.0	1,730.0
Depreciation expense	454.3	9.9	464.2
Impairment losses	4.5	-	4.5
Leases terminated	(167.2)	(4.5)	(171.7)
Lease properties acquired	(16.0)	-	(16.0)
Exchange differences	101.9	1.6	103.5
Balance at 31 December 2025	2,094.5	20.0	2,114.5
Carrying amount at 31 December 2024	2,459.3	16.3	2,475.6
Carrying amount at 31 December 2025	2,666.9	16.4	2,683.3

Right-of-use assets impairment

As a part of the Group's impairment review, \$4.5 million of impairment losses were recognised in 2025 (2024: \$2.3 million). In estimating the value for calculating impairment charges, potential alternative uses for property, such as subletting a leasehold or surrendering the property to the landlord at a cost were considered.

Lease liabilities

Changes in lease liabilities during the period are as follows:

	CURRENT	NON-CURRENT	TOTAL
	\$ millions	\$ millions	\$ millions
Balance at 1 January 2024	330.8	1,997.7	2,328.5
New leases	36.4	563.6	600.0
Landlord contributions	3.2	-	3.2
Lease payments	(468.2)	-	(468.2)
Accrued interest	97.2	-	97.2
Leases terminated	(0.5)	(25.7)	(26.2)
Lease properties acquired	(2.8)	(5.4)	(8.2)
Acquired through business combinations	1.3	5.2	6.5
Remeasurements	22.1	232.7	254.8
Transfers	348.5	(348.5)	-
Exchange differences	(12.2)	(70.9)	(83.1)
Balance at 31 December 2024	355.8	2,348.7	2,704.5
New leases	16.9	360.3	377.2
Landlord contributions	25.5	-	25.5
Lease payments	(532.0)	-	(532.0)
Accrued interest	124.3	-	124.3
Leases terminated	(3.2)	(2.7)	(5.9)
Lease properties acquired	(3.0)	(7.2)	(10.2)
Acquired through business combinations	1.3	10.6	11.9
Remeasurements	36.0	97.0	133.0
Transfers	388.0	(388.0)	-
Exchange differences	21.4	133.2	154.6
Balance at 31 December 2025	431.0	2,551.9	2,982.9

In 2025, the Group purchased three of its leased properties, resulting in a lease liability reduction of \$10.2 million. In 2024, the Group purchased two of its leased boutiques, resulting in a lease liability reduction of \$8.2 million.

Maturity analysis of lease liabilities, showing the undiscounted lease payments to be paid after the reporting date:

	2025	2024
	\$ millions	\$ millions
Less than one year	538.1	446.4
One to two years	501.5	437.1
Two to three years	430.6	406.9
Three to four years	373.7	353.6
Four to five years	323.4	291.4
More than five years	1,768.6	1,551.2
	3,935.9	3,486.6

The Group does not face a significant liquidity risk with regard to its lease liabilities.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**Lease payments not recognised as a liability**

The Group has elected not to recognise a lease liability for short-term leases or for leases of low-value assets. Payments made under such leases are expensed on a straight-line basis. The expenses relating to payments not included in the measurement of the lease liability and for variable lease payments which are not dependent on an index or a rate, are as follows:

	2025	2024
	\$ millions	\$ millions
Expenses relating to short-term leases	13.7	14.6
Expenses relating to low-value assets	4.4	5.4
Expenses relating to variable lease payments	724.3	705.6
	742.4	725.6

Variable lease payments based on sales

Some leases contain variable lease payments that are based on sales made within a particular boutique. Total fixed and variable lease payments were \$532.0 million (2024: \$468.2 million) and \$724.3 million (2024: \$705.6 million), respectively, as of 31 December 2025. Overall, the variable payments constitute 56.8% (2024: 59.1%) of the Group's entire lease payments. The variable payments are dependent on sales and are expected to represent a similar proportion of total lease payments in future years.

and estimation based on information at the time the assessments are made. Extension options are included in the lease term when the Group has an economic incentive to exercise the option. The Group considers available evidence at the time of the assessment, including potential favourable terms upon extension, potential termination penalties, the relative costs associated with potential relocation or termination of the lease and the extent of leasehold improvements undertaken. The total amount of undiscounted potential future lease payments not included in the lease liability is \$948.9 million (2024: \$853.7 million).

Extension options

Some real estate leases contain extension options. The Group assesses whether it is reasonably certain to exercise the options at lease commencement and subsequently, if there is a change in circumstances within its control. Such assessment involves management judgement

Leases not yet commenced to which the Group is committed

Future cash flows of leases not yet commenced at the reporting date and, therefore, not included in the lease liability at the reporting date are \$205.0 million (2024: \$122.7 million).

The Group as lessor**Leases receivables**

Lease income from lease contracts in which the Group acts as a lessor:

	2025	2024
	\$ millions	\$ millions
Finance lease		
Finance income on the net investment in the lease	0.7	0.8
Operating lease		
Lease income	17.0	16.3
	17.7	17.1

The income recognised during the year from subletting right-of-use assets was \$9.2 million (2024: \$9.0 million).

Operating leases

The Group leases its investment property and some leased properties to third parties that are considered operating leases since they do not transfer substantially all of the risks and rewards incidental to the ownership of the assets. Refer to Note 10 for additional information regarding investment property operating leases.

Maturity analysis of operating lease receivables, showing the undiscounted lease payments to be received after the reporting date:

	2025	2024
	\$ millions	\$ millions
Less than one year	14.5	14.2
One to two years	9.0	10.6
Two to three years	6.9	6.3
Three to four years	6.6	4.9
Four to five years	4.7	4.3
More than five years	11.6	8.0
Total undiscounted lease payments	53.3	48.3

Finance leases

The Group sublets some boutique space that are considered finance leases, since the sublease is for a significant portion of the remaining term of the head lease.

	2025	2024
	\$ millions	\$ millions
Non-current finance lease receivables	6.0	11.1
Current finance lease receivables	5.1	4.8
	11.1	15.9

Maturity analysis of finance lease receivables, showing the undiscounted lease payments to be received after the reporting date:

	2025	2024
	\$ millions	\$ millions
Less than one year	5.5	5.3
One to two years	5.6	5.5
Two to three years	0.5	5.7
Three to four years	-	0.5
Total undiscounted lease payments receivable	11.6	17.0
Unearned finance income	(0.5)	(1.1)
Net investment in lease	11.1	15.9

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

12. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

	2025	2024
	\$ millions	\$ millions
As at 1 January	721.6	710.5
Additions	75.6	80.7
Dividends received	(9.9)	(24.2)
Share of profit*	33.5	89.4
Net fair value gain on step acquisitions*	77.2	-
Impairment	-	(12.0)
Transfers to Assets held for sale (Note 16)	-	(71.4)
Transfers to Investment in subsidiaries	(386.1)	-
Adjustments and exchange differences	83.6	(51.4)
As at 31 December	595.5	721.6

* Share of profit and Net fair value gain on step acquisitions are included within Equity Income on Investments in the Consolidated Statement of Income.

In general, the Group holds ordinary shares in its Investments in Associates and Joint Ventures. A list of the Associates and Joint Ventures is disclosed in Note V.

Aggregate financial information of associates and joint ventures is as follows:

	2025			2024		
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
	Key associates¹	Other	Total	Key associates¹	Other	Total
Total assets	368.8	1,243.5	1,612.3	984.2	888.9	1,873.1
Total liabilities	103.4	828.7	932.1	196.9	585.0	781.9
Net assets	265.4	414.8	680.2	787.3	303.9	1,091.2
Total revenue	342.1	645.5	987.6	863.6	452.0	1,315.6
Total profit for the period, net	25.6	70.4	96.0	142.7	81.1	223.8
Group's share of profit from associates and joint ventures, net	18.2	15.3	33.5	67.5	21.9	89.4

¹ Key associates that are individually significant to the Group are denoted in Note V.

As of 31 December 2025, the Group's aggregate off balance sheet commitment to purchase additional shares in Associates is \$283.9 million (2024: \$873.8 million). The values disclosed are based on the Group's best estimate and are subject to variances that may occur to the underlying business and the ultimate timing of cash flows. The expected maturity schedule of these commitments is as follows:

2025	LESS THAN 1 YEAR	1-5 YEARS	5+ YEARS	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions
Aggregate contractual commitments related to investments in associates	-	227.9	56.0	283.9
	-	227.9	56.0	283.9
2024	LESS THAN 1 YEAR	1-5 YEARS	5+ YEARS	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions
Aggregate contractual commitments related to investments in associates	559.3	255.7	58.8	873.8
	559.3	255.7	58.8	873.8

13. INCOME TAXES

The major components of income tax expense were as follows:

	2025	2024
	\$ millions	\$ millions
Consolidated Statement of Income:		
Current income tax expense	1,530.8	1,390.9
Deferred income tax benefit	(62.3)	(85.7)
Income tax expense recognised in the Consolidated Statement of Income	1,468.5	1,305.2
Consolidated Statement of Comprehensive Income:		
Effect of actuarial (gains) / losses on defined benefit pension plans	(9.3)	2.9
Cash flow hedge losses / (gains)	3.6	(3.5)
Unrealised gains on FVOCI assets	(0.1)	(0.1)
Tax income recognised in OCI	(5.8)	(0.7)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

A reconciliation between income tax expense and the Group's accounting profit before income tax multiplied by the blended statutory tax rate of the Group is as follows:

	2025	2024
	as a % of pre-tax income	as a % of pre-tax income
Blended statutory rate amongst tax jurisdictions	22.3%	23.0%
Effect of permanent differences	0.4%	0.7%
Change in tax rates	0.3%	-0.1%
Withholding taxes*	6.4%	4.2%
Adjustments in respect of prior years	-0.5%	-0.3%
Income tax audit contingencies	0.5%	0.1%
Effect of items taxed at different rates**	3.1%	0.0%
Pillar two top up tax	0.5%	0.4%
Other	0.5%	-0.3%
Effective tax rate	33.5%	27.7%

* The increase in effective tax rate is primarily due to the increase in withholding taxes which increased from 4.2% to 6.4%. Apart from recurring WHT on dividends and unremitted earnings, a substantial part of the 2025 impact is driven by a tax assessment concluded within the year, whilst last year was mainly related to the intercompany sale of a subsidiary.

** The effect of items taxed at a different rate is primarily due to the introduction of an exceptional contribution tax on the profits of large companies in France in 2025.

The blended statutory rate represents the aggregation of the tax imposed on the taxable income contributed to the Group at the applicable corporate tax rate in each jurisdiction.

As of 31 December 2025, the Group had \$127.7 million (2024: \$149.7 million) current income tax receivables.

As of 31 December 2025, the Group had \$393.0 million (2024: \$432.8 million) current income tax liabilities.

The Group operates in a complex and evolving international tax environment and therefore, is subject to tax and intercompany pricing laws and regulations in multiple jurisdictions. In particular, international transfer pricing and the application of the Organisation for Economic

Co-operation and Development (OECD) policies are areas of taxation that depend heavily on detailed understanding of the underlying facts, flows and circumstances and generally involves a significant degree of judgement. Accordingly, within current income tax liabilities, \$188.2 million is allocated to uncertain tax positions (2024: \$143.6 million), with \$154.4 million (2024: \$129.5 million) specifically related to transfer pricing.

With the dynamic nature of international tax regulations and increased scrutiny surrounding transfer pricing practices, the Group has taken a proactive approach to account for potential liabilities arising from these uncertainties. This provision underscores our commitment to transparency and responsible financial reporting, ensuring that we address potential tax risks with prudence and foresight.

The following is a roll-forward of net deferred tax assets:

2025	OPENING BALANCE	RECOGNISED IN STATEMENT OF INCOME	RECOGNISED IN OCI	ACQUISITIONS	TRANSFERS	EXCHANGE DIFFERENCES	CLOSING BALANCE
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Product related provisions	445.6	46.8	-	-	50.0	12.8	555.2
Promotional inventory	52.9	(1.5)	-	-	-	4.0	55.4
Provisions	153.4	24.5	-	-	(19.3)	6.3	164.9
Retirement benefit obligations	42.6	(2.3)	9.3	-	-	(1.1)	48.5
Foreign earnings	(90.9)	(34.1)	-	-	-	-	(125.0)
PPE, intangibles and software as a service	(9.4)	(2.1)	-	-	-	(0.8)	(12.3)
Tax losses carried forward	-	20.8	-	-	13.9	2.1	36.8
Right of use assets and lease liabilities	-	22.9	-	-	32.0	0.8	55.7
Other	100.6	(12.7)	(3.5)	0.8	(76.6)	9.7	18.3
	694.8	62.3	5.8	0.8	-	33.8	797.5
Deferred income tax assets							981.5
Deferred income tax liabilities							(184.0)
							797.5

The following is a roll-forward of net deferred tax assets:

2024	OPENING BALANCE	RECOGNISED IN STATEMENT OF INCOME	RECOGNISED IN OCI	ACQUISITIONS	EXCHANGE DIFFERENCES	CLOSING BALANCE
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Product related provisions	407.9	60.5	-	-	(22.8)	445.6
Promotional inventory	48.6	6.8	-	-	(2.5)	52.9
Provisions	145.0	10.7	-	0.1	(2.4)	153.4
Retirement benefit obligations	43.6	2.3	(2.9)	0.1	(0.5)	42.6
Foreign earnings	(80.3)	(10.6)	-	-	-	(90.9)
PPE, Intangibles and Software as a Service	(17.9)	9.1	-	-	(0.6)	(9.4)
Other	94.8	6.9	3.6	0.3	(5.0)	100.6
	641.7	85.7	0.7	0.5	(33.8)	694.8
Deferred income tax assets						832.1
Deferred income tax liabilities						(137.3)
						694.8

As of 31 December 2025, the Group had unused tax losses of \$436.5 million (2024: \$332.3 million) for which no deferred tax asset is recognised in the Consolidated Statement of Financial Position. The majority of

these tax losses and deductible temporary differences may be carried forward for an indefinite period of time. The Group did not utilise any unrecognised tax loss carry-forwards during 2025 or 2024.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

14. TRADE RECEIVABLES AND OTHER ASSETS

	2025		2024	
	CURRENT \$ millions	NON-CURRENT \$ millions	CURRENT \$ millions	NON-CURRENT \$ millions
Financial^(a)				
Trade receivables	1,449.5	-	1,352.5	-
Derivatives	29.2	-	3.6	-
Receivables and loans to related parties	9.8	60.5	7.3	69.7
Other assets	252.9	192.2	218.4	158.2
Accrued credit notes	14.4	22.3	25.7	10.7
Interest receivable	22.1	-	10.3	-
Deposits	4.3	52.5	2.2	49.5
Finance lease receivables	5.1	6.0	4.8	11.1
Equity investments	-	94.5	0.1	84.9
Other	207.0	16.9	175.3	2.0
	1,741.4	252.7	1,581.8	227.9
Non-financial				
Other taxes receivable	308.9	-	288.2	-
Cash surrender value of corporate-owned life insurance	-	172.0	-	197.8
Prepaid expenses	227.5	-	171.1	-
Advances to suppliers	116.0	-	149.5	-
Software as a service prepaid assets	3.8	11.4	5.5	6.3
Other	31.6	23.8	14.7	26.2
	687.8	207.2	629.0	230.3
Total trade receivables and other assets	2,429.2	459.9	2,210.8	458.2

(a) See Note 21

Trade receivables consisted of the following:

	2025	2024
	\$ millions	\$ millions
Gross trade receivables	1,496.0	1,386.8
Provision for expected credit losses	(46.5)	(27.0)
Net carrying amount	1,449.5	1,359.8
Ageing of trade receivables:		
Not past due	1,290.8	1,157.0
Less than one month past due	91.1	157.2
Greater than one month past due	114.1	72.6
	1,496.0	1,386.8

Trade receivables relating to the Group's wholesale activities have payment terms that are generally less than three months.

	2025	2024
	\$ millions	\$ millions
Ageing of provision for expected credit loss:		
Not past due	(1.6)	(1.6)
Past due	(44.9)	(25.4)
	(46.5)	(27.0)

Movement in the provision for expected credit losses is as follows:

	2025	2024
	\$ millions	\$ millions
Balance at 1 January	(27.0)	(12.1)
Expected credit losses	(33.2)	(17.6)
Amounts recovered during the year	11.0	0.9
Amounts written off as uncollectible	4.2	0.5
Reversals of impairment losses charged to profit or loss	0.2	0.2
Exchange differences	(1.7)	1.1
Balance at 31 December	(46.5)	(27.0)

15. INVENTORIES

	2025	2024
	\$ millions	\$ millions
Finished goods	2,125.6	2,066.1
Raw materials	771.3	545.6
Work in process	299.4	227.3
Component inventory	258.0	241.7
Reserves	(753.1)	(771.0)
	2,701.2	2,309.7

The cost of inventories recognised in the Group's Consolidated Statement of Income was \$3,489.7 million (2024: \$3,019.6 million). In addition, the Group recognised \$253.7 million (2024: \$463.3 million) of provisions in cost of sales, which represents the write-down, net of reversals, of inventory to net realisable value. Reversals occur in the event that stock previously provided for has been sold in the current

year. Total reversals of provisions for finished goods inventory sold above cost was \$84.5 million (2024: \$55.8 million). Management considers that a 1% variation on an estimate of sell-through of previous fashion collections would have an impact on the inventory provision of \$23.5 million (2024: \$22.3 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

16. ASSETS HELD FOR SALE

	2025	2024
	\$ millions	\$ millions
As at 1 January	75.5	6.4
Transfers from Investments in associates (Note 12)	-	71.4
Disposals	(12.6)	(2.0)
Decrease in fair value	(0.5)	-
Exchange differences	9.3	(0.3)
As at 31 December	71.7	75.5

In 2024, the Group transferred an Investment in Associate to Assets held for sale due to a Letter of Intent that was signed. The sale, initially expected to close in 2025, was delayed and has closed early in 2026, refer to Note 30 Subsequent events for further details. In 2025, the Group recovered \$12.6 million as a dividend received from this Associate,

included in disposals. There is a balance of \$133.8 million (2024: \$118.1 million) within Other current financial assets (refer to Note 14) which is associated with this Asset held for sale. The remaining Assets held for sale balance is comprised of real estate assets held by the Group in various markets.

17. BORROWINGS

Borrowings consisted of the following:

2025								
	CURRENT	2027	2028	2029	2030	BEYOND	UNAMORTISED DEBT ISSUANCE COST	BALANCE AT 31 DEC
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Senior notes	415.7	-	223.1	100.0	75.0	1,712.5	(3.7)	2,522.6
Sustainability-linked guaranteed notes	352.2	-	-	-	-	352.2	(2.4)	702.0
Bank debt	8.1	2.3	1.8	1.4	1.1	330.7	(1.4)	344.0
Bank overdrafts	497.3	-	-	-	-	-	-	497.3
	1,273.3	2.3	224.9	101.4	76.1	2,395.4	(7.5)	4,065.9
2024								
	CURRENT	2026	2027	2028	2029	BEYOND	UNAMORTISED DEBT ISSUANCE COST	BALANCE AT 31 DEC
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Senior notes	-	387.3	-	196.8	100.0	1,662.3	(3.8)	2,342.6
Sustainability-linked guaranteed notes	-	310.7	-	-	-	310.7	(2.8)	618.6
Bank debt	97.0	2.8	1.6	271.3	1.1	1.9	(2.0)	373.7
Bank overdrafts	430.6	-	-	-	-	-	-	430.6
	527.6	700.8	1.6	468.1	101.1	1,974.9	(8.6)	3,765.5

Of the total borrowings, \$3,229.9 million is unsecured (2024: \$3,053.3 million), \$497.3 million relates to overdrafts secured against the positive cash balance in the notional cash pool (2024: \$430.6 million) and \$338.7 million is secured against assets of the Group (2024: \$281.6 million).

Senior Notes issued through a Private Placement

NOMINAL AMOUNT (IN LOCAL CURRENCY)	DATE OF ISSUANCE	MATURITY	INTEREST RATE (%)	2025	2024
				\$ millions	\$ millions
USD 175 million	2014	2026	3.92%	175.0	175.0
USD 100 million	2014	2029	4.07%	100.0	100.0
USD 125 million	2014	2034	4.59%	125.0	125.0
EUR 205 million	2016	2026	1.84%	240.7	212.3
EUR 190 million	2016	2028	2.04%	223.1	196.8
EUR 115 million	2016	2031	2.28%	135.0	119.1
EUR 90 million	2016	2036	2.75%	105.7	93.2
USD 75 million	2020	2030	2.45%	75.0	75.0
USD 175 million	2020	2032	2.55%	175.0	175.0
USD 175 million	2020	2035	2.70%	175.0	175.0
USD 175 million	2020	2040	3.20%	175.0	175.0
EUR 400 million	2024	2034	4.00%	469.6	414.3
EUR 300 million	2024	2036	4.10%	352.2	310.7
				2,526.3	2,346.4

The fair value of the Senior notes and Bank debt is materially the same as the carrying value.

The Group is required to comply with certain covenants contained within the four individual Note Purchase Agreements (the Agreements). These covenants are aligned across all four Agreements and contain customary representations and warranties as well as customary affirmative and negative covenants, including but not limited to, restrictions on incurrence of additional debt, liens, asset sales, investments, mergers, acquisitions, and affiliate transactions. Events of default permitting acceleration under the agreements include, among others, non-payment of principal or interest, covenant defaults, material breaches of representations and warranties, bankruptcy and insolvency events, and certain other defaults. Financial covenants defined in the Agreements and listed below are required to be tested semi-annually at 30 June and annually at the reporting date of 31 December.

- **Indebtedness Ratio** – consolidated total net debt to adjusted consolidated Earnings Before Interest, Taxes, Depreciation, and Amortisation (EBITDA) to be less than 3.25 to 1.0 for the applicable 12-month period.
- **Fixed Charges Coverage Ratio** – consolidated Earnings Before Interest, Taxes, Depreciation, Amortisation, and Rent (EBITDAR) to consolidated fixed charges to be greater than 2.0 to 1.0 for the applicable 12-month period.
- **Consolidated Priority Indebtedness** – not to exceed 15% of consolidated total assets.

The Group was in compliance with these covenants throughout the year and as of 31 December 2025.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**Sustainability-Linked Guaranteed Notes issued on the Luxembourg Stock Exchange**

The terms and carrying amounts are as follows:

ISSUE TYPE	CURRENCY	PRINCIPAL AMOUNT	MATURITY YEAR	INTEREST RATE	ISSUE PRICE	CARRYING AMOUNT AT 31 DECEMBER 2025	CARRYING AMOUNT AT 31 DECEMBER 2024
						\$ millions	\$ millions
Bond, Fixed rate	Euro	300.0m	2026	0.50%	99.726%	351.9	310.1
Bond, Fixed rate	Euro	300.0m	2031	1.00%	99.400%	350.1	308.5
						702.0	618.6

The Notes bear interest beginning with the issuance date of 1 October 2020 that is payable annually in arrears on 31 July in each year. A premium of 50bps and 75bps would be payable on the principal amounts of the Notes upon maturity in 2026 and 2031, respectively, if specific sustainability targets are not met.

The quoted fair value of the Sustainability-Linked Guaranteed Notes are as follows:

ISSUE TYPE	CURRENCY	PRINCIPAL AMOUNT	MATURITY YEAR	FAIR VALUE AT 31 DECEMBER 2025	FAIR VALUE AT 31 DECEMBER 2024
				\$ millions	\$ millions
Bond, Fixed rate	Euro	300.0m	2026	347.9	300.4
Bond, Fixed rate	Euro	300.0m	2031	308.5	267.0
				656.4	567.4

Bank Overdrafts

Bank overdrafts of \$497.3 million (2024: \$430.6 million) are predominantly balances held in the Group's notional cash pooling arrangements.

Reconciliation of borrowings arising from financing activities:

		NON-CASH CHANGES				
	1 JANUARY 2025	CASH FLOWS	RECLASSIFICATIONS FROM LONG-TERM TO SHORT-TERM AND OTHER	ACQUISITION	FOREIGN EXCHANGE MOVEMENTS	31 DECEMBER 2025
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Long-term borrowings	3,237.9	17.2	(699.5)	6.6	230.4	2,792.6
Short-term borrowings	527.6	(77.6)	699.5	1.1	122.7	1,273.3
Total third-party borrowings	3,765.5	(60.4)	-	7.7	353.1	4,065.9

		NON-CASH CHANGES				
	1 JANUARY 2025	CASH FLOWS	RECLASSIFICATIONS FROM LONG-TERM TO SHORT-TERM AND OTHER	ACQUISITION	FOREIGN EXCHANGE MOVEMENTS	31 DECEMBER 2025
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Long-term borrowings	2,327.8	1,045.2	(1.5)	-	(133.6)	3,237.9
Short-term borrowings	1,364.1	(806.9)	1.5	-	(31.1)	527.6
Total third-party borrowings	3,691.9	238.3	-	-	(164.7)	3,765.5

Refer to Note 11 Leases for reconciliation on movements of lease liabilities.

The Group's borrowings are denominated in the following currencies:

	2025	2024
	\$ millions	\$ millions
Euro	2,904.3	2,617.9
US dollar	1,003.6	1,011.8
Swiss franc	19.0	104.1
Sterling	21.5	17.2
Japanese yen	98.6	7.3
Other	18.9	7.2
	4,065.9	3,765.5

The Group's borrowings are subject to fixed and floating interest rates as follows:

	2025	2024
	\$ millions	\$ millions
Fixed rate borrowings	3,238.6	3,056.9
Floating rate borrowings	328.5	278.0
	3,567.1	3,334.9

The Group has fixed rate borrowings ranging from 0.5% to 4.59% and maturing through to 2040. The majority of floating rate borrowings have a 3-month Euribor + 0.95%.

\$497.3 million of borrowings relates to balances held in the Group's notional cash pooling arrangements. This does not bear any interest costs, given that the notional cash pool is in a net positive position.

Lines of Credit

As of 31 December 2025, the Group had confirmed lines of credit totalling \$1,648.6 million (2024: \$1,608.9 million). The most significant line of credit relates to a syndicated revolving credit facility totalling \$980.4 million (2024: \$864.9 million). The terms of the facility include: an arrangement and participation fee; a commitment fee; a utilisation fee; an extension fee; an agency fee; and a margin and will result in an all-in financing cost between 0.66% and 1.21% plus the appropriate reference rate. The Group is subject to the same covenants on this

line of credit as its Private Placement arrangements. The facility has not been utilised to date. The facility expires in May 2028. Other lines of credit are held by Group entities, including a partially drawn down facility used to acquire real estate.

As of 31 December 2025, total outstanding borrowings against other lines of credit were \$324.6 million (2024: \$357.3 million).

18. RETIREMENT BENEFIT OBLIGATIONS

Defined Contribution Plans

The Group operates a number of defined contribution retirement benefit plans for all qualifying employees. The assets of the plan are held separately from those of the Group in funds under administration by trustees. The Group recognised an expense of \$101.6 million (2024: \$92.0 million) related to its defined contribution plans in 2025. The Group is required to contribute a specified percentage of payroll costs to the retirement benefit plan to fund the benefits. The only obligation of the Group with respect to the retirement benefit plan is to make the specified contributions.

Defined Benefit Plans

The Group operates defined benefit retirement plans in various locations, with its most significant plans in the US, France and the UK Disclosures presented below for defined benefit plans include the executive retiree medical plans.

The defined benefit plans expose the Group to certain risks, such as interest rate risk, mortality risk, and salary risk.

- Interest rate risk – A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plans' debt investments.
- Mortality risk – The present value of the defined benefit plan liability is calculated using the best estimate of the mortality of plan participants during and after their employment. An increase in the life expectancy of the plan participants will increase the plans' liability.
- Salary risk – The present value of the defined benefit plan liability is calculated using the future salaries of plan participants. An increase in the salary of the plan participants will increase the plans' liability.

The most recent valuation was performed by the Group's actuaries as of 31 December 2025. The present value of the defined benefit obligation and all of its related components were measured using the projected unit credit method.

The principal assumptions used for the valuations of the defined benefit plans that are presented below based on a weighted average of the applicable locations were as follows:

DEFINED BENEFIT PLANS		
	2025	2024
Discount rate		
US	5.3%	5.4%
France	3.8%	3.4%
UK	5.6%	5.5%
Other	5.5%	5.8%
Expected rate of salary increase		
US	3.7%	3.6%
France	3.7%	3.6%
UK	2.6%	4.0%
Other	4.7%	5.0%
The average life expectancy in years of pensioner retiring at age 65:		
Male	21.3	21.9
Female	22.7	23.5

Amounts recognised in the Consolidated Statement of Income and Consolidated Statement of Comprehensive Income with respect to the defined benefit plans were as follows:

DEFINED BENEFIT PLANS		
	2025	2024
	\$ millions	\$ millions
Service cost:		
Current service cost, including administrative expenses	65.4	62.9
Settlements	(9.9)	(5.0)
Total service cost, including administrative expenses	55.5	57.9
Past service cost	10.9	-
Net interest cost	9.0	7.8
Components of defined benefit costs recognised in Consolidated Statement of Income	75.4	65.7
Remeasurements on the net defined benefit liability:		
Return on plan assets, excluding amounts included in net interest	(11.5)	8.9
Actuarial losses / (gains) due to changes in demographic assumptions	5.8	(7.0)
Actuarial gains due to changes in financial assumptions	(15.4)	(71.3)
Actuarial losses due to experience adjustments	60.1	65.6
Components of defined benefit costs / (income) recognised in other comprehensive income	39.0	(3.8)
Components of defined benefit costs recognised in Consolidated Statement of Comprehensive Income	114.4	61.9

Accumulated actuarial losses recognised in shareholder's equity were \$198.9 million as of 31 December 2025 (2024: \$159.9 million).

The amounts included in the Consolidated Statement of Financial Position with respect to the defined benefit plans were as follows:

DEFINED BENEFIT PLANS		
	2025	2024
	\$ millions	\$ millions
Present value of funded defined benefit obligation	(1,035.8)	(908.0)
Fair value of plan assets	1,085.7	972.8
Funded surplus	49.9	64.8
Present value of unfunded defined benefit obligation	(276.8)	(238.6)
Net liability on Consolidated Statement of Financial Position	(226.9)	(173.8)
Net retirement benefit assets	104.0	116.6
Net retirement benefit obligations	(330.9)	(290.4)
	(226.9)	(173.8)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Movements in the present value of the defined benefit obligation were as follows:

DEFINED BENEFIT PLANS	2025	2024
	\$ millions	\$ millions
Defined benefit obligation, at 1 January	1,146.6	1,156.5
Current service cost	62.8	60.6
Interest cost	49.8	43.8
Contributions from plan participants	4.3	3.8
Past service cost	10.9	-
Actuarial losses / (gains) due to changes in demographic assumptions	5.8	(7.0)
Actuarial gains due to changes in financial assumptions	(15.4)	(71.3)
Actuarial losses due to experience adjustments	60.1	65.6
Benefits paid	(71.9)	(59.0)
Settlements	(9.9)	(5.0)
Transfer from Provisions (Note 19)	4.2	-
Other	1.0	2.6
Exchange differences	64.3	(44.0)
Defined benefit obligation, at 31 December	1,312.6	1,146.6

Movements in the fair value of the plan assets were as follows:

DEFINED BENEFIT PLANS	2025	2024
	\$ millions	\$ millions
Fair value of plan assets, at 1 January	972.8	981.4
Interest income	40.8	36.0
Return on plan assets, excluding amounts in interest income	11.5	(8.9)
Contributions from the employer	73.5	63.1
Contributions from plan participants	4.3	3.8
Benefits paid	(71.9)	(59.0)
Administrative expenses paid	(2.6)	(2.3)
Exchange differences	57.3	(41.3)
Fair value of plan assets, at 31 December	1,085.7	972.8

The fair value of the plan assets at 31 December 2025 and 31 December 2024 for each category is as follows:

	2025			2024		
	QUOTED	UNQUOTED	TOTAL	QUOTED	UNQUOTED	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Insurance contracts	229.7	8.3	238.0	190.2	7.1	197.3
Equity securities	205.0	-	205.0	227.7	-	227.7
Corporate bonds	236.6	-	236.6	266.9	-	266.9
Government bonds	181.5	-	181.5	98.5	-	98.5
Cash	5.0	83.1	88.1	3.7	69.6	73.3
Property	19.6	20.9	40.5	36.3	19.8	56.1
Investment funds	39.7	-	39.7	-	-	-
Other	49.6	6.7	56.3	48.2	4.8	53.0
	966.7	119.0	1,085.7	871.5	101.3	972.8

The Group's funding policy is to contribute an amount that maintains a level of funding in the funded plans that is consistent and is sound on an actuarial basis, while remaining compliant with current pension laws. The Group targets an overall funding level of 80% - 120% in each of its plans. Certain plans in the Group have an asset surplus recognised, which is expected to be recovered through the reduction in future contributions to the plans or, for closed plans, the Group has an unconditional right to any surplus remaining in the plan after all member obligations have been settled.

The Group is committed to make a contribution of \$32.2 million and benefit payments of \$4.4 million in 2026.

The average duration of the defined benefit obligation is 12.8 years (2024: 12.7 years).

The significant assumptions used in determining the defined benefit obligation are the discount rate, expected rate of salary increase, and life expectancy. The sensitivity analysis below has been determined based on possible changes to the significant assumptions while holding all other assumptions constant.

- An increase in the discount rate of half a percentage point would decrease the defined benefit obligation by \$75.2 million.
- An increase in the expected rate of salary increase of half a percentage point would increase the defined benefit obligation by \$40.8 million.
- A decrease in the mortality rate of 10% for both men and women would increase the defined benefit obligation by \$12.3 million.

The present value of the defined benefit obligation in the sensitivity analysis above has been calculated using the projected unit credit method, which is also the method used in calculating the defined benefit obligation for the Consolidated Statement of Financial Position. The sensitivity analysis may not be representative of the actual change in the defined benefit obligation. There was no change in the methods and assumptions used in preparing the sensitivity analysis from prior year.

19. PROVISIONS

	PRODUCT-RELATED	ASSET RETIREMENT OBLIGATIONS	LITIGATION	RESTRUCTURING COSTS	OTHER	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Balances at 1 January 2025	170.9	109.5	54.1	15.2	88.9	438.6
Additional provisions recognised	132.8	16.6	128.3	7.0	36.7	321.4
Used during the year	(79.3)	(1.5)	(35.0)	(15.0)	(26.5)	(157.3)
Unused amounts reversed	(17.3)	(1.2)	(1.3)	(2.2)	(26.1)	(48.1)
Transfers to Defined Benefit Obligations (Note 18)	-	-	-	-	(4.2)	(4.2)
Unwinding of the discount	-	1.4	-	-	-	1.4
Exchange differences	(8.2)	4.0	0.7	8.0	25.0	29.5
Balances at 31 December 2025	198.9	128.8	146.8	13.0	93.8	581.3
Of which, at 31 December 2025						
Non-current	6.9	125.4	55.6	8.0	44.4	240.3
Current	192.0	3.4	91.2	5.0	49.4	341.0
	198.9	128.8	146.8	13.0	93.8	581.3

Product related provisions represent the expected refund to customers for sales returns, when the customer has a right to return the product within a given period. The expected refund is as an adjustment to revenue.

Additionally, the Group recognises a provision for Asset retirement obligations, which represents the cost to restore leased assets back to its original condition at the end of its useful life or lease term, whichever is shorter. As such, the provision is primarily long-term in nature.

Select companies in the Group are exposed to lawsuits that arise in the ordinary course of business. The Group provides for these claims based on management's best estimate of present obligation considering the data available at the end of the reporting period.

Restructuring costs primarily relate to organisational restructuring programmes in select markets.

Other provisions are mainly related to long-term service awards.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

20. TRADE PAYABLES AND OTHER LIABILITIES

	2025		2024	
	Current	Non-current	Current	Non-current
	\$ millions	\$ millions	\$ millions	\$ millions
Financial ^(a)				
Trade payables	1,192.6	-	1,021.4	-
Derivatives	10.0	10.3	19.3	4.9
Other liabilities	2,399.5	370.8	1,880.6	399.7
Salaries, commissions and related	1,014.2	-	810.8	-
Professional fees and other accrued expenses	487.2	-	390.9	-
Advertising, promotion and demonstration	210.5	-	190.8	-
Inventory accruals	158.9	-	151.4	-
Due to customers	113.0	-	119.8	-
Charitable donations payable	189.6	1.1	101.0	-
Employee profit sharing	123.2	267.7	29.1	326.7
Interest payable	23.3	-	21.3	-
Share purchase commitments on non-controlling interests	-	87.8	-	53.2
Other	79.6	14.2	65.5	19.8
	3,602.1	381.1	2,921.3	404.6
Non-financial				
Other taxes payable	135.0	-	190.3	-
Customer deposits	70.9	0.2	68.0	0.6
Deferred compensation payable	-	62.5	-	58.5
Other	2.4	26.9	2.8	13.8
	208.3	89.6	261.1	72.9
Total trade payables and other liabilities	3,810.4	470.7	3,182.4	477.5

(a) See Note 21

21. FINANCIAL ASSETS AND LIABILITIES**Classification**

The following table shows the classes of financial instruments based on their nature and characteristics.

Financial Assets

		2025		2024	
	Notes	Current	Non-current	Current	Non-current
		\$ millions	\$ millions	\$ millions	\$ millions
Financial assets at amortised cost:					
Trade receivables	14	1,449.5	-	1,352.5	-
Cash and cash equivalents	22	1,930.0	-	2,291.2	-
Time deposits		2,066.3	149.0	2,735.0	-
Fixed income investments		706.4	169.5	480.5	128.5
Notes and reverse repurchase arrangements		650.0	-	-	-
Treasury bills		-	-	6.0	-
Receivables and loans to related parties	26	9.8	60.5	7.3	69.7
Other	14	252.9	97.7	218.3	73.3
Financial assets at FVOCI:					
Listed equity investments	14	-	2.3	-	3.4
Non-listed equity investments	14	-	88.2	0.1	78.2
Derivatives designated in hedge relationship	14	2.6	-	0.2	-
Financial assets at FVTPL:					
Convertible bonds	14	-	4.0	-	3.3
Derivatives not designated in hedge relationship	14	26.6	-	3.4	-
		7,094.1	571.2	7,094.5	356.4

Financial Liabilities

		2025		2024	
	Notes	Current	Non-current	Current	Non-current
		\$ millions	\$ millions	\$ millions	\$ millions
Financial liabilities at amortised cost:					
Borrowings	17	1,273.3	2,792.6	527.6	3,237.9
Trade payables	20	1,192.6	-	1,021.4	-
Lease liabilities	11	431.0	2,551.9	355.8	2,348.7
Other	20	2,399.5	370.8	1,880.6	399.7
Financial liabilities at FVOCI:					
Derivatives designated in hedge relationship	20	2.0	-	17.7	-
Financial liabilities at FVTPL:					
Derivatives not designated in hedge relationship	20	8.0	10.3	1.6	4.9
		5,306.4	5,725.6	3,804.7	5,991.2

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**Fair Value Measurement and Hierarchy Levels**

Where the fair value of any financial asset or liability held at amortised cost is materially different to the book value, the fair value is disclosed.

The fair value of the Group's listed equity investments is based on quoted market prices (current bid price) on the last day of the period for all years presented.

The fair values of non-listed equity investments that were purchased in 2025 are assumed to approximate the purchase price. The fair values of the remaining non-listed equity investments have either been determined via an external valuation or estimated internally using a discounted cash flow model. The latter valuation requires management to make certain assumptions about the model inputs, including forecasted cash flows, the discount rate, credit risk and volatility. The probabilities of the various estimates within the range can be reasonably assessed and are used in equity investments.

The Group's derivative instruments are traded in the over-the-counter market and their fair value is determined using quantitative models that require the use of multiple inputs including interest rates, prices, and

indices to generate pricing and volatility factors. The predominance of market inputs are actively quoted and can be validated through external sources including brokers, market transactions, and third-party pricing services.

The table below provides an analysis of financial instruments that were measured subsequent to initial recognition at fair value, grouped into Levels 1 to 3 based on the degree to which the fair value is observable.

- Level 1 — Quoted (unadjusted) prices for identical assets in active markets.
- Level 2 — Other observable inputs, either directly or indirectly, including: quoted prices for similar assets in active and non-active markets (e.g. few transactions, limited information, non-current prices, high variability over time, etc.); inputs other than quoted prices that are observable for the asset (e.g. interest rates, yield curves, volatilities, default rates, etc.); and inputs that are derived principally from or corroborated by other observable market data.
- Level 3 — Unobservable inputs that cannot be substantiated by observable market data.

2025	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions
Financial assets:				
Listed equity investments	2.3	-	-	2.3
Non-listed equity investments	-	-	88.2	88.2
Convertible bonds	-	-	4.0	4.0
Derivatives	-	29.2	-	29.2
	2.3	29.2	92.2	123.7
Financial liabilities:				
Derivatives	-	20.3	-	20.3
	-	20.3	-	20.3

2024	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions
Financial assets:				
Listed equity investments	3.4	-	-	3.4
Non-listed equity investments	-	-	78.3	78.3
Convertible bonds	-	-	3.3	3.3
Derivatives	-	3.6	-	3.6
	3.4	3.6	81.6	88.6
Financial liabilities:				
Derivatives	-	24.2	-	24.2
	-	24.2	-	24.2

The reconciliation of Level 3 fair value measurements of financial assets is as follows:

	2025	2024
	\$ millions	\$ millions
As of 1 January	81.6	88.9
Remeasurement recognised in the Statement of Income	-	(1.2)
Remeasurement recognised in Other comprehensive income	(6.9)	(5.3)
Purchases	16.5	7.0
Sales	(8.9)	(2.9)
Exchange difference	9.9	(4.9)
As of 31 December	92.2	81.6

Management has considered a change in unobservable inputs would not result in significant changes to the fair value of Level 3 financial assets.

Risks associated with financial instruments

Financial risk management

The Group's activities expose it to a variety of financial risks: market risk (including foreign currency risk, interest rate risk, and price risk), credit risk and liquidity risk. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to mitigate potential adverse effects on the Group's financial performance. The Group uses derivative financial instruments to manage its foreign exchange and interest rate risk exposures.

Capital risk management

The Group's objective regarding capital risk management is to maintain a strong capital base and to sustain future development of business primarily through the use of operating cash flow. The Group's management regularly reviews the capital structure of its businesses and determines the most economic approach to fund various transactions.

Liquidity risk management

Liquidity risk is the risk that the Group may encounter difficulties in meeting its financial liabilities that are settled in cash. In managing this risk, the Group monitors closely the liquidity risk of the Group and its individual subsidiaries, by reviewing monthly forecast updates. A global

cash pool is maintained alongside local bank credit facilities and an intercompany lending programme to ensure that local companies can operate with a high level of liquidity. The Group has substantial undrawn confirmed credit lines and applies a policy of maintaining zero net debt at each reporting period.

At the end of 2025, the Group had long-term debt excluding lease liabilities of \$2,792.6 million, of which \$2,395.4 million is repayable in more than 5 years.

The Group has \$1,324.0 million undrawn confirmed credit lines that are forecast to remain undrawn for the foreseeable future, as a result of the liquidity available to the Group. The Group continues to apply a policy of maintaining zero net debt at each reporting period.

The borrowing facilities, together with central cash and investments, are considered sufficient to meet the Group's projected cash requirements.

The following table details the Group's outstanding contractual maturities for its financial liabilities. The amounts disclosed in the table are the contractual undiscounted cash flows, except for derivative financial liabilities, which are included at their fair value. For detail on lease liabilities, see Note 11.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2025	LESS THAN 1 YEAR	1-5 YEARS	5+ YEARS	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions
Financial liabilities at amortised cost:				
Borrowings	1,342.1	1,199.6	2,166.2	4,707.9
Trade payables	1,192.6	-	-	1,192.6
Other	2,399.5	289.4	81.4	2,770.3
Derivatives (at FVOCI)	2.0	-	-	2.0
Derivatives (at FVTPL)	8.0	10.3	-	18.3
	4,944.2	1,499.3	2,247.6	8,691.1

2024	LESS THAN 1 YEAR	1-5 YEARS	5+ YEARS	TOTAL
	\$ millions	\$ millions	\$ millions	\$ millions
Financial liabilities at amortised cost:				
Borrowings	616.6	1,845.9	2,401.1	4,863.6
Trade payables	1,021.4	-	-	1,021.4
Other	1,880.6	304.4	95.2	2,280.2
Derivatives (at FVOCI)	17.7	-	-	17.7
Derivatives (at FVTPL)	1.6	4.9	-	6.5
	3,537.9	2,155.2	2,496.3	8,189.4

Foreign currency risk

The Group operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the Euro and US Dollar. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities, and net investments in foreign operations. In 2025, the Group entered forward currency contracts and foreign currency collars, with third parties, to manage future foreign currency risk on inventory purchases and foreign currency denominated expenses. As at 31 December 2025, the notional amount outstanding on these contracts was \$1,191.8 million (2024: \$1,129.7 million) and these are designated in hedge accounting relationships.

The Group also seeks to mitigate foreign currency risk in specific circumstances that causes elevated volatility in a particular currency. As of 31 December 2025, the notional amount of the Group's outstanding forward currency contract with a third party was \$11.7 million (2024: \$nil) and this is designated in a hedge accounting relationship.

Sensitivity analysis

The Group performed an analysis to estimate the impact of a change in foreign exchange rates on commercial exposures relating to its future commercial transactions and held foreign currency derivatives. To demonstrate the sensitivity of a change in foreign exchange rates, the Group estimated the impact of a 10% strengthening of its main currency exposures (assuming all other variables remain constant). A 10% weakening would be comparable in amount with an opposite impact.

	USD		EUR	
	2025	2024	2025	2024
	\$ millions	\$ millions	€ millions	€ millions
Profit (loss) before income tax	100	126	(295)	(406)

Interest rate risk

The Group manages its interest rate risk by maintaining a balance of fixed and floating interest rate borrowings. To manage its exposure on interest costs, the Group enters into interest rate swaps.

The Group held fixed-for-floating interest rate swaps to manage the exposure to interest rate risk arising from its variable rate borrowings and to secure future debt issuance. The fixed-for-floating interest rate swaps were not designated in hedge accounting relationships. With respect to the Group's fixed-for-floating interest rate swap agreements, the Group received a floating rate of interest and paid interest based on a fixed rate. As of 31 December 2025, the total notional amount of the Group's outstanding fixed-for-floating interest rate swap agreements were \$305.3 million (2024: \$269.3 million).

In addition, the Group holds fixed-for-fixed cross currency interest rate swaps, not designated in hedge accounting relationships. As of 31 December 2025, the total notional amount of the Group's outstanding fixed-for-fixed interest rate swap agreements were \$759.8 million (2024: \$206.6 million).

Price risk

The Group is also exposed to commodity price risk relating to the purchase of precious metals and stones for use in its fine jewellery and watch manufacturing processes. The Group manages this risk through hedging with swaps or forward contracts.

Credit risk management

The Group did not have any significant exposure to credit risk, which is primarily attributable to its trade receivables. The Group has a large number of unrelated customers in a wide range of business segments and, therefore, is not exposed to any concentration of credit risk on its receivables. The Group's operating units have policies in place to ensure that the sales of products are made to customers with an appropriate credit history. Credit risk is further mitigated by taking out credit insurance on receivables with select wholesalers. The Group's credit risk on derivatives instruments and cash and cash equivalents is limited because these items are held with counterparties with strong credit ratings assigned by international credit rating agencies. Specifically, the Group's cash and cash equivalents are primarily invested in investment grade banks and money market funds, with the primary objective of minimising the potential risk of principal loss, with limits on the amount of credit exposure to any one counterparty.

22. CASH AND CASH EQUIVALENTS

	2025	2024
	\$ millions	\$ millions
Cash in bank	1,074.0	860.5
Cash equivalents*	856.0	1,430.7
	1,930.0	2,291.2

* Cash equivalents consist of highly liquid investments with maturities of less than three months.

23. EQUITY DIVIDENDS

	2025	2024
	\$ millions	\$ millions
Interim and final dividends paid		
Chanel Limited dividends paid	2,500.0	5,710.3
Dividends paid to non-controlling interests	15.7	10.2
Total dividends paid	2,515.7	5,720.5
Dividend per ordinary share	16.1	36.7

In 2025, Chanel Limited paid an interim dividend to its sole shareholder entity of £1.8 billion (\$2.5 billion), which corresponds to £11.6 million per share (\$16.1 million per share).

The directors recommend the payment of a final dividend of £2.43 billion (\$3.25 billion) in respect of the financial year ended 31 December 2025, which corresponds to £15.7 million per share (\$21.0 million per share).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

24. CALLED UP SHARE CAPITAL

AUTHORISED	2025	2024
	£	£
1,000 (2024: 1,000) ordinary shares of £1 each	1,000	1,000

CALLED UP, ALLOTTED AND FULLY PAID		
	£	£
155 (2024: 155) ordinary shares of £1 each	155	155

25. CHANGES IN WORKING CAPITAL

Changes in working capital consisted of the following components:

	2025	2024
	\$ millions	\$ millions
Inventories	(99.6)	(51.5)
Trade receivables	12.8	(20.1)
Trade payables	(7.1)	(155.6)
Other receivables and payables	132.7	(44.2)
	38.8	(271.4)

26. RELATED PARTY TRANSACTIONS

	TRANSACTIONS AND BALANCES BETWEEN THE GROUP AND ENTITIES UNDER COMMON CONTROL		TRANSACTIONS AND BALANCES BETWEEN THE GROUP AND ITS ASSOCIATES	
	2025	2024	2025	2024
	\$ millions	\$ millions	\$ millions	\$ millions
Trade receivables and other current assets	1.8	1.5	13.8	7.3
Other non-current assets	-	-	60.5	69.7
Trade payables and other current liabilities	-	-	60.4	70.2
Revenue	-	-	32.6	37.3
Cost of sales	-	-	(362.3)	(552.3)
Finance income	-	-	2.0	-

Compensation of key management personnel

The remuneration earned by key management personnel of the Group during the year was as follows:

	2025	2024
	\$ millions	\$ millions
Short-term benefits	135.1	113.0
Post-employment benefits	7.3	8.1
Other long-term benefits	37.1	11.3
	179.5	132.4

Information regarding directors

Directors' emoluments totalled \$45.6 million (2024: \$50.8 million) and pension costs totalled \$1.5 million (2024: \$5.1 million pension costs). All remuneration is considered short-term benefits with the exception of long-term incentive arrangements of \$14.5 million (2024: \$7.8 million).

Two (2024: three) directors accrued benefits under defined benefit pension plans. Two directors (2024: two) accrued benefits under defined contribution plans. The highest paid director received remuneration of \$23.1 million and participated in defined benefit pension plans with an accrued annual entitlement of \$8.4 million. In 2024, the highest-paid director received remuneration of \$23.2 million and participated in defined benefit pension plans with an accrued annual entitlement of \$7.8 million.

27. BUSINESS COMBINATIONS

In 2025, the Group made several acquisitions totalling \$640.4 million. These acquisitions support the manufacturing functions of the Group.

On 2 October 2025, the Group finalised the acquisition of one of its manufacturing suppliers through a step acquisition, increasing its ownership stake from 40% to a full ownership. The acquired company specialises in manufacturing of luxury leather goods enhancing the Group's supply chain.

Assets acquired and liabilities assumed in business combinations with third parties were recorded in the Consolidated Statement of Financial Position as of the respective acquisition dates based upon their estimated fair values at such dates. The results of operations of businesses acquired by the Group have been included in the Consolidated Statement of Income since their respective dates of acquisition.

	2025			2024
	MATERIAL ACQUISITION	OTHER ACQUISITIONS	TOTAL	
	\$ millions	\$ millions	\$ millions	\$ millions
Cash consideration	629.5	10.9	640.4	109.2
Deferred consideration	-	-	-	0.4
Fair value of assets acquired in excess of liabilities assumed	(533.0)	(7.7)	(540.7)	(36.3)
Non-controlling interest	-	1.9	1.9	4.4
Fair value of pre-existing interest*	370.3	15.8	386.1	-
Goodwill arising on acquisitions	466.8	20.9	487.7	77.7

* Relates to step acquisitions, in line with the Group's accounting policy pre-existing equity interest is remeasured to fair value at the acquisition date.

The excess of consideration transferred over the estimated fair values of the underlying assets acquired and liabilities assumed was allocated to goodwill. The goodwill of \$487.7 million (2024: \$77.7 million) arising from these acquisitions reflects the inherent value derived from the strategic integration of acquired entities. None of the goodwill is deductible for income tax purposes.

The consideration transferred for businesses acquired is shown in aggregate as follows:

	2025			2024
	MATERIAL ACQUISITION	OTHER ACQUISITIONS	TOTAL	
	\$ millions	\$ millions	\$ millions	\$ millions
Cash consideration	629.5	10.9	640.4	109.2
Deferred cash consideration	-	-	-	0.4
Less: Cash acquired	(329.0)	(4.7)	(333.7)	(12.6)
	300.5	6.2	306.7	97.0

Contingent consideration has been settled prior to the year end and included within Cash consideration.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The following table summarises the fair values of the assets acquired and liabilities assumed in connection with the acquisitions:

	2025			2024
	MATERIAL ACQUISITION	OTHER ACQUISITIONS	TOTAL	
	\$ millions	\$ millions	\$ millions	\$ millions
Non-current assets:				
Intangible assets	-	-	-	4.0
Property, plant and equipment	5.0	10.7	15.7	13.9
Right-of-use assets	11.3	0.6	11.9	6.5
Deferred income tax assets	0.8	-	0.8	1.0
Non-current financial investments	19.5	-	19.5	-
Other non-current assets	2.6	0.1	2.7	1.9
Current assets:				
Inventories	35.2	2.7	37.9	16.6
Trade receivables and other assets	44.3	3.5	47.8	22.0
Short-term investments	102.3	-	102.3	-
Cash and cash equivalents	329.0	4.7	333.7	12.6
Other assets	-	0.2	0.2	-
Non-current liabilities:				
Borrowings	-	(6.6)	(6.6)	(3.5)
Lease liability	(10.3)	(0.4)	(10.7)	(5.2)
Non-current provisions	(2.3)	-	(2.3)	(0.7)
Deferred income tax liabilities	-	-	-	(0.5)
Other liabilities	(0.6)	(4.1)	(4.7)	(0.4)
Retirement benefit obligation	(0.4)	-	(0.4)	(1.6)
Current liabilities:				
Trade payables and other liabilities	3.9	(2.3)	1.6	(23.0)
Income tax liabilities	(6.3)	-	(6.3)	(1.5)
Borrowings	-	(1.1)	(1.1)	(4.5)
Lease liability	(1.0)	(0.3)	(1.3)	(1.3)
Net assets acquired	533.0	7.7	540.7	36.3

	2025			2024
	MATERIAL ACQUISITION	OTHER ACQUISITIONS	TOTAL	
	\$ millions	\$ millions	\$ millions	\$ millions
Acquisition costs	0.5	0.2	0.7	4.8
Net revenue of business combinations:				
As of acquisition date	0.6	3.7	4.3	37.4
Full year	4.7	8.6	13.3	81.9
Net income of business combinations:				
As of acquisition date	0.2	0.4	0.6	0.9
Full year	0.6	0.6	1.2	8.2

Acquisition costs were recorded within Selling, general, and administrative expenses in the Consolidated Statement of Income.

Equity increase with no change in control

During the year the Group also acquired additional equity interests in certain subsidiaries, with no change in control. The total consideration of these investments was \$7.7 million (2024: \$8.1 million).

28. COMMITMENTS AND CONTINGENCIES

In the ordinary course of business, the Group has reported various liabilities due to contractual commitments pursuant to its property (Note 9) and retirement benefit plans (Note 18). The Group also has other commitments of \$2.2 million related to global climate initiatives (2024: \$5.1 million), \$117.3 million related to charitable commitments (2024: \$nil) and \$12.9 million allocated to other projects (2024: \$36.9 million).

The Group is party to various legal proceedings in its ordinary course of business concerning the protection of intellectual property rights, the defence of distribution networks, product liability, employee relations, tax audits, and other areas relating to its business.

Some of these litigations give rise to provisions according to the principles described in Note 19. Others are considered contingent liabilities, either because no reliable estimate of the expected financial effect that will result from the proceeding can be ascertained or because the probability of a future cash outflow is less likely than not. Based on consultations with legal counsel, the Group believes that the amounts reported in the Consolidated Statement of Financial Position in respect of these risks, litigation, or disputes, known or outstanding at year-end continue to be their best estimate at date of reporting. The Group's assessment of these legal proceedings is based on the estimate and assumptions at the date of preparing the financial information which, given the inherent uncertainties related to those litigation cases, which are concentrated in highly litigious markets, could change in the course of proceedings.

29. SOLE SHAREHOLDER ENTITY

The Group's Consolidated Financial Statements represent the largest Group in which the Financial Statements of the Group are consolidated and publicly available. The Group's sole shareholder is Mousse Investments Limited, an investment entity incorporated in the Cayman Islands, which is regarded as the Company's immediate and ultimate shareholder.

30. SUBSEQUENT EVENTS

The Group considered the existence of any subsequent events and the requirements to record and / or disclose the impact thereof.

On 18 March 2026, the Group disposed of an Associate that was classified as Held for sale at the reporting date. At the same time, the Group acquired 100% shareholding in a separately defined operation that was carved out of the underlying operations. These transactions have a net neutral cash impact in 2026 financial year.

On 30 March 2026, the Group settled the nominal amount of \$236.7 million (£205.0 million) in respect of a Senior Note issued through private placement, upon its maturity.

The directors recommend the payment of a final dividend of \$3.25 billion (£2.43 billion) in respect of the financial year ended 31 December 2025.

No other significant subsequent events were noted by the Group up to the date of the approval of these Financial Statements.

COMPANY FINANCIAL STATEMENTS

COMPANY STATEMENT OF FINANCIAL POSITION AS OF 31 DECEMBER 2025 (IN MILLIONS OF STERLING)			
	Notes	2025	2024
ASSETS			
Non-current assets:			
Intangible assets	E	34.1	19.3
Property, plant and equipment	F	141.8	93.5
Investment property		2.2	2.2
Right-of-use assets	G	394.9	422.2
Investment in subsidiaries	H	3,318.7	3,286.9
Retirement benefit asset	M	32.9	33.7
Deferred income tax assets	I	28.2	11.7
Investment in associates		0.7	-
Loans to related parties	R	1,192.6	1,345.9
Non-current financial investments	P	236.7	102.6
Other assets	J	34.1	34.4
Total non-current assets		5,418.9	5,352.4
Current assets:			
Inventories	K	27.6	27.9
Trade receivables and other assets	J	203.4	156.8
Prepayments		41.9	28.1
Other taxes receivable		-	10.1
Loans to related parties	R	965.2	362.2
Short-term financial investments	P	2,367.7	2,573.2
Income tax receivable		36.4	-
Cash and cash equivalents	Q	667.4	1,077.2
Total current assets		4,309.6	4,235.5
TOTAL ASSETS		9,728.5	9,587.9
SHAREHOLDER'S EQUITY AND LIABILITIES			
SHAREHOLDER'S EQUITY			
Share capital	24	-	-
Reserves		(0.1)	-
Retained earnings		5,597.8	5,942.2
TOTAL SHAREHOLDER'S EQUITY		5,597.7	5,942.2
LIABILITIES			
Non-current liabilities:			
Borrowings	L	1,565.9	1,871.9
Loan from related party	R	258.8	491.7
Lease liabilities	G	396.6	411.8
Other liabilities	P	37.1	62.6
Total non-current liabilities		2,258.4	2,838.0
Current liabilities:			
Trade payables and other liabilities	N	419.5	327.1
Income tax liabilities		15.2	28.4
Borrowings	L	455.5	169.1
Lease liabilities	G	27.5	22.6
Provisions	O	3.3	5.3
Loans from related parties	R	931.4	226.7
Other taxes payable		18.0	28.5
Total current liabilities		1,870.4	807.7
TOTAL LIABILITIES		4,128.8	3,645.7
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES		9,726.5	9,587.9

Profit for the year was £1,505.4 million (2024: £3,322.1 million). The Financial Statements of Chanel Limited (registered number 00203669) on pages 166 - 190 were approved by the board of directors and authorised for issue on 18 May 2026. They were signed on its behalf by:



COMPANY STATEMENT OF CHANGES IN SHAREHOLDER'S EQUITY FOR THE YEAR ENDED 31 DECEMBER 2025 (IN MILLIONS OF STERLING)				
	Share capital	Cash flow hedge reserve	Retained earnings	Total shareholder's equity
Balances as of 1 January 2024	-	-	7,118.4	7,118.4
Profit for the period	-	-	3,322.1	3,322.1
Other comprehensive income for the period	-	-	1.7	1.7
Total comprehensive income for the period	-	-	3,323.8	3,323.8
Dividends paid	-	-	(4,500.0)	(4,500.0)
Balances as of 31 December 2024	-	-	5,942.2	5,942.2
Profit for the period	-	-	1,505.4	1,505.4
Other comprehensive income for the period	-	(0.1)	(1.2)	(1.3)
Total comprehensive income for the period	-	(0.1)	1,504.2	1,504.1
Dividends paid	-	-	(1,848.6)	(1,848.6)
Balances as of 31 December 2025	-	(0.1)	5,597.8	5,597.7

COMPANY FINANCIAL STATEMENTS

COMPANY STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2025 (IN MILLIONS OF STERLING)			
	Notes	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES:			
Operating profit		7.9	92.9
Adjustments to reconcile operating profit to net cash provided by operating activities:			
Depreciation and amortisation of PPE, investment property and intangibles		20.3	16.8
Depreciation of right-of-use assets		23.9	14.9
Net impairment of PPE, intangibles, and right-of-use assets		0.2	-
Impairment reversal of related party loans		-	(40.4)
Other adjustments (including charitable donations)		55.3	18.1
Cash flows from operations before changes in working capital		107.6	102.3
Changes in working capital	S	(48.2)	(48.6)
Cash flows from operations		59.4	53.7
Interest received		258.7	358.1
Interest paid on financial borrowings		(106.9)	(93.1)
Interest paid on lease liabilities		(12.6)	(5.1)
Income taxes paid		(68.5)	(65.1)
NET CASH PROVIDED BY OPERATING ACTIVITIES		130.1	248.5
CASH FLOWS FROM INVESTING ACTIVITIES:			
Purchase of property, plant, and equipment	F	(63.6)	(30.7)
Purchase of intangibles	E	(20.0)	(18.8)
Equity reduction on investment in subsidiary		22.7	-
Acquisitions and equity increases in subsidiaries		(54.5)	(1,231.1)
Purchase of associates		(0.7)	-
Purchase of financial instruments		(681.5)	(148.9)
Proceeds on sale of financial instruments		88.3	185.9
Net proceeds on time deposits		475.1	493.9
Dividends received	R	1,647.6	3,105.1
Loans to related parties		(977.6)	(525.9)
Loan repayments received from related-party loans		368.7	1,240.2
Other		(1.8)	0.3
NET CASH PROVIDED BY INVESTING ACTIVITIES		802.7	3,070.0
CASH FLOWS FROM FINANCING ACTIVITIES:			
Payment of lease liabilities		(15.1)	(14.2)
Proceeds from borrowings		-	613.0
Repayment of borrowings		(22.7)	(332.3)
Loan repayments from cash pooling - related parties		(10,544.4)	(9,132.6)
Loan proceeds from cash pooling - related parties		11,178.5	8,984.3
Settlement of derivatives		-	(1.1)
Dividends paid		(1,848.6)	(4,500.0)
NET CASH USED IN FINANCING ACTIVITIES		(1,252.3)	(4,382.9)
EFFECT OF EXCHANGE ON NON-STERLING CASH AND CASH EQUIVALENTS		(90.2)	17.5
NET DECREASE IN CASH AND CASH EQUIVALENTS		(409.8)	(1,046.9)
CASH AND CASH EQUIVALENTS, Beginning of year		1,077.2	2,124.1
CASH AND CASH EQUIVALENTS, End of year		667.4	1,077.2
Reconciliation from net income to operating profit:			
Net income		1,505.4	3,322.1
Finance expense, net		(404.8)	(58.1)
Investment income, net		1,905.2	3,396.4
Income tax expense		(2.9)	(109.1)
Operating profit		7.9	92.9

NOTES TO THE COMPANY FINANCIAL STATEMENTS

A. GENERAL INFORMATION

The Company is a private company limited by shares incorporated and registered in England and Wales under the Companies Act 2006. The address of the registered office is given on page 121. The nature of the Company's operations and its principal activities are set out in the Strategic Report on pages 2 - 105.

The Company Financial Statements have been prepared in accordance with UK-adopted international accounting standards as applied in accordance with the provisions of the Companies Act 2006. The Company has taken advantage of section 408 of the Companies Act 2006 not to present the Parent Company Statement of Income. All amounts are in millions of Sterling, except where otherwise stated.

The information regarding the sole shareholder is consistent with that provided in Note 29 of the Consolidated Financial Statements.

B. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies are consistent with those given on pages 121 - 131 but additional policies specific to the Company Financial Statements are included below.

D. INFORMATION REGARDING EMPLOYEES

	2025	2024
	No.	No.
Average monthly number of persons employed (including directors)		
Sales and distribution	1,162	1,151
Administration	713	610
	1,875	1,761

	2025	2024
	£ millions	£ millions
Staff costs during the year (including directors)		
Wages and salaries	222.1	211.0
Social security costs	32.4	27.2
Pensions costs	7.3	5.3
Other personnel costs	49.4	17.6
	311.2	261.1

Key sources of estimation uncertainty

Impairment of investments in subsidiaries – Investments in subsidiaries are tested annually for impairment. If an indicator of impairment is present, the recoverable amount is determined using the value-in-use calculations that are based on management's best estimate of future cash flows of the investment. In certain instances, a fair value less costs of disposals is calculated using a revenue or profit multiple approach. Refer to Note H for details of investments in subsidiaries.

Impairment of loans to affiliates – The Company assesses the recoverability of its loans to affiliates on an annual basis. When assessing the expected loss on these loans, management considers similar factors used in its impairment of the investment itself, if the loan is to a subsidiary, and other risks related to the other affiliates. Refer to Note R for details on the net carrying value of loans to affiliates.

C. PROFIT FOR THE YEAR

In accordance with the exemption allowed by the Companies Act 2006, Section 408, the Company has not presented its own Statement of Income.

E. INTANGIBLE ASSETS

CAPITALISED SOFTWARE AND RELATED LICENCES	
	£ millions
Cost:	
Balance at 1 January 2024	5.0
Additions	18.8
Balance at 31 December 2024	23.8
Additions	20.0
Balance at 31 December 2025	43.8
Accumulated amortisation and impairment:	
Balance at 1 January 2024	4.0
Amortisation expense	0.5
Balance at 31 December 2024	4.5
Amortisation expense	5.2
Balance at 31 December 2025	9.7
Carrying amount at 31 December 2024	19.3
Carrying amount at 31 December 2025	34.1

F. PROPERTY, PLANT AND EQUIPMENT

	LAND	BUILDINGS AND BUILDING IMPROVEMENTS	LEASEHOLD IMPROVEMENTS	MACHINERY, FURNITURE AND EQUIPMENT	CONSTRUCTION IN PROGRESS	TOTAL
	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions
Cost:						
Balances at 1 January 2024	300.5	29.2	139.0	39.2	13.2	521.1
Additions	-	0.2	14.9	4.1	11.5	30.7
Disposals	(300.0)	(25.0)	-	(0.2)	-	(325.2)
Transfers within PPE	-	-	0.1	0.1	(0.2)	-
Transfers to Investment Property	-	(2.2)	-	-	-	(2.2)
Balances at 31 December 2024	0.5	2.2	154.0	43.2	24.5	224.4
Additions	4.0	4.6	0.2	-	54.8	63.6
Disposals	-	-	-	(1.1)	-	(1.1)
Transfers within PPE	-	4.1	5.2	4.4	(13.7)	-
Balances at 31 December 2025	4.5	10.9	159.4	46.5	65.6	286.9
Accumulated depreciation and impairment:						
Balances at 1 January 2024	-	1.7	97.8	17.6	0.1	117.2
Disposals	-	(2.3)	-	(0.1)	-	(2.4)
Depreciation expense	-	0.7	12.3	3.1	-	16.1
Balances at 31 December 2024	-	0.1	110.1	20.6	0.1	130.9
Disposals	-	-	-	(1.0)	-	(1.0)
Depreciation expense	-	0.3	11.3	3.4	-	15.0
Impairment losses	-	-	0.2	-	-	0.2
Balances at 31 December 2025	-	0.4	121.6	23.0	0.1	145.1
Carrying amount at 31 December 2024	0.5	2.1	43.9	22.6	24.4	93.5
Carrying amount at 31 December 2025	4.5	10.5	37.8	23.5	65.5	141.8

The Company had £55.7 million contractual commitments related to Leasehold improvements in 2025 (2024: £117.7 million).

G. LEASES**The Company as a lessee***Right-of-use assets*

The Company's real estate leases are composed primarily of land and buildings for its boutiques and offices. Machinery and equipment leases include vehicles, IT assets, office and distribution equipment.

Changes in Right-of-use assets by underlying asset type during the period are as follows:

	REAL ESTATE	MACHINERY AND EQUIPMENT	TOTAL
	£ millions	£ millions	£ millions
Gross:			
Balance at 1 January 2024	213.6	2.4	216.0
New leases	269.1	0.7	269.8
Remeasurements	1.0	0.3	1.3
Leases terminated	(1.2)	(0.6)	(1.8)
Balance at 31 December 2024	482.5	2.8	485.3
New leases	11.4	0.3	11.7
Remeasurements	(12.4)	-	(12.4)
Leases terminated	(3.4)	(0.2)	(3.6)
Balance at 31 December 2025	478.1	2.9	481.0
Accumulated depreciation and impairment:			
Balance at 1 January 2024	48.8	0.8	49.6
Depreciation expense	14.1	0.8	14.9
Leases terminated	(0.8)	(0.6)	(1.4)
Balance at 31 December 2024	62.1	1.0	63.1
Depreciation expense	22.9	0.9	23.8
Leases terminated	(0.7)	(0.1)	(0.8)
Balance at 31 December 2025	84.3	1.8	86.1
Carrying amount at 31 December 2024	420.4	1.8	422.2
Carrying amount at 31 December 2025	393.8	1.1	394.9

Lease liabilities

Changes in Lease liabilities during the period are as follows:

	CURRENT	NON-CURRENT	TOTAL
	£ millions	£ millions	£ millions
Balance at 1 January 2024	13.9	165.3	179.2
New leases*	8.3	260.3	268.6
Lease payments	(19.3)	-	(19.3)
Accrued interest	5.1	-	5.1
Leases terminated	(0.3)	(0.2)	(0.5)
Remeasurements	0.5	0.8	1.3
Transfers	14.4	(14.4)	-
Balance at 31 December 2024	22.6	411.8	434.4
New leases	0.3	7.5	7.8
Lease payments	(27.8)	-	(27.8)
Accrued interest	24.6	-	24.6
Leases terminated	(0.1)	(2.3)	(2.4)
Remeasurements	(1.9)	(10.6)	(12.5)
Transfers	9.8	(9.8)	-
Balance at 31 December 2025	27.5	396.6	424.1

* In 2024, the Company entered into the sale and leaseback of Property, plant and equipment with another Group entity for a period of 30 years. The sales price was £322.7 million. No gain or loss was recognised on the sale and leaseback transaction.

Maturity analysis of Lease liabilities, showing the undiscounted lease payments to be paid after the reporting date:

	2025	2024
	£ millions	£ millions
Less than one year	34.0	35.1
One to five years	131.1	124.4
More than five years	679.1	693.6
	844.2	853.1

The Company does not face a significant liquidity risk with regard to its lease liabilities.

Lease payments not recognised as a liability

The Company has elected not to recognise a Lease liability for short-term leases or for leases of low-value assets. Payments made under such leases are expensed on a straight-line basis. There were no expenses relating to short-term leases or low value assets in 2025 or 2024.

Variable lease payments based on sales

Some leases contain variable lease payments that are based on sales made within a particular boutique. Total fixed and variable lease payments were £27.8 million (2024: £19.3 million) and £0.1 million (2024: £0.1 million), respectively, as of 31 December 2025. The variable payments are dependent on sales and are expected to represent a similar proportion of total lease payments in future years.

Extension options

Some leases of office buildings and boutique space contain extension options. The Company assesses whether it is reasonably certain to exercise the options at lease commencement and subsequently, if there is a change in circumstances within its control. Such assessment involves management judgement and estimate based on information at the time the assessments are made. Extension options are included in the lease term when the Company has an economic incentive to exercise the option. The Company considers available evidence at the time of the assessment, including potential favourable terms upon extension, potential termination penalties, the relative costs associated with potential relocation or termination of the lease and the extent of leasehold improvements undertaken. The total amount of undiscounted potential future lease payments not included in the Lease liability is £4.5 million (2024: £4.5 million).

Leases not yet commenced to which the Company is committed

Future cash flows of leases not yet commenced at the reporting date and, therefore, not included in the Lease liability at the reporting date are £nil (2024: £nil).

The Company as a lessor**Lease receivables**

Income recognised during the year from operating leases is £7.0 million (2024: £7.0 million). Of that amount, £7.0 million (2024: £7.0 million) is attributable to subletting Right-of-use assets.

Operating leases

The Company leases out its investment property and some leased properties to third parties that are considered operating leases since they do not transfer substantially all of the risks and rewards incidental to the ownership of the assets.

Maturity analysis of operating lease receivables, showing the undiscounted lease payments to be received after the reporting date:

	2025	2024
	£ millions	£ millions
Less than one year	5.1	5.8
One to two years	1.4	4.2
Two to three years	-	1.2
Three to four years	-	-
Total undiscounted lease payments	6.5	11.2

The Company does not have any finance leases.

H. INVESTMENTS IN SUBSIDIARIES

Investments in subsidiaries consisted of the following components:

	2025	2024
	£ millions	£ millions
Investment in subsidiaries	3,341.9	3,310.1
Impairment	(23.2)	(23.2)
	3,318.7	3,286.9

	2025	2024
	£ millions	£ millions
Cost:		
Balance at 1 January	3,310.1	1,703.0
Additions	54.5	1,607.1
Other movements	(22.7)	-
Balance at 31 December	3,341.9	3,310.1
Accumulated impairment:		
Balance at 1 January	23.2	3.2
Impairment loss	-	20.0
Balance at 31 December	23.2	23.2
Carrying amount at 31 December	3,318.7	3,286.9

Acquisitions and disposals

In 2025, the Company invested a further £54.5 million of capital into existing subsidiaries (2024: £549.5 million), with none of these investments resulting in a change in ownership. Of the £549.5 million invested in 2024, £499.3 million relates to an additional investment in Boule de Neige Limited. This consisted of £110.2 million on 24 July 2024 and £389.1 million on 25 November 2024. There were no disposals in the year (2024: £nil).

Other movements

In 2025, a Subsidiary completed an equity reduction, totalling £22.7 million (2024: £nil). The transaction did not result in a change in ownership or control.

Common control transactions

On 1 June 2024, the Company acquired the issued share capital of Chanel Korea YH, a wholly-owned subsidiary, from Chanel SARL for £1.1 billion and accounted for it in accordance with the Group's accounting policy on Common Control transactions (Note 2.5).

Impairment

The Company assessed all Investments in Subsidiaries for impairment indicators at 31 December 2025. The Company did not recognise impairment losses for the year (2024: £20.0 million impairment loss).

For a list of the consolidated subsidiaries, refer to Note V of the Financial Statements.

I. INCOME TAXES

The following is a roll-forward of the deferred tax asset as of 31 December 2025 and 31 December 2024:

	2025			
	OPENING BALANCE	RECOGNISED IN INCOME STATEMENT	RECOGNISED IN OCI	CLOSING BALANCE
	£ millions	£ millions	£ millions	£ millions
Property, plant, and equipment	(4.4)	(2.1)	-	(6.5)
Retirement benefit obligations	(8.7)	-	0.4	(8.3)
Provisions	24.8	1.9	-	26.7
Tax losses carried forward	-	16.3	-	16.3
	11.7	16.1	0.4	28.2

	2024			
	OPENING BALANCE	RECOGNISED IN INCOME STATEMENT	RECOGNISED IN OCI	CLOSING BALANCE
	£ millions	£ millions	£ millions	£ millions
Property, plant, and equipment	(3.3)	(1.1)	-	(4.4)
Retirement benefit obligations	(7.8)	(0.4)	(0.5)	(8.7)
Provisions	34.9	(10.1)	-	24.8
	23.8	(11.6)	(0.5)	11.7

J. TRADE RECEIVABLES AND OTHER ASSETS

	2025		2024	
	CURRENT	NON-CURRENT	CURRENT	NON-CURRENT
	£ millions	£ millions	£ millions	£ millions
Trade receivables	154.1	-	117.0	-
Interest receivable	24.9	-	25.9	-
Derivatives	19.0	-	2.1	-
Non-listed Equity Investments	-	6.4	-	6.3
Other financial assets	5.4	27.2	11.7	27.3
Other non-financial assets	-	0.5	0.1	0.8
	203.4	34.1	156.8	34.4

NOTES TO THE COMPANY FINANCIAL STATEMENTS

Trade receivables consisted of the following components:

	2025	2024
	£ millions	£ millions
Gross Trade receivables	154.8	117.3
Provision for expected credit losses	(0.7)	(0.3)
Net carrying amount	154.1	117.0

	2025	2024
	£ millions	£ millions
Ageing of Trade receivables:		
Not past due	64.5	40.1
Less than one month past due	1.5	17.7
Greater than one month past due	1.8	4.0
Due from related parties	87.0	55.5
	154.8	117.3

	2025	2024
	£ millions	£ millions
Movement in provision for expected credit losses:		
Balance at 1 January	(0.3)	(0.2)
Impairment	(0.4)	(0.1)
Balance at 31 December	(0.7)	(0.3)

	2025	2024
	£ millions	£ millions
Ageing of provision for expected credit loss:		
Not past due	-	-
Past due	(0.7)	(0.3)
	(0.7)	(0.3)

Trade receivables relating to the Company's wholesale activities have payment terms that are generally less than three months.

K. INVENTORIES

Inventories consisted of the following components:

	2025	2024
	£ millions	£ millions
Finished goods	45.9	40.9
Reserves	(18.3)	(13.0)
	27.6	27.9

The cost of inventories recognised in the Statement of Income was £183.2 million (2024: £189.5 million). Total reversals of provisions for finished goods inventory sold above cost was £0.1 million (2024: £1.4 million). Reversals occur in the event that stock previously provided for has been sold in the current year.

L. BORROWINGS

Below is a breakdown of borrowings by maturity of the Company's Senior Notes issued through a Private Placement, the terms of which are disclosed in Note 17:

2025								
	CURRENT	2027	2028	2029	2030	BEYOND	UNAMORTISED DEBT ISSUANCE COST	BALANCE AT 31 DEC
	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions
Senior notes	308.8	-	165.7	74.3	55.7	1,272.3	(2.1)	1,874.7
Bank overdrafts	146.7	-	-	-	-	-	-	146.7
	455.5	-	165.7	74.3	55.7	1,272.3	(2.1)	2,021.4

2024								
	CURRENT	2026	2027	2028	2029	BEYOND	UNAMORTISED DEBT ISSUANCE COST	BALANCE AT 31 DEC
	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions
Senior notes	-	309.4	-	157.2	79.9	1,327.8	(2.4)	1,871.9
Bank overdrafts	169.1	-	-	-	-	-	-	169.1
	169.1	309.4	-	157.2	79.9	1,327.8	(2.4)	2,041.0

Reconciliation of borrowings arising from financing activities:

	1 JANUARY 2025	CASH FLOWS	NON-CASH CHANGES		31 DECEMBER 2025
			RECLASSIFICATIONS FROM LONG-TERM TO SHORT-TERM AND OTHER	FOREIGN EXCHANGE MOVEMENTS	
	£ millions	£ millions	£ millions	£ millions	£ millions
Long-term borrowings	1,871.9	-	(308.8)	2.8	1,565.9
Short-term borrowings	169.1	(22.4)	308.8	-	455.5
Total third-party borrowings	2,041.0	(22.4)	-	2.8	2,021.4

	1 JANUARY 2024	CASH FLOWS	NON-CASH CHANGES		31 DECEMBER 2024
			RECLASSIFICATIONS FROM LONG-TERM TO SHORT-TERM AND OTHER	FOREIGN EXCHANGE MOVEMENTS	
	£ millions	£ millions	£ millions	£ millions	£ millions
Long-term borrowings	1,303.5	602.6	-	(34.2)	1,871.9
Short-term borrowings	491.0	(321.9)	-	-	169.1
Total third-party borrowings	1,794.5	280.7	-	(34.2)	2,041.0

Bank overdrafts

Bank overdrafts of £146.7 million (2024: £169.1 million) relate to balances held in the Group's notional cash pooling arrangements.

Lines of credit

As of 31 December 2025, the Company had confirmed lines of credit totalling £728.4 million (2024: £690.8 million). This relates to a syndicated revolving credit facility that was arranged in 2021. The facility expires in May 2028. The Company has not drawn down on these lines in 2025 or 2024. Details of the terms of these lines are disclosed in Note 17.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

M. RETIREMENT BENEFIT OBLIGATIONS

The Company operates a defined benefit retirement plan in the UK. The liabilities and assets for the defined benefit retirement plan are computed on an actuarial basis and are funded currently.

The defined benefit plan exposes the Company to certain risks that are consistent with those defined in Note 18 of the Consolidated Financial Statements.

The Company recognised an expense of £9.4 million (2024: £5.7 million) related to its defined contribution plans.

The principal assumptions used for the valuations of the defined benefit plans were as follows:

DEFINED BENEFIT PLANS	2025	2024
Discount rate	5.6%	5.5%
Expected rate of salary increase	2.6%	4.0%
Future pension increases	2.7%	2.6%
Inflation	2.3%	2.6%
The average life expectancy in years of pensioner retiring at age 65:		
Male	22.9	22.8
Female	24.5	24.5

Amounts recognised in the Financial Statements with respect to the defined benefit plans were as follows:

DEFINED BENEFIT PLANS	2025	2024
	£ millions	£ millions
Service cost:		
Total service cost, including administrative expenses	(2.1)	(0.4)
Net interest income	(1.1)	(0.7)
Components of defined benefit income recognised in profit	(3.2)	(1.1)
Remeasurements on the net defined benefit liability:		
Return on plan assets, excluding amounts included in net interest	4.7	11.1
Actuarial losses / (gains) due to changes in demographic assumptions	0.5	(1.4)
Actuarial gains due to changes in financial assumptions	(4.9)	(10.0)
Actuarial losses / (gains) due to experience adjustments	1.3	(1.9)
Components of defined benefit costs / (income) recognised in Other Comprehensive Income	1.6	(2.2)
Total defined benefit income	(1.6)	(3.3)

The Company recognised £1.6 million of actuarial losses on defined benefit retirement plans directly in shareholder's equity in 2025 (2024: gain of £2.2 million). Accumulated actuarial gains recognised in shareholder's equity were £17.6 million (2024: £19.2 million).

The amounts included in the Statement of Financial Position with respect to the defined benefit plans were as follows:

DEFINED BENEFIT PLANS	2025	2024
	£ millions	£ millions
Present value of funded defined benefit obligation	(87.6)	(90.3)
Fair value of plan assets	120.5	124.0
Funded status	32.9	33.7

The Company has recognised an asset surplus which is expected to be recovered through an unconditional right to any surplus remaining in the plan after all member obligations have been settled.

Movements in the present value of the defined benefit obligation were as follows:

DEFINED BENEFIT PLANS	2025	2024
	£ millions	£ millions
Defined benefit obligation, 1 January	90.3	102.3
Total service cost	(2.7)	(0.8)
Interest cost	5.9	5.5
Contributions from plan participants	0.1	0.1
Actuarial losses / (gains) due to changes in demographic assumptions	0.5	(1.4)
Actuarial gains due to changes in financial assumptions	(4.9)	(10.0)
Actuarial losses / (gains) due to experience adjustments	1.3	(1.9)
Transfers	2.1	0.3
Benefits paid	(5.0)	(3.8)
Defined benefit obligation, 31 December	87.6	90.3

Movements in the fair value of the plan assets were as follows:

DEFINED BENEFIT PLANS	2025	2024
	£ millions	£ millions
Fair value of plan assets, 1 January	124.0	133.0
Interest income	7.0	6.2
Return on plan assets, excluding amounts in interest income	(4.7)	(11.1)
Contributions from the employer	-	0.3
Contributions from plan participants	0.1	0.1
Transfers	(0.3)	(0.3)
Benefits paid	(5.0)	(3.8)
Administrative expenses paid	(0.6)	(0.4)
Fair value of plan assets, 31 December	120.5	124.0

The quoted fair value of the plan assets at 31 December 2025 and 31 December 2024 for each category are as follows:

	2025	2024
	£ millions	£ millions
Cash	0.6	-
Government bonds	95.5	39.4
Property	-	14.5
Corporate bonds	-	70.1
Investment funds	24.4	-
	120.5	124.0

The average duration of the defined benefit obligation is 12.5 years (2024: 13.9 years).

The significant assumptions used in determining the defined benefit obligation are the discount rate, expected rate of salary increase, and life expectancy. The sensitivity analysis below has been determined based on possible changes to the significant assumptions while holding all other assumptions constant.

- An increase in the discount rate of half a percentage point would decrease the defined benefit obligation by £5.4 million.
- An increase in the expected rate of salary increase of half a percentage point would increase the defined benefit obligation by £0.7 million.

- A decrease in the mortality rate of 10% for both men and women would increase the defined benefit obligation by £2.3 million.

The present value of the defined benefit obligation in the sensitivity analysis above has been calculated using the projected unit credit method, which is also the method used in calculating the defined benefit obligation for the Consolidated Statement of Financial Position. The sensitivity analysis may not be representative of the actual change in the defined benefit obligation. There was no change in the methods and assumptions used in preparing the sensitivity analysis from prior year.

N. TRADE PAYABLES AND OTHER LIABILITIES

Trade payables and other liabilities consisted of the following:

	2025	2024
	£ millions	£ millions
Trade payables	112.2	78.1
Derivatives	4.5	-
Other liabilities:	302.8	249.0
Salaries, commissions, and related	135.9	81.7
Accrued expenses	59.6	37.3
Charitable donations payable	57.8	80.5
Interest payable	27.4	25.0
Advertising, promotion, and demonstration	6.7	15.5
Due to customers	1.2	-
Other	14.2	9.0
	419.5	327.1

O. PROVISIONS

	PRODUCT-RELATED	ASSET RETIREMENT OBLIGATIONS	PROVISIONS WITH RELATED PARTIES	TOTAL
	£ millions	£ millions	£ millions	£ millions
Balances at 1 January 2025	2.7	0.2	2.4	5.3
Additional provisions recognised	0.6	-	0.4	1.0
Used during the year	(2.5)	-	(0.5)	(3.0)
Balances at 31 December 2025	0.8	0.2	2.3	3.3

Provisions with Related Parties represent the Company's inventory reserves for inventory held by related party supplier companies. As the Company is not holding the physical inventory, the provision is recorded in current provisions.

P. FINANCIAL INSTRUMENTS**Categories of financial assets and liabilities**

The Company's categories of financial assets and financial liabilities are as follows:

FINANCIAL ASSETS	2025		2024	
	CURRENT	NON-CURRENT	CURRENT	NON-CURRENT
	£ millions	£ millions	£ millions	£ millions
Financial assets at amortised cost:				
Trade receivables	154.1	-	117.0	-
Loans to related parties	965.2	1,192.6	362.2	1,345.9
Cash and cash equivalents	667.4	-	1,077.2	-
Time deposits	1,456.2	110.7	2,184.6	-
Fixed income investments	428.6	126.0	383.8	102.6
Notes and reverse repurchase arrangements	482.9	-	-	-
Treasury bills	-	-	4.8	-
Other	30.3	27.2	37.6	27.3
Financial assets at FVOCI:				
Non-listed equity investments	-	6.4	-	6.3
Derivatives designated in hedging relationship	0.3	-	-	-
Financial assets at FVTPL:				
Derivatives not designated in hedging relationship	18.7	-	2.1	-
	4,203.7	1,462.9	4,169.3	1,482.1

NOTES TO THE COMPANY FINANCIAL STATEMENTS

FINANCIAL LIABILITIES	2025		2024	
	CURRENT	NON-CURRENT	CURRENT	NON-CURRENT
	£ millions	£ millions	£ millions	£ millions
Financial liabilities at amortised cost:				
Borrowings	455.5	1,565.9	169.1	1,871.9
Trade payables	112.2	-	78.1	-
Lease liabilities	27.5	396.6	22.6	411.8
Loans from related parties	931.4	258.8	226.7	491.7
Other	302.8	31.2	249.0	62.6
Financial liabilities at FVOCI:				
Derivatives designated in hedge relationship	0.4	-	-	-
Financial liabilities at FVTPL:				
Derivatives not designated in hedge relationship	4.1	5.9	-	-
	1,833.9	2,258.4	745.5	2,838.0

The fair value measurement and hierarchy levels are disclosed in Note 21. There is no material difference between the carrying value and fair value for loans to and from Related Parties.

The following table details the Company's outstanding contractual maturities for its financial liabilities. The amounts disclosed in the table are the contractual undiscounted cash flows, except for derivative financial liabilities, which are included at their fair value. For detail on lease liabilities, see Note G.

2025	LESS THAN 1 YEAR	1-5 YEARS	5+ YEARS	TOTAL
	£ millions	£ millions	£ millions	£ millions
Financial liabilities at amortised cost:				
Borrowings	512.0	591.9	1,364.9	2,468.8
Trade payables	112.2	-	-	112.2
Loans from related parties	1,195.6	10.5	262.3	1,468.4
Other	302.8	31.2	-	334.0
Derivatives (at FVOCI)	0.4	-	-	0.4
Derivatives (at FVTPL)	4.1	5.9	-	10.0
	2,127.1	639.5	1,627.2	4,393.8

2024	LESS THAN 1 YEAR	1-5 YEARS	5+ YEARS	TOTAL
	£ millions	£ millions	£ millions	£ millions
Financial liabilities at amortised cost:				
Borrowings	229.7	972.7	1,664.9	2,867.3
Trade payables	78.1	-	-	78.1
Loans from related parties	230.4	257.7	251.0	739.1
Other	249.0	62.6	-	311.6
	787.2	1,293.0	1,915.9	3,996.1

There are various risks associated with financial instruments, including capital risk, financial risk, market risk, liquidity risk and credit risk. Further details of these risks are discussed in Note 21 of the Consolidated Financial Statements.

Q. CASH AND CASH EQUIVALENTS

	2025	2024
	£ millions	£ millions
Cash in bank	65.2	138.2
Cash equivalents*	602.2	939.0
	667.4	1,077.2

* Cash equivalents consist of highly liquid investments with maturities of less than three months.

R. RELATED PARTY TRANSACTIONS

Balances and transactions between the Company and its related parties

	2025	2024
	£ millions	£ millions
Trade receivables and other current assets	98.7	73.3
Current loans to Related Parties	965.2	362.2
Non-current loans to Related Parties	1,192.6	1,345.9
Right-of-use assets	126.4	133.5
Other non-current assets	21.6	27.3
Trade payables and other current liabilities	72.4	55.2
Current loans from Related Parties	931.4	226.7
Current lease liabilities	9.7	2.0
Non-current loan from Related Party	258.8	491.7
Non-current lease liabilities	129.7	127.9
Other non-current liabilities	-	12.4
Revenue	214.4	237.2
Cost of sales	(79.7)	(82.7)
Dividend income	1,647.6	3,105.1
Finance income	61.5	76.3
Finance costs	(23.1)	(16.8)

Loans to Related Parties are interest bearing at arm's-length commercial borrowing rates.

S. CHANGES IN WORKING CAPITAL

Changes in working capital consisted of the following components:

	2025	2024
	£ millions	£ millions
Inventories	0.3	3.8
Trade receivables	(37.1)	(1.3)
Trade payables	33.2	(21.1)
Other receivables and payables	(44.6)	(30.0)
	(48.2)	(48.6)

T. GUARANTEES AND COMMITMENTS

In 2020, Chanel Ceres PLC, a subsidiary of the Company, issued Sustainability-Linked Guaranteed Notes on the Luxembourg Stock Exchange, details of which are included in Note 17. The issue of the Sustainability-linked Guaranteed Notes are guaranteed by the Company as set out in the prospectus for the Notes and as a result, the proceeds raised by Chanel Ceres PLC have been loaned to the Company with the same terms as the Notes themselves.

The Company has commitments of £1.6 million related to global climate initiatives (2024: £4.1 million) and £44.0 million related to charitable commitments (2024: £nil).

The Company has committed to loans to Related Parties for a total of £152.8 million that remains undrawn as at 31 December 2025 and has provided guarantees totalling £353.7 million in relation to related parties as at 31 December 2025.

U. SUBSEQUENT EVENTS

The Company considered the existence of any subsequent events and the requirements to record and / or disclose the impact thereof.

On 30 March 2026, the Company settled the nominal amount of £178.9 million (£205.0 million) in respect of a Senior Note issued through private placement, upon its maturity.

The directors recommend the payment of a final dividend of £2.43 billion in respect of the financial year ended 31 December 2025.

No other significant subsequent events were noted by the Company up to the date of the signing of these accounts. Refer to Note 30 Subsequent events for disclosure of subsequent events for the Group.

LIST OF SUBSIDIARIES

V. ENTITIES INCLUDED IN CONSOLIDATION

ENTITY (LEGAL NAME)	LOCATION OF INCORPORATION	OWNERSHIP PERCENTAGE (%)
Chanel Limited	United Kingdom	Parent
113 SPRING NYC INC. ¹	United States	100%
113 Spring UK Limited ^{1*}	United Kingdom	100%
19M SAS	France	100%
Activité Création Tissage 3 SASU	France	100%
Adobinve S.L.	Spain	68%
Afroditi Inc.	United States	100%
American Fragrances, Inc.	United States	100%
Anomalia Innovations, Inc.	United States	100%
Artiux SA	Switzerland	100%
Asitop Gesellschaft mbH ³	Germany	100%
Atelier Dynale SASU	France	100%
Atelier H SASU	France	60%
Ateliers de May SASU	France	100%
Ateliers Lagardère SASU ¹	France	100%
Augé SAS ¹	France	100%
Barrie France SASU	France	100%
Barrie Knitwear Limited	United Kingdom	100%
Beynat & Janniaux Maroquiniers SAS ¹	France	100%
Biseta S.r.l.	Italy	100%
Blupell S.r.l. ^{3 15}	Italy	100%
Borlis SAS	France	100%
Boule de Neige Limited [*]	United Kingdom	100%
Calzaturificio Gensi Group S.r.l.	Italy	80%
Campelli S.r.l. ⁵	Italy	100%
Capsum Inc. ⁴	United States	92%
Capsum SAS ⁴	France	92%
Cellini 04 R.E. S.r.l.	Italy	100%
Chanel SAM [*]	Monaco	100%
Chanel SAS [*]	France	100%
Chanel (Australia) Pty. Limited [*]	Australia	100%
Chanel (China) Co., Limited	Mainland China	100%
Chanel (Guam), Inc. ³	United States	100%
Chanel (India) Private Limited [*]	India	100%
Chanel (Kuala Lumpur) Sdn. Bhd. [*]	Malaysia	100%
Chanel (Pty) Limited [*]	South Africa	100%
Chanel (Thailand) Limited [*]	Thailand	100%
Chanel Argentina S.R.L.	Argentina	100%
Chanel Asia Pacific Pte Limited [*]	Singapore	100%
Chanel Canada ULC [*]	Canada	100%
Chanel Ceres PLC [*]	United Kingdom	100%
Chanel Coordination B.V.	Netherlands	100%
Chanel Coordination SAS	France	100%
Chanel Coordination S.r.l.	Italy	100%
Chanel Creation B.V.	Netherlands	100%
Chanel Denmark ApS [*]	Denmark	100%
Chanel G.K.	Japan	100%
Chanel Gayrimenkul ve Tekstil Limited Sirketi	Türkiye	100%
Chanel GmbH	Austria	100%
Chanel GmbH	Germany	100%
Chanel Hong Kong Limited [*]	Hong Kong S.A.R.	100%
Chanel Inc. [*]	Taiwan Region	100%
Chanel India Business Solutions Private Limited [*]	India	100%
Chanel International B.V. [*]	Netherlands	100%

LIST OF SUBSIDIARIES

ENTITY (LEGAL NAME)	LOCATION OF INCORPORATION	OWNERSHIP PERCENTAGE (%)
Chanel Korea YH*	South Korea	100%
Chanel L.L.C.*	United Arab Emirates	100%
Chanel Limitada	Macao S.A.R.	100%
Chanel Limited*	Hong Kong S.A.R.	100%
Chanel Limited FZE*	United Arab Emirates	100%
Chanel LLC	Ukraine	100%
Chanel LLP **	Kazakhstan	100%
Chanel Moda ve Lüks Tüketim Ürünleri Limited Sirketi	Türkiye	100%
Chanel New Zealand ULC*	New Zealand	100%
Chanel North Asia Limited *	United Kingdom	100%
Chanel Norway AS*	Norway	100%
Chanel Parfums Beauté SAS	France	100%
Chanel Perseus Limited 2*	United Kingdom	100%
Chanel Property B.V. 2	Netherlands	100%
Chanel Pte Limited*	Singapore	100%
Chanel S. de R.L.*	Panama	100%
Chanel S.L.U.	Spain	100%
Chanel S.r.l.	Italy	100%
Chanel s.r.o.	Czech Republic	100%
Chanel Saint Honoré SAS	France	100%
Chanel SARL*	Luxembourg	100%
Chanel SARL*	Switzerland	100%
Chanel spółka z ograniczoną odpowiedzialnością*	Poland	100%
Chanel SRL	Belgium	100%
Chanel Sweden AB*	Sweden	100%
Chanel Theseus Limited 2*	United Kingdom	100%
Chanel Unipessoal Limitada	Portugal	100%
Chanel Vietnam Company Limited*	Vietnam	100%
Chanel, Inc.*	United States	100%
Chanel, S.A. de C.V.	Mexico	100%
Château Canon SC	France	100%
Château Rauzan-Ségla SAS	France	100%
Co.Fa s.r.l. 13 14	Italy	100%
Colomer Leather Group S.L.U.	Spain	100%
Compañia Universal de Perfumeria Francesa (CUPFSA) S. de R.L.*	Panama	100%
Conceria Gaiera Giovanni S.r.l.	Italy	100%
Conceria Samanta S.r.l.	Italy	100%
Crédido SAS *	France	71%
Creuset d'Art Portugal, Unipessoal Lda	Portugal	51%
Croydon Logistics Limited 10 *	United Kingdom	100%
Crushlab SARL	Luxembourg	100%
Crushlab UK Limited 2*	United Kingdom	100%
CUPFSA Colombia S.A.S.	Colombia	100%
Défiluxe SAS	France	51%
Desrués	France	100%
Detox Your Life Canada Inc. 3	Canada	93%
Domaine de l'Île SCEA	France	100%
Domcia Production SAS 1	France	100%
Dorsey SAS	France	100%
ERES SAS*	France	100%
Eres Belgique SPRL	Belgium	100%
Eres Fashion UK Limited	United Kingdom	100%
Eres GmbH	Germany	100%
Eres Italie S.r.l.	Italy	100%
Eres Moda ve Lüks Tüketim Ürünleri Limited Sirketi	Türkiye	100%
Eres Paris Australia Pty Ltd	Australia	100%
Eres Paris L.L.C.	United Arab Emirates	100%
Eres Paris S.L.	Spain	100%
Eres US Inc.	United States	100%
Établissements Bodin Joyeux SASU	France	100%

ENTITY (LEGAL NAME)	LOCATION OF INCORPORATION	OWNERSHIP PERCENTAGE (%)
Ets Gontheiz Frères SAS	France	75%
Europarfümeria, S. de R.L.	Panama	100%
Europrestigio Distribuição e Comércio de Artigos de Luxo Ltda	Brazil	100%
Excelsia S.R.L. ^{3*}	Costa Rica	100%
Farm Street Property Limited	United Kingdom	100%
FashionArt S.p.A.	Italy	60%
Filatures du Parc SAS	France	60%
FilenAiguille SAS	France	100%
Floriance SAS ^{2 12}	France	76%
Fragrances Exclusive, Inc.	United States	100%
G&D Reinsurance S.A.	Luxembourg	100%
G.K. Chanel Research and Innovation	Japan	100%
Gabrielle Holding SAS ¹	France	60%
Gant Causse SASU	France	100%
Goossens Paris SASU	France	100%
Goossens UK Limited	United Kingdom	100%
Grey Mer S.p.A. ¹	Italy	70%
Grupo Ledexport S.L.	Spain	100%
Haas Italia S.r.l.	Italy	100%
Haspolo SAS ¹	France	60%
Hoga Ribban Limited ¹	United Kingdom	100%
Holding Company 2025, LLC ²	United States	100%
Holding Company 2025 Member, LLC ²	United States	100%
Hugotag Ennoblement SASU	France	100%
Ibisco S.r.l.	Italy	70%
Icarus Limited	Hong Kong S.A.R.	100%
Ilamu Pty Ltd	Australia	100%
Immobili Rosmini S.r.l.	Italy	100%
INMATEC Technologies GmbH	Germany	85%
International Metal and Jewelry Co., Ltd.	Thailand	100%
ISPB SAS	France	100%
Kamel SCEA	France	100%
Kireina S.r.l.	Romania	65%
Lapoduk SARL	Luxembourg	100%
L'Atelier DCHP SASU ¹	France	100%
L'Atelier des Matières SASU	France	100%
Lavinia (Suisse) SA ¹	Switzerland	100%
Lavinia España Selección S.L. ¹	Spain	100%
Lavinia France SAS ¹	France	100%
Le Creuset d'Art SAS	France	51%
Lemarié SASU	France	100%
Les Ateliers de Verneuil-en-Halatte SASU	France	100%
Les Ateliers Lagardère SASU ¹	France	100%
Les Moulins de Riotord SARLU	France	100%
Lesage Intérieurs SAS	France	76%
Lesage Paris SASU	France	100%
LuxAtelier Sàrl ⁶	Switzerland	100%
Mabi International S.r.l.	Italy	100%
Mabifir S.r.l. ^{3 15}	Italy	100%
Mabipell S.r.l. ^{3 15}	Italy	100%
Maggy Calzature S.r.l. ¹	Romania	70%
Maison Massaro SASU	France	100%
Maison Michel SASU	France	100%
Maison Michel UK Limited	United Kingdom	100%
Manufactures de Mode SASU	France	100%
Manufactures de Mode Italia S.r.l.	Italy	100%
Manufactures de Mode Shanghai Management Consultancy	Mainland China	100%
Marque Mod SAS ¹	France	100%
Mégisserie Richard SAS	France	100%
Metal Jewelry (Cambodia) Co., Ltd	Cambodia	100%

LIST OF SUBSIDIARIES

ENTITY (LEGAL NAME)	LOCATION OF INCORPORATION	OWNERSHIP PERCENTAGE (%)
Montex SASU	France	100%
Naemos SAS ¹⁴	France	92%
Neverwill SA	France	100%
Nevold SAS ¹⁵	France	100%
New Blue S.r.l. ¹	Italy	100%
Newmal Lab S.r.l. ¹	Italy	100%
NILLAB Manufacture Italiana S.p.A. ⁷	Italy	100%
OOO Chanel	Russia	100%
Orlebar Brown (US) Wholesale, LLC	United States	100%
Orlebar Brown Australia Pty. Ltd.	Australia	100%
Orlebar Brown France SASU	France	100%
Orlebar Brown Limited *	United Kingdom	100%
Orlebar Brown Miami, LLC	United States	100%
Orlebar Brown Monaco SAM ²	Monaco	100%
Orlebar Brown NY 1, LLC	United States	100%
Orlebar Brown Spain S.L.	Spain	100%
Orlebar Brown, Inc.	United States	100%
Overland Realty L.L.C.	United States	100%
Paima S.p.A.	Italy	70%
Paloma SAS	France	100%
Paraffection SAS	France	100%
Paralliance ²	France	100%
Parfumerie Versailles, S. de R.L. de C.V.	Mexico	100%
Parfums Chanel Limited *	Ireland	100%
Parivresse SCI	France	100%
Partois SASU	France	100%
Pavliaux SASU	France	100%
Pells del Llobregat S.L.	Spain	60%
Perfumeria Francesa (Bolivia) S.r.l.	Bolivia	100%
Pieles del Segura, SA	Spain	100%
Pieles Quintana SA	Spain	100%
Pourunefoi SAS	France	100%
PR 3 SAS ¹	France	100%
Précieuses Manufactures Sàrl	Switzerland	100%
Primula S.r.l.	Italy	100%
Ready To Care SASU	France	100%
Ready to Care London Limited ¹	United Kingdom	100%
Renato Corti S.r.l. ^{2 11}	Italy	100%
Roveda S.r.l.	Italy	100%
Saint Honorat SRL	France	66%
Samo Cotton S.R.L. ¹	Italy	42%
SC Ateliers de Verneuil-en-Halatte	France	100%
SCEA du Château Berliquet	France	100%
SCI Aineuil	France	100%
SCI Anbras	France	100%
SCI Atlast ¹	France	100%
SCI Atlast ¹	France	100%
SCI Billes ¹	France	100%
SCI Bokoutro	France	100%
SCI Cepaduluxe	France	100%
SCI Cepabyzance ^{2 10}	France	88%
SCI Faimin	France	100%
SCI Jolimoy	France	100%
SCI Kamel ²	France	100%
SCI ODACE	France	100%
SCI Onurb	France	100%
SCI Pantino	France	100%
SCI Passysimple	France	100%
SCI Peau Luxe	France	100%
SCI Ratafia	France	100%

ENTITY (LEGAL NAME)	LOCATION OF INCORPORATION	OWNERSHIP PERCENTAGE (%)
SCI Saroule	France	100%
SCI Sarouleagain	France	100%
SCI SûrdeSoie	France	100%
SCI Teteatete	France	100%
SCI Traudepezzè	France	100%
SCI Veauldétour	France	100%
SCI Venette	France	100%
SCI YNOD	France	100%
Shanghai La Sirene Garment Cleaning Company Limited ²	Mainland China	100%
Settelle SASU	France	100%
Sevy LLC	United States	100%
Société de Confection de Sully SAS ¹	France	100%
Société en Nom Collectif Encorin SNC	France	100%
Solifeel SAS ¹	France	92%
Sophan SASU ¹	France	100%
Sotrafior SRL	France	66%
St. Supéry, Inc.	United States	100%
Sushi, L.L.C.	United States	100%
Tanneries Haas SAS	France	100%
TCC Direct, Inc.	United States	100%
TDM Valrom Holding Inc. ³	Canada	93%
The Chanel, Inc. Statutory Trust	United States	100%
The Detox Market Inc. ³	United States	93%
Tmine, Inc.	United States	100%
Tour2Main SAS ¹	France	100%
Trochair Limited	United Kingdom	100%
Tulcan S.A. ²	Luxembourg	100%
Ultimate Yarns & Fibres Limited	United Kingdom	100%
Ultimate Yarns & Fibres Mongolia LLC	Mongolia	100%
Ulysse Cazabonne SNC	France	100%
Vastrakala Exports Private Limited ⁵	India	98%
Versailles International, Inc.	United States	100%
Vimar 1991 S.r.l.	Italy	100%
Volfoni S.p.A. ⁹	Italy	96%

¹ Entity was acquired/created in 2024.

² Entity was acquired / created in 2025.

³ Entity was dissolved / merged / sold in 2025.

⁴ Percentage ownership increased from 90% to 92% in 2025.

⁵ Percentage ownership increased from 75% to 100% in 2025.

⁶ Percentage ownership increased from 67% to 100% in 2025.

⁷ Percentage ownership increased from 60% to 100% in 2025.

⁸ Percentage ownership increased from 96% to 98% in 2025.

⁹ Percentage ownership increased from 83% to 96% in 2025.

¹⁰ Percentage ownership increased from 48% to 88% in 2025.

¹¹ Percentage ownership increased from 40% to 100% in 2025.

¹² Percentage ownership increased from 40% to 76% in 2025.

¹³ Celofilde SAS was renamed to Nevold SAS in 2025.

¹⁴ CoFA S.r.l merged with Conceria Galera Giovanni.

¹⁵ Merged with Mabi International S.r.l. in 2025.

¹⁶ The company is in the process of liquidation.

* Chanel Limited has a direct ownership in the entity.

Most shares issued and owned are ordinary.

The following companies are registered in the United Kingdom. They are consolidated in the Group Financial Statements and have benefitted from an audit exemption for their Financial Statements for the year ended 31 December 2025, pursuant to Article 479A of the UK Companies Act 2006.

- 113 Spring UK Limited (15958150)
- Boule de Neige Limited (15095591)
- Chanel North Asia Limited (15406535)
- Crushlab UK Limited (16484522)
- Eres Fashion UK Limited (00893083)
- Farm Street Property Limited (12716214)
- Goossens UK Limited (12572546)
- Hoga Ribban Limited (16124290)
- Maison Michel UK Limited (09083976)
- Orlebar Brown Limited (05502027)
- Ready to Care London Limited (15697737)
- Trochair Limited (00246398)
- Ultimate Yarns & Fibres Limited (13003004)

LIST OF ASSOCIATES AND JOINT VENTURES

ENTITY (LEGAL NAME)	PRINCIPAL ACTIVITY	LOCATION OF INCORPORATION AND OPERATION
60fps SAS ¹	Digital creative studio	France
Apollo 5 SAS ²	Investment in sustainable energy	France
Atelier CJR SAS	Precious jewellery workshop	France
Authentic Material SAS	Manufacture of natural materials	France
Bell and Ross B.V.	Manufacture and sale of watches	Netherlands
Cariaggi Lanificio S.p.A. ^{3*}	Manufacture of textiles	Italy
Conceria Nuova Impala S.r.l. ²	Leather goods manufacturer	Italy
Ematek SAS	Manufacture of jewellery	France
ETS Denis et Fils SAS	Silk weaving	France
FAB Co-Creation Ventures, LLC	Implementation of venture capital strategies	United States
Fab-Co Creation Ventures II, LP	Implementation of venture capital strategies	United States
FCL S.r.l.	Manufacture and surface treatment of stainless steel components	Italy
Grandis SAS	Luxury apparel manufacturer	France
IMGL S.r.l.	Leather goods manufacturer	Italy
Innolis SAS	Manufacture and sale of interior perfumes and dispensing tools	France
Kenissi Holding SA	Watch movements	Switzerland
Kross Manufacture Sàrl ¹	Manufacture of watch and jewellery components and products	Switzerland
Leo France S.P.A. ^{4*}	Manufacture and commercialisation of metal components	Italy
MB & F S.A. ²	Luxury watch manufacturer	Switzerland
Manufacture Joaillière Suisse SA	Precious jewellery workshop	Switzerland
Marbella SAS	Dermo Adhesive jewellery and makeup	France
Montres Journe S.A.	Manufacture and sale of watches	Switzerland
Mantero Seta S.P.A. ¹	Manufacture and trade of textiles and accessories	Italy
Manufacture Romain Gauthier SA	Manufacture and sale of watches	Switzerland
Orius SAS	Manufacture of natural materials	France
Recyclocal Textiles SA ²	Textiles	France
SunRun CASPAR Owner 2019, LLC	Solar energy panels	United States
Todd & Duncan Limited ¹	Textiles	United Kingdom
TSAGAAN YAMAAT CASHMERE LLC	Manufacture and sale of cashmere	Mongolia
Yeraz SAS ^{5*}	Leather goods manufacturer	France

¹ New investment in 2025.

² New investment in 2024.

³ Percentage ownership is 25%.

⁴ Percentage ownership is 20%.

⁵ Percentage ownership is 49%.

* Key associate

INDEPENDENT ASSURANCE REPORT TO THE DIRECTORS OF CHANEL LIMITED ON SELECTED SUSTAINABILITY METRICS

WHAT WE WERE ENGAGED TO ASSURE

SUBJECT MATTER SELECTED BY CHANEL

Ernst & Young LLP ("EY") was engaged by Chanel Limited (the "Company") to perform an assurance engagement in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ("ISAE 3000 (Revised)"), to report on selected sustainability metrics (the "Subject Matter") presented in the Company's 2025 Annual Report and Financial Statements for the year ended 31 December 2025 (the "Report"). Specifically, EY was engaged to provide:

- Reasonable assurance over the Renewable Electricity Percentage
- Limited assurance over the Subject Matter identified in "Appendix A"

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express an opinion or conclusion on any information, other than the Subject Matter, marked with the # symbol.

REPORTING CRITERIA APPLIED BY CHANEL

In preparing the Subject Matter, Chanel applied the reporting criteria as set out in Chanel's 2025 Basis of Reporting and as published in the sustainability section on [chanel.com](https://www.chanel.com) (the "Reporting Criteria"). The Subject Matter needs to be read and understood together with the Reporting Criteria. The Company is solely responsible for selecting and applying the Reporting Criteria.

The Subject Matter and other sustainability information in the Report were prepared by the Company. The Reporting Criteria was specifically designed for the preparation of the Report. As a result, the Subject Matter may not be suitable for other purposes.

CONCLUSIONS

OUR REASONABLE ASSURANCE CONCLUSION

In our opinion, the Renewable Electricity Percentage, for the year ended 31 December 2025, is fairly presented, in all material respects, in accordance with the Reporting Criteria.

OUR LIMITED ASSURANCE CONCLUSION

Based on the procedures performed and evidence obtained, nothing has come to our attention that causes us to believe that the Subject Matter identified in Appendix A is not prepared, in all material respects, in accordance with the Reporting Criteria and supporting evidence respectively.

BASIS FOR OUR CONCLUSION

We conducted our engagement in accordance with the *International Standard for Assurance Engagements Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* ("ISAE 3000 (Revised)").

In performing this engagement, we have applied International Standard on Quality Management ("ISQM") 1 *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements*, which requires that we design, implement and operate a

system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We have maintained our independence and other ethical requirements of the Institute of Chartered Accountants of England and Wales ("ICAEW") Code of Ethics (which includes the requirements of the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants ("IESBA")). We are the independent auditor of the Company and therefore we will also comply with the independence requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard as applied to listed public interest entities.

RESPONSIBILITIES OF THE COMPANY

The directors of the Company are solely responsible for:

- the selection of the Subject Matter to be assured;
- selecting suitable Reporting Criteria against which the Subject Matter is to be evaluated and ensuring the Reporting Criteria is relevant and appropriate;
- preparing and presenting the Subject Matter in accordance with the Reporting Criteria; and
- designing and implementing internal controls and other processes they determine is necessary, to enable the Subject Matter to be free from material misstatement, whether due to fraud or error.

EY'S RESPONSIBILITIES

It is our responsibility to:

For sustainability metrics subject to reasonable assurance:

- Plan and perform the engagement to obtain reasonable assurance in respect of whether the Subject Matter is fairly presented in all material respects in accordance with the Reporting Criteria;
- Form an independent conclusion on the basis of the work performed and evidence obtained; and
- Report our conclusion to the directors of the Company.

For sustainability metrics subject to limited assurance:

- Plan and perform the engagement to obtain limited assurance in respect of whether anything has come to our attention to suggest the Subject Matter has not been prepared in all material respects in accordance with the Reporting Criteria;
- Form an independent conclusion on the basis of the work performed and evidence obtained; and
- Report our conclusion to the directors of the Company.

SUMMARY OF WORK PERFORMED

The *International Standard for Assurance Engagements Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* ("ISAE 3000 (Revised)") standard requires that we plan and perform our engagement to (i) obtain reasonable assurance about whether, in all material respects, the Renewable Electricity Percentage is fairly presented in accordance with the Reporting Criteria, (ii) obtain limited assurance in respect of whether

the Subject Matter included in Appendix A has not been prepared in all material respects in accordance with the Reporting Criteria and iii) to issue a report.

The nature, timing, and extent of the procedures selected depends on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

Limited assurance

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. A limited assurance engagement primarily consists of making enquiries of persons responsible for preparing the Subject Matter and related information and applying analytical and other appropriate procedures. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Because a limited assurance engagement can cover a range of assurance, the detail of the procedures we have performed in respect of the Subject Matter subject to limited assurance is included below, so that our conclusion can be understood in the context of the nature, timing and extent of procedures we performed:

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusion. With respect to our limited assurance conclusion, the procedures performed were based on professional judgement and included, but were not limited to

- Evaluating the appropriateness of the Reporting Criteria used to measure and disclose the Subject Matter against industry standards and market practice.
- Interviewing management and relevant staff to understand how the Reporting Criteria was applied, and relevant information and data gathered for the measurement and reporting of the Subject Matter.
- Obtaining an understanding of the systems and processes for collecting, reporting and consolidating the Subject Matter, including obtaining an understanding of internal controls relevant to the measurement and recording of the Subject Matter, but not for the purpose of expressing an opinion on the effectiveness of Chanel's internal control framework.
- Performing an analytical review of the data underlying the Subject Matter, including comparison with the previous reporting period and a consideration of trends in the data, and inquiring of management to understand any significant unexplained variances.
- For selected samples, checking the mathematical calculations and formulae applied in the measurement of the Subject Matter.
- Obtaining an understanding of the estimation methodologies used by Chanel and comparing these to industry standards and market practice to check they are appropriate.
- Reviewing the consistency of the Subject Matter presented across the Report.

Reasonable assurance

We believe that the evidence we have obtained is sufficient and appropriate to provide a reasonable basis for our opinion. The detail of the procedures we have performed is included below, so that our opinion can be understood in the context of the nature, timing and extent of procedures we performed:

- The procedures outlined above in respect of our limited assurance conclusion.
- Performing substantive testing covering key items and representative samples based on a statistical sampling methodology. Key items and representative samples were selected and agreed to source information and data to check the accuracy and completeness of data. This included evaluating the reasonableness of the source information and data.
- Testing the data on which estimates are based and developing our own estimates to allow us to assess the accuracy of the estimates used by Chanel.

We also performed other such procedures as we considered necessary in the circumstances.

INHERENT LIMITATIONS

Non-financial information is subject to more inherent limitations than financial information, given the characteristics of the underlying subject matter. Because there is not yet a large body of established practice upon which to base measurement and evaluation techniques, the methods used for measuring or evaluating non-financial information, including the precision of different techniques, can differ, yet be equally acceptable. This may affect the comparability between entities, and over time.

Our conclusion is based on historical information and the projection of any information or conclusions in the attached report to any future periods would be inappropriate.

USE OF OUR REPORT

This report is produced in accordance with the terms of our engagement letter dated 13 February 2026, and engagement letter addendum dated 18 May 2026, solely for the purpose of reporting to the directors of Chanel Limited in connection with the Subject Matter for the year ended 31 December 2025. Those terms permit disclosure on Chanel's website, solely for the purpose of Chanel showing that it has obtained an independent assurance report in connection with the Subject Matter. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's directors as a body, for our work, for this report, or for the conclusions we have formed. This engagement is separate to, and distinct from, our appointment as the auditor to the Company.

Ernst & Young LLP

Ernst & Young LLP
London
15 June 2026

APPENDIX A

The 2025 Basis of Reporting, Chanel Limited Reporting Criteria for the year ended 31 December 2025 is as published in the sustainability section on [chanel.com](https://www.chanel.com).

TABLE A: SUBJECT MATTER INFORMATION SUBJECT TO LIMITED ASSURANCE	
CATEGORY	METRIC NAME
Environmental Disclosures	Scope 1 GHG Emissions
	Scope 2 GHG Emissions - Market-Based
	Scope 3 GHG Emissions (Net Zero Boundary)
	Scope 3 GHG Emissions (Mission 1.5 Boundary)
	Total energy consumption from renewable sources
Social Disclosures	Percentage of employee turnover
	Percentage of own employees covered by collective bargaining agreements are within coverage rate by country with significant employment (in the EEA)
	Distribution of female employees at top management level